07th September, 2026

To,
Listing Compliances
BSE Ltd,
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code : 512149
Scrip Id : AVANCE

Dear Sir/Madam,

Sub: Submission of Annual Report under Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In compliance with Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Annual Report of the Company along with the Notice of the 42nd Annual General Meeting for the Financial Year 2025-26.

The Annual Report for financial year 2025-2026 is also available on the website of the Company at www.avance.in.

We hereby request you to take the same on your records.

Thanking you.

For Avance Technologies Limited
SANTOSH BABARAO HAMBARE
Digitally signed by SANTOSH BABARAO HAMBARE
Date: 2026.09.07 21:30:20 +05'30'
Santosh Hambare
Managing Director
DIN: 11523270

AVANCE TECHNOLOGIES LIMITED

ANNUAL REPORT

FY 2025-26

www.avance.in

INDEX

Annual Report FY 2025-26

Corporate Information

Board of Directors

- **Mr. Latesh Poojary**
  Chairman
- **Mr. Santosh Hambare**
  Managing Director
- **Mrs. Shakila Makandar**
  Independent Director
- **Mr. Akshay Nawale**
  Independent Director
- **Mr. Sanjay Devlekar**
  Independent Director
- **Mr. Vasant Bhoir**
  Non-Executive Director
- **Mr. Deepak Mane**
  Non-Executive Director
- **Mr. Dipak Gaikwad**
  Independent Director

Key Managerial Personnel

- **Mr. Santosh Hambare**
  Chief Financial Officer
- **Mrs. Sneha Shrivastava**
  Company Secretary & Compliance Officer

Registered Office Address

1502, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063

Tel: +91 8655865985 Website: www.avance.in

Email Id: info@avance.in;

avancetechnologiesltd@gmail.com

Stock Exchanges Where the Company is listed

BSE Limited

Statutory Auditors

M/s. A. Raghavendra Rao & Associates, Chartered Accountants (FRN. 003324S)

Registrars and Share Transfer Agents

M/s. Purva Sharegistry (India) Pvt. Ltd,

Address: No. 9 Shiv Shakti Industrial Estate, Ground Floor, J R Boricha Marg, Opp. Kasturba Hospital Lower Parel, Mumbai, Maharashtra, 400011

Tel: 022 – 23016761

Fax: 022 – 23012517

Website: www.purvashare.com

E-mail: support@purvashare.com

Audit Committee

Mr. Akshay Nawale - Chairman

Mrs. Shakila Makandar - Member

Mr. Vasant Bhoir - Member

Stakeholder's Relationship Committee

Mr. Akshay Nawale - Chairman

Mrs. Shakila Makandar - Member

Mr. Vasant Bhoir - Member

Nomination & Remuneration Committee

Mr. Akshay Nawale - Chairman

Mrs. Shakila Makandar - Member

Mr. Vasant Bhoir - Member

Risk Management Committee

Mr. Akshay Nawale - Chairman

Mrs. Shakila Makandar - Member

Mr. Vasant Bhoir - Member

Secretarial Auditor

M/s. Sidhi Maheshwari & Associates
(FRN. S2023RJ898900)

Internal Auditor

M/s. KSGC & Associates, Chartered Accountants (FRN. 021829C)

NOTICE

NOTICE IS HEREBY GIVEN THAT THE 42ND ANNUAL GENERAL MEETING OF THE MEMBERS OF AVANCE TECHNOLOGIES LIMITED WILL BE HELD ON TUESDAY, 29TH SEPTEMBER 2026 AT 10.00 A.M. AT EVENT BANQUET, OPP. FILMYSTAN STUDIO, S.V. ROAD, GOREGAON (WEST), MUMBAI – 400062, TO TRANSACT THE BUSINESSES MENTIONED BELOW:

ORDINARY BUSINESSES:

1. **To receive, consider and adopt the Standalone & Consolidated Audited Balance Sheet as at 31st March 2026, the Statement of Profit and Loss and Cash Flow Statement for the financial year ended 31st March 2026 together with the Reports of the Board of Directors and the Auditors thereon.**

   To consider and if thought fit, to pass, with or without modification(s), the following resolution as **Ordinary Resolution:**

   "RESOLVED THAT the Audited (Standalone & Consolidated) Financial Statements of the Company for the financial year ended on 31st March 2026 and the Reports of the Board of Directors and the Auditors thereon, as circulated to the members, be and are hereby received, considered and adopted."

2. **To appoint a director in place of Mr. Deepak Mane (DIN: 07984967) who retires by rotation and being eligible, offers himself for re-appointment.**

   To consider and if thought fit, to pass, with or without modification(s), the following resolution as **Ordinary Resolution:**

   "RESOLVED THAT pursuant to the provisions of section 152 of the Companies Act, 2013, Mr. Deepak Mane (DIN: 07984967) who retires by rotation at this meeting and being eligible has offered himself for re-appointment, be and is hereby re-appointed as director of the company, liable to retire by rotation.

   RESOLVED FURTHER THAT any of the Directors for the time being and are hereby severally authorized to sign and execute all such documents and papers (including appointment letter etc.) as may be required for the purpose and file necessary e-form with the Registrar of Companies and to do all such acts, deeds and things as may considered expedient and necessary in this regard."

3. **Appointment of Statutory Auditors:**

   To consider and if thought fit, to pass, with or without modification(s), the following resolution as **Ordinary Resolution:**

   "RESOLVED THAT pursuant to the provisions of Section 139 and other applicable provisions, if any, of the Companies Act, 2013 ("Act"), read with the Companies (Audit and Auditors) Rules, 2014, as amended from time to time, and pursuant to the recommendation of the Audit Committee and consideration by the Board of Directors, **M/s. A. Raghavendra Rao & Associates, Chartered Accountants (Firm Registration No. 003324S and Peer Review Certificate No. 018363)**, be and are hereby appointed as the Statutory Auditors of the Company, to hold office for a term of 05 (Five) consecutive years, commencing from the conclusion of this Annual General Meeting ("AGM") until the conclusion of the AGM to be held in the year 2031, at such remuneration, plus applicable taxes and reimbursement of out-of-pocket expenses incurred in connection with the audit of the Company, as may be mutually agreed upon and approved by the Board of Directors of the Company.

RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorised to do all such acts, deeds, matters and things and to execute all such documents as may be necessary, proper, expedient or incidental for the purpose of giving effect to this resolution."

By Order of the Board
For Avance Technologies Limited
Sd/-
Sneha Srivastava
Company Secretary & Compliance Officer

Date: 02nd September 2026
Place: Mumbai

NOTES:

1. **A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF/ HERSELF AND THE PROXY NEED NOT BE A MEMBER OF THE COMPANY.** A person can act as proxy on behalf of Members not exceeding fifty and holding in the aggregate not more than ten percent of the total share capital of the Company carrying voting rights. A Member holding more than ten per cent of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person shall not act as a proxy for any other person or Member. Proxies in order to be effective should be deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the meeting. Proxies submitted on behalf of limited companies, societies, partnership firms, etc. must be supported by appropriate resolution/authority, as applicable, issued on behalf of the nominating organization.

2. Members/ Proxies and Authorized representatives are requested to bring to the Meeting; the attendance slips enclosed herewith duly completed and signed mentioning therein details of their DP ID and Client ID/Folio No. Corporate Members intending to send their authorized representatives to attend the Meeting pursuant to Section 113 of the Companies Act, 2013, are requested to send to the Company, a certified copy of the Board Resolution authorizing the representative to attend and vote on their behalf at the Meeting.

3. Pursuant to Regulation 26(4) and 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("SEBI Listing Regulations") and the Secretarial Standard – 2 on "General Meetings", the particulars of Directors seeking appointment/re-appointment at the meeting are annexed to the Notice.

4. In case of joint holders attending the meeting, the member whose name appears as the first holder in the order of the names as per the Register of Members of the Company will be entitled to vote.

5. Members desiring any information as regards the accounts are requested to write to the compliance officer at an early date so as to enable the management to reply at the meeting. For any communication, the members may also send requests to the company's investor email id: avancetechnologiesltd@gmail.com/ info@avance.in.

6. As per the requirement of the Secretarial Standard – 2 on "General Meetings" the route map showing directions to reach the venue of the meeting is annexed to the Notice.

7. The Notice of the AGM along with the Annual Report of 2025-26 is being sent by electronic mode whose email addresses are registered with the Company/Depository Participants, unless any member has requested for physical copy of the same. For members who have not registered their email addresses, a

physical copy is being sent by permitted mode. To support the 'Green Initiative' Members who have not registered their email addresses are required to register the same with the Company / Depository. Members may note that this Notice and the Annual Report 2025-26 will also be available on the Company's website viz. www.avance.in

8. Member(s) whose names appear on the Register of Members/List of Beneficial Owners as on the cut-off date of **Tuesday, 22nd September 2026** will be entitled to vote on the resolutions set forth in this Notice. The instructions for e-voting are annexed to this Notice.

9. The e-voting period shall commence on **Saturday, 26th September 2026 at 9.00 a.m. (IST)** and shall end on **Monday, 28th September 2026 at 5:00 P.M. (IST)**. E-voting shall not be allowed beyond the said date and time.

10. The Board of Directors of the Company ("the Board"), has appointed M/s. Aarju Agrawal & Associates, Practicing Company Secretary having Membership No. A42507, C.O.P. No. 15770 and Peer review certificate No. 2871/2023) as the Scrutinizer, for conducting the e-voting process in a fair and transparent manner.

11. As required by Rule 20 of the Companies (Management and Administration) Rules, 2014 read with MCA Circulars and the Listing Regulations, the details pertaining to this AGM will be published in one English national daily newspaper circulating throughout India (in English language) and one in vernacular language in that district (in Marathi Language) in which registered office of the Company is situated.

12. To support the "Green initiative" members who have not registered their e-mail addresses so far are requested to register their e-mail address with the company's RTA or Depository Participants, in respect of shares held in physical/electronic mode respectively.

THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING ARE AS UNDER:

The remote e-voting period begins on 26th September 2026 at 09:00 A.M. and ends on 28th September 2026 at 05:00 P.M. The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. Tuesday, 22nd September 2026 may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being Tuesday, 22nd September 2026.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of "Two Steps" which are mentioned below:

Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting for Individual shareholders holding securities in demat mode

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	1. For OTP based login you can click on https://eservices.nsdl.com/SecureWeb/evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID,8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period 2. Existing **IDeAS** user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the "**Beneficial Owner"** icon under **"Login"** which is available under **'IDeAS'** section , this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on **"Access to e-Voting"** under e-Voting services and you will be able to see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select **"Register Online for IDeAS Portal"** or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 3. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or **e-Voting service provider i.e. NSDL** and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period. 4. Shareholders/Members can also download NSDL Mobile App "**NSDL Speede**" facility by scanning the QR code mentioned below for seamless voting experience. **NSDL Mobile App is available on** App Store Google Play
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the

	information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. upon logging in, you will be able to see e-Voting option. Click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.com or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800-21-09911

B) Login Method for e-Voting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.
3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.
   Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at https://eservices.nsdl.com/ with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below:

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12****** then your user ID is IN300***12******.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12************** then your user ID is 12**************
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for shareholders other than Individual shareholders are given below:
   a) If you are already registered for e-Voting, then you can user your existing password to login and cast your vote.
   b) If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
   c) How to retrieve your 'initial password'?
      (i) If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.
      (ii) If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered.**

6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:
   a) Click on "Forgot User Details/Password?"(If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
   b) Physical User Reset Password?" (If you are holding shares in physical mode) option available on www.evoting.nsdl.com
   c) If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.com mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
   d) Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.

7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.
8. Now, you will have to click on "Login" button.
9. After you click on the "Login" button, Home page of e-Voting will open.

Step 2: Cast your vote electronically on NSDL e-Voting system.

How to cast your vote electronically on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies "EVEN" in which you are holding shares and whose voting cycle is in active status.
2. Select "EVEN" of company for which you wish to cast your vote during the remote e-Voting period.
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on "Submit" and also "Confirm" when prompted.
5. Upon confirmation, the message "Vote cast successfully" will be displayed.

6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to cssidhimaheshwari@gmail.com with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on **"Upload Board Resolution / Authority Letter"** displayed under **"e-Voting"** tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the "Forgot User Details/Password?" or "Physical User Reset Password?" option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on : 022 - 4886 7000 or send a request at evoting@nsdl.com

Process for those shareholders whose email ids are not registered with the depositories for procuring user id and password and registration of e mail ids for e-voting for the resolutions set out in this notice:

1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) by email to info@avance.in **or** avancetechnologiesltd@gmail.com
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) to info@avance.in **or** avancetechnologiesltd@gmail.com If you are an Individual shareholders holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A**) i.e. Login method for e-Voting for Individual shareholders holding securities in demat mode.
3. Alternatively, shareholder/members may send a request to evoting@nsdl.com for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email ID correctly in their demat account in order to access e-Voting facility.

Annexure-A

DISCLOSURE OF INFORMATION OF DIRECTORS SEEKING APPOINTMENT/RE-APPOINTMENT IN ACCORDANCE WITH REGULATION 36 (3) OF THE SEBI (LODR) REGULATIONS AND APPLICABLE SECRETARIAL STANDARDS

Name of the Director	Mr. Deepak Mane
DIN	07984967
Date of Birth	10/08/1979
Date of first appointment on the Board	30/09/2019
Brief Profile	Mr. Deepak Mane possesses relevant knowledge, experience and expertise in the industry and business environment in which the Company operates. His professional experience and understanding of the sector are expected to contribute effectively to the overall functioning and growth of the Company.
Qualification	Graduate
Expertise in Special Functional Areas	Marketing
*Directorship held in other Public Limited Companies	Nil
No. of Meetings of the Board attended during the financial year	13 (Thirteen)
Shareholding in the Company	Nil
Disclosure of inter-se relationships between Directors and Key Managerial Personnel of the Company	None
Listed entities from which the person has resigned in the past three years	Nil
*Chairmanship/Member of the Committees of the Board of Directors of the Company	Nil
*Chairmanship Member of the committees of Directors of another Company	Nil

* *excluding private, foreign companies and Section 8 Companies.*

DISCLOSURE OF INFORMATION PURSUANT TO REGULATION 36(5) OF SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

Particulars	Details
Name of the Auditor	M/s. A. Raghavendra Rao & Associates
Proposed audit fee payable to auditors	As may be decided between the Board of Directors and the proposed Auditor.
Terms of appointment	5 (Five) years commencing from the conclusion of this AGM upto the conclusion of AGM to be held in year 2031.
Material change in fee payable	None
Basis of recommendation and auditor Credentials	The Audit Committee, after considering the credentials, experience and expertise of the firm and its partners, has recommended the appointment of M/s. A. Raghavendra Rao & Associates, Chartered Accountants, as the Statutory Auditors of the Company.

PROXY FORM

(Pursuant to section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014)

Name of the member(s): ______________________________ E-mail Id:____
Registered address:___________________________________ Folio No./Client Id: ______________________________
DP/ID:____

I/We being the member(s) of Avance Technologies Limited holding _____________ shares, hereby appoint:
1. Name: ____
Address: ____
Email: ____________________________________ **Signature:**____
or failing him/her;
1. Name: ____
Address: ____
Email: ____________________________________ **Signature:**____

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the **42nd Annual General Meeting** of the Company, to be held on **Tuesday, 29th September, 2026 at 10:00 A.M. IST** at Event Banquet, Opp. Flimstan Studio, S.V. Road, Goregaon (West), Mumbai – 400062 and at any adjournment thereof in respect of such resolutions as are indicated below:

Resolution. No.	Particulars of the Resolution	Vote		
		For	Against	Abstain
1	Consideration and Adoption of the Audited Standalone and Consolidated Financial Statements of the Company for the Financial Year ended 31st March, 2026 and the Reports of the Board of Directors and Auditors thereon			
2	Re-appointment of Mr. Deepak Mane, as a Director liable to retire by rotation			
3	Re-appointment of Statutory Auditors			

*It is optional to put an 'X' in the appropriate column against the Resolutions indicated in the box. If you leave the for or against column blank against any resolutions, your proxy will be entitled to vote in the manner as he/she thinks appropriate.

Note: Notwithstanding the above, the proxies can vote on such other items which may be tabled at the meeting by the management.

Signed: ______ Day of ______________, 2026 **Signature of Shareholder:**______________________________

Signature of Proxy holder(s): ___________________________

Affix Re.1/- Revenue Stamp

Note: *This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than* ***48 hours before the commencement of the Meeting.***

ATTENDANCE SLIP

DP ID No.*:	Folio. No.:
Client ID No.*:	No. of Shares held:

*Applicable for investors holding shares in electronic form

Name and address of the Shareholder(s)/Proxy holder:

____

____

____

____

I / We hereby record my/our presence at the 42nd Annual General Meeting of the Company to be held on Tuesday, 29th September, 2026 at 10:00 A.M. IST at Event Banquet, Opp. Filmstan Studio, S.V. Road, Goregaon (West), Mumbai – 400062.

____

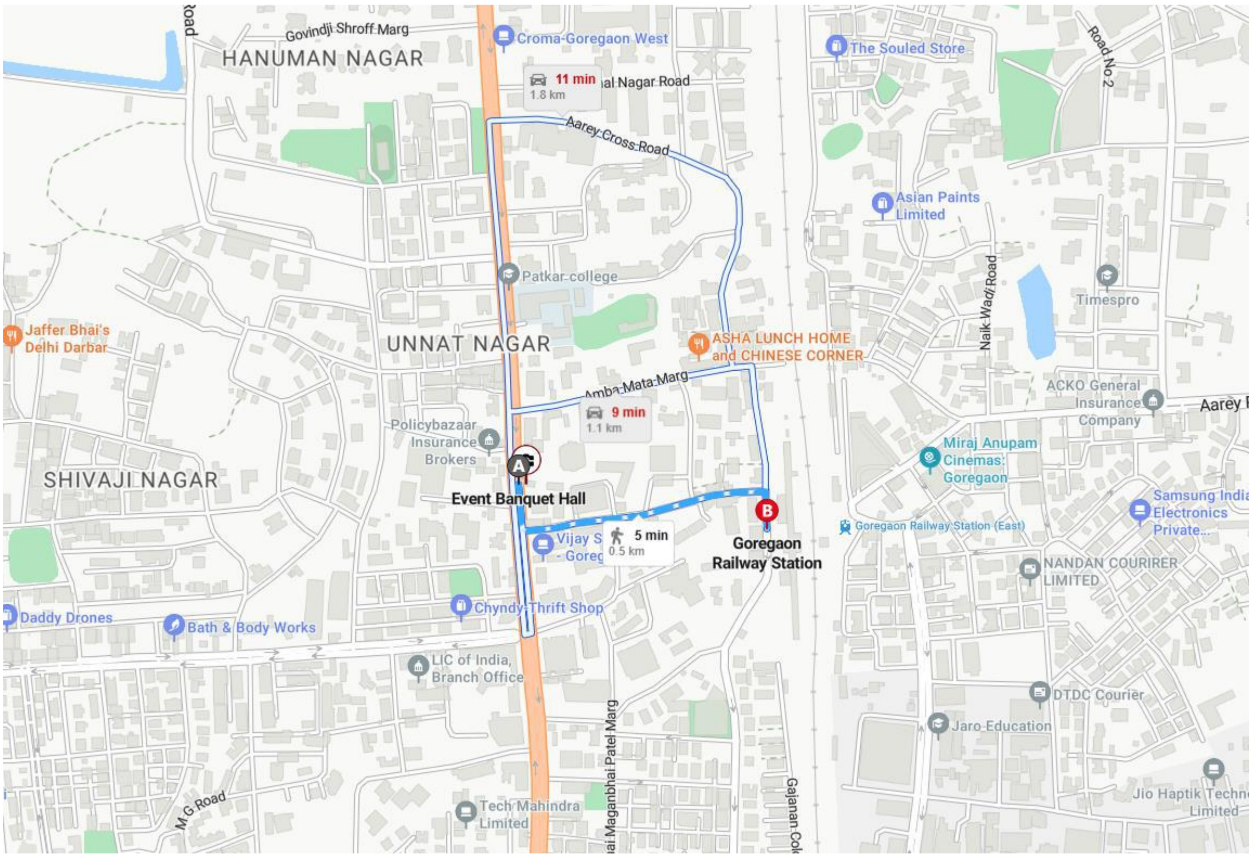
Signature of Member's / Proxy's

Note: (Shareholders attending the meeting in person or by proxy are requested to complete the attendance slip and hand over at the entrance of the Meeting Hall)

****

ROUTE MAP FOR 42nd ANNUAL GENERAL MEETING

Date	: 29th September, 2026
Day	: Tuesday
Time	: 10.00 a.m.
Address	: Event Banquet, Opp. Flimstan Studio, S.V. Road, Goregaon (West), Mumbai – 400062



BOARD'S REPORT

To,
The members of
AVANCE TECHNOLOGIES LIMITED

Your Directors present the **42nd** Annual Report of the Company together with the Audited Standalone and Consolidated Financial Statements for the financial year ended 31st March, 2026.

FINANCIAL OVERVIEW & BUSINESS PERFORMANCE:

(All Amount in *INR* Lakhs, unless otherwise stated)

PARTICULARS	STANDALONE		CONSOLIDATED	
	FY 2025-26	FY 2024-25	FY 2025-26	FY 2024-25
Revenue from Operations	10,108.23	5,793.18	15,925.61	17,176.54
Other Income	1,380.90	218.06	1,384.10	219.75
Total Income	**11,489.13**	**6,011.25**	**17,309.71**	**17,396.29**
Finance Cost	7.87	0.03	8.20	1.57
Depreciation & Amortization	0.02	0.00	0.02	0.00
Total Expenses	**10,166.78**	**5,689.7**	**15,977.32**	**16,713.48**
EBITDA	**1,322.33**	**321.52**	**1,324.16**	**734.40**
Tax Expenses	63.30	114.16	0.56	204.16
Profit for the Period	**1,259.04**	**207.36**	**1,323.61**	**530.24**

PERFORMANCE HIGHLIGHTS:

Standalone Performance

- ✓ Revenue from Operations stood at ₹ 10,108.23Lakhs
- ✓ Total Income at ₹ 11,489.13 Lakhs
- ✓ EBITDA improved to ₹ 1,322.33 Lakhs, reflecting enhanced cost discipline
- ✓ Profit after Tax remained stable at ₹ 1,259.04 Lakhs

While revenues moderated during the year, profitability remained steady, supported by improved operational efficiencies and prudent cost management.

Consolidated Performance

- ✓ Revenue from Operations increased to ₹ 15,925.61Lakhs
- ✓ EBITDA grew to ₹ 1,324.16 Lakhs
- ✓ Profit after Tax rose to ₹ 1,323.61 Lakhs

The consolidated performance reflects strong contributions from subsidiaries and business expansion initiatives, resulting in sustained growth momentum.

STATE OF COMPANY'S AFFAIRS:

The Company continues to operate in the technology and IT product ecosystem, with a focus on scalable opportunities through its subsidiaries. The overall financial position remains stable, with a continued emphasis on long-term value creation.

DIVIDEND & RESERVES:

In order to preserve liquidity and support future growth initiatives, the Board has not recommended any dividend for the financial year.

No amount has been transferred to reserves, and the profits have been retained to strengthen the financial base of the Company.

CAPITAL STRUCTURE:

The Authorized Share Capital of the Company for the FY 2025-26 is Rs. 200,00,00,000/- (Rupees Two Hundred Crores Only) to Rs. 200,00,00,000/- (Rupees Two Hundred Crores only) consisting of 200,00,00,000 (Two Hundred Crores) Equity Shares of Rs. 01/- (Rupee One only) each.

The issued, subscribed and paid-up capital of the Company for FY 2025-26 stands at Rs. 198,19,17,430.00/- (One Hundred Ninety-Eight Crores Nineteen Lakhs Seventeen Thousand Four Hundred Thirty) consisting of 198,19,17,430 (One Hundred Ninety-Eight Crores Nineteen Lakhs Seventeen Thousand Four Hundred Thirty) Equity Shares of Rs. 01/- (Rupee One only) each.

There was no change in the capital structure during the year under review.

AUDIT & ASSURANCE FRAMEWORK:

Changes in Statutory Auditors

During the year under review, M/s. Rishi Sekhri & Associates, Chartered Accountants (FRN: 128216W), resigned from the position of Statutory Auditors of the Company with effect from 20th May, 2026, resulting in a casual vacancy in the office of the Statutory Auditors.

Pursuant to the provisions of Section 139(8) and other applicable provisions of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014, the Board of Directors at their meeting held on 20th May, 2026 based on the recommendation of the Audit Committee, appointed M/s. A. Raghavendra Rao & Associates, Chartered Accountants (FRN: 003324S, Peer Review Certificate No. 018363), to fill the casual vacancy caused by the resignation of the previous Statutory Auditors, subject to the approval of the members.

The Members of the Company approved the said appointment through Postal ballot on 14th August 2026. M/s. A. Raghavendra Rao & Associates have confirmed that they satisfy the criteria prescribed under Sections 139 and 141 of the Companies Act, 2013 and have furnished the necessary consent and certificate of eligibility for their appointment as Statutory Auditors of the Company.

Accordingly, M/s. A. Raghavendra Rao & Associates, Chartered Accountants, were appointed as the Statutory Auditors of the Company to fill the casual vacancy and to hold office for the FY 2025-26.

The Board of Directors, based on the recommendation of the Audit Committee, has proposed the re-appointment of M/s. A. Raghavendra Rao & Associates, Chartered Accountants, as Statutory Auditors of the Company for a further period of 5 (Five) consecutive years, from the conclusion of the ensuing Annual General Meeting until the conclusion of the 47th Annual General Meeting of the Company, subject to the approval of the Members of the Company.

Auditors' Report

The Report issued by the Statutory Auditors on the Standalone and Consolidated Financial Statements for the financial year ended 31st March, 2026 forms part of this Annual Report. The said Report does not contain any qualification, reservation, adverse remark, disclaimer, or modified opinion and therefore does not call for any further explanation from the Board.

Secretarial Audit

In compliance with the provisions of Section 204 of the Companies Act, 2013 read with the applicable rules, the Company has undertaken Secretarial Audit for the financial year ended 31st March, 2026. The audit was conducted by M/s. Sidhi Maheshwari & Associates, Practicing Company Secretaries (Firm Registration No. S2023RJ898900 and Peer review certificate No. 3395/2023).

The Secretarial Audit Report, along with the Annual Secretarial Compliance Report, is annexed to this Report as ***Annexure – 1 Annexure-1.1*** respectively.

The Secretarial Auditor has not reported any qualification, reservation, adverse remark, or disclaimer in their report.

Internal Audit

The Board had appointed M/s. K S G C & Associates, Chartered Accountants (FRN: 021829C), as the Internal Auditors for the financial year 2025-26.

Cost Audit

The provisions relating to Cost Audit as specified under the Companies Act, 2013 are not applicable to the Company.

PUBLIC DEPOSITS:

During the year under review, the Company did not accept or renew any deposits falling within the purview of Section 73 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014.

CHANGE IN NATURE OF BUSINESS:

There was no material change in the nature of business of the Company during the year under review.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNALS:

During the year under review, no significant and material orders were passed by the Regulators, Securities Exchange Board of India, Stock Exchanges, Tribunal or Courts which impact the going concern status and the Company's operations in future.

MATERIAL CHANGES AND COMMITMENTS:

No material changes and commitments affecting the financial position of the Company have occurred between the end of the financial year of the Company to which the Financial Statement relate and the date of this report. There was no change in company's nature of business during the FY 2025- 26.

PERFORMANCE OF SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES:

During the period under review, the Company had 03 (Three) wholly owned subsidiary namely:

- Avance Ventures Private Limited (*incorporated* on 21st April, 2023);
- Verticore Technologies Private Limited (*incorporated* on 31st August, 2024);
- Avance Platforms Private Limited (*incorporated* on 7th October, 2024);

Avance Ventures Private Limited is a Material Subsidiary of the Company in terms of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Company's Policy on Determination of Material Subsidiaries.

Pursuant to the provisions of Section 204 of the Companies Act, 2013 read with the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, Secretarial Audit of Avance Ventures Private Limited was conducted for the financial year ended 31st March, 2026.

The Secretarial Audit Report issued by M/s. Sidhi Maheshwari & Associates, Practicing Company Secretaries (Firm Registration No. S2023RJ898900 and Peer review certificate No. 3395/2023) does not contain any qualification, reservation, adverse remark or disclaimer. The said Report forms part of this Annual Report and is annexed herewith as ***Annexure – 2.***

Accordingly, Form AOC-1 for statement containing salient features of the financial statement of subsidiaries or associate companies or joint ventures pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014 is applicable and details of the same mentioned herewith in ***Annexure – 3*** to this report.

DIRECTORS AND KEY MANAGERIAL PERSONNEL:

i. Retirement by Rotation

In accordance with the provisions of the Companies Act, 2013 and the Articles of Association of the Company, Mr. Deepak Mane (DIN: 07984967), Director of the Company, is liable to retire by rotation at the ensuing Annual General Meeting and, being eligible, has offered himself for re-appointment.

The Board of Directors recommends his re-appointment as Director, subject to the approval of the shareholders at the forthcoming Annual General Meeting.

ii. Changes in Directors/ Key Managerial Personnel during the reporting period

The Company deeply mourned the demise of Late Mr. Srikrishna Bhamidipati (DIN: 02083384) on 1st July, 2025. He had served as the Managing Director since 15th January, 2002 and made significant contributions to the Company's growth through his leadership, guidance, and dedication. The Board placed on record its sincere appreciation for his invaluable services and expressed its heartfelt condolences.

Following the resultant vacancy, the Board appointed Mr. Latesh Poojary (DIN: 10414863) as an Additional Director and Executive Director with effect from 2nd July, 2025. Subsequently, based on the recommendation of the Nomination and Remuneration Committee, the Board re-designated him as Managing Director with effect from 14th August, 2025. His appointment was approved by the members at the 41st Annual General Meeting held on 29th September, 2025.

iii. Changes in Directors/ Key Managerial Personnel after the closure of reporting period

- Mr. Santosh Hambare (DIN: 11523270) has been appointed by the Board as Managing Director and Chief Financial Officer ("CFO") of the Company with effect from 30th June, 2026. The Members of the Company approved the said appointment through Postal ballot on 14th August, 2026.

- Mr. Dipak Gaikwad (DIN: 11797117) has been appointed by the Board as Additional Non-Executive Independent Director of the Company with effect from 30th June, 2026. The Members of the Company regularized the said appointment through Postal ballot on 14th August, 2026.

- The designation of Mr. Latesh Poojary (DIN: 10414863) has been changed by the Board from Managing Director to Non-Executive Director with effect from 30th June, 2026.

- Mr. Vijaysingh Purohit has been resigned from the post of Chief Financial Officer ("CFO") of the Company w.e.f. 20th June, 2026.

iv. Composition

The current composition of the Board is in accordance with the provisions of Section 149 of the Act and Regulation 17 of the Listing Regulations and specifically stated in Corporate Governance Report.

v. Declaration/Disclosures of Directors proposed to be appointed / re-appointed

All the Directors of the Company are in compliance with the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and none of them are disqualified from being appointed or continuing as Directors.

The Directors have duly submitted all necessary disclosures and declarations as required under the applicable provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In accordance with Regulation 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Secretarial Standard on General Meetings, a brief profile of Mr. Deepak Yallappa Mane (DIN: 07984967), including his qualifications, experience, directorships held in other companies, and membership/chairmanship of Board Committees, is provided in the Annexure to the Notice convening the 42nd Annual General Meeting.

MEETINGS OF THE BOARD OF DIRECTORS:

The Board met 13 (Thirteen) times during FY 2025-26 on 29 April 2025, 19 May 2025, 28 May 2025, 2 July 2025, 14 July 2025, 16 July 2025, 14 August 2025, 5 September 2025, 12 November 2025, 4 February 2026, 13 February 2026, 28 February 2026 & 4 March 2026. Notices, agenda papers and pre-reads were circulated in advance to facilitate effective deliberation and decision-making.

DECLARATION BY INDEPENDENT DIRECTORS:

All Independent Directors of the Company have furnished declarations confirming that they meet the criteria of independence as specified under Section 149(6) of the Companies Act, 2013 and that they will abide by the Code for Independent Directors as set out in Schedule IV to the Act.

ANNUAL EVALUATION:

Pursuant to the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board has carried out an annual evaluation of its own performance, that of its committees, the Chairman, the individual directors, the Chief Financial Officer and the Company Secretary. The exercise was led by the Chairman of the Nomination and Remuneration Committee and considered, among other matters, time devoted, core competencies, personal attributes, discharge of specific responsibilities and effectiveness of the Board's functioning. The Directors expressed satisfaction with the evaluation process.

SECRETARIAL STANDARDS:

The Company has complied with all the applicable provisions of Secretarial Standard on Meetings of Board of Directors (SS-1), Revised Secretarial Standard on General Meetings (SS-2) and other voluntarily adopted Secretarial Standards such as Secretarial Standard on Dividend (SS-3), Secretarial Standard on Report of the Board of Directors (SS-4) issued by Institute of Company Secretaries of India.

PARTICULARS OF CONTRACTS OR ARRANGEMENTS MADE WITH RELATED PARTIES:

In line with the requirements of the Companies Act, 2013 and Listing Regulations, the company has formulated a Policy on Related Party Transactions as approved by the Board of Directors which is also available on the Company's website www.avance.in and the same is considered for the purpose of identification and monitoring Related Party transactions.

During the year under review, the Company has not entered any contracts or arrangement with its related parties referred to in Section 188(1) of the Companies Act, 2013.

Disclosures in Form AOC-2 pertaining to material contract and arrangement in terms of Section 134(3)(h) of the Companies Act, 2013, and Rule 8(2) of the Companies (Accounts) Rules 2014, is included in this report as ***Annexure – 5*** and forms an integral part of this report.

ENERGY CONSERVATION, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

As the Company is engaged in the reselling of IT products and is part of the service sector, the disclosure requirements relating to conservation of energy and technology absorption are not materially applicable. Nevertheless, the Company remains conscious of energy efficiency in its operations. There were no foreign exchange earnings or outgo during the year under review.

ANNUAL RETURN:

Pursuant to Section 92(3) read with Section 134(3)(a) of the Companies Act, 2013, the Annual Return as on 31 March 2026 will be placed on the Company's website, www.avance.in, within the stipulated time.

HUMAN RESOURCE, HEALTH & SAFETY:

The Company recognizes its employees as one of the most valuable contributors to its growth and success. Human resource development remains a strategic priority and the Company continues to pursue initiatives that support learning, capability building, operational excellence, diversity and inclusion. The safety, security and well-being of employees remain integral to the Company's operating philosophy.

LOANS, GUARANTEES AND INVESTMENTS

Particulars of loans, guarantees and investments covered under Section 186 of the Companies Act, 2013 have been disclosed in the financial statements for FY 2025-26 and form an integral part of the Annual Report.

INTERNAL CONTROL SYSTEMS:

The Company has an adequate system of internal controls in place. It has documented policies and procedures covering all financial and operating functions. These controls have been designed to provide a reasonable assurance with regard to maintaining of proper accounting controls for ensuring reliability of financial reporting, monitoring of operations, and protecting assets from unauthorized use or losses, compliances with regulations. The Company has continued itself orts to align all its processes and controls with global best practices.

MANAGEMENT DISCUSSION & ANALYSIS:

In compliance with Regulation 34, read with Schedule V(B) of the SEBI (Listing Obligations and Disclosure Requirements) (Amendment) Regulations, 2018, the 'Management Discussion and Analysis Report' is annexed as ***Annexure – 4*** and forms an integral part of this Report.

CORPORATE GOVERNANCE:

The Company remains committed to the highest standards of corporate governance. The report on Corporate Governance, as stipulated under Regulation 34 read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, is enclosed as ***Annexure - 5*** to this Report.

PARTICULARS OF EMPLOYEES:

Pursuant to Section 197(12) of the Act, read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, details/information's related to the remuneration of Directors, Key Managerial Personnel and Employees are set out in ***Annexure – 6*** to this Report.

COMPLIANCE CERTIFICATES:

- ✓ A certificate from the Secretarial Auditor confirming compliance with the conditions of Corporate Governance under the SEBI (LODR) Regulations, 2015 forms part of the Annual Report.

- ✓ A certificate from the Managing Director and Chief Financial Officer under the Listing Regulations, inter alia confirming the correctness of the financial statements and cash flow statements and the adequacy of internal control measures, is annexed to the Annual Report.

- ✓ A certificate of the Auditor on debarment or disqualification of Directors pursuant to Regulation 34(3) read with Para C (10)(i) of Schedule V to the SEBI (LODR) Regulations, 2015 is also annexed to the Annual Report.

CORPORATE SOCIAL RESPONSIBILITY (CSR):

The Company did not meet the threshold prescribed under Section 135(1) of the Companies Act, 2013 read with the Companies (Corporate Social Responsibility Policy) Rules, 2014 and was therefore not required to spend on CSR activities during the year under review.

DIRECTORS' RESPONSIBILITY STATEMENTS:

Pursuant to Section 134(5) of the Companies Act, 2013, the Board of Directors of the Company, hereby confirms that:

- In the preparation of the annual accounts for the year ended 31st March, 2026 the applicable accounting standards have been followed and there are no material departures from the same;
- They have selected such accounting policies, judgments and estimates that are reasonable and prudent and have applied them consistently so as to give a true and fair view of the state of affairs of the Company as at 31st March, 2026 and of the statement of Profit and Loss as well as Cash Flow of the company for the year ended on that date;
- Proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- The annual accounts have been prepared on a going concern basis;
- Necessary internal financial controls have been laid down by the Company and the same are commensurate with its size of operations and that they are adequate and were operating effectively; and
- Proper systems have been devised to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

REPORTING OF FRAUDS:

There were no instances of fraud reported by the auditors under Section 143(12) of the Companies Act, 2013 during the year under review.

POLICY ON NOMINATION AND REMUNERATION:

The Company has adopted a Nomination and Remuneration Policy in accordance with Section 178(3) of the Companies Act, 2013 covering the criteria for appointment, qualifications, positive attributes and independence of directors, together with remuneration principles. The policy is available on the Company's website at www.avance.in

VIGIL MECHANISM / WHISTLE BLOWER POLICY:

The Company has established a Vigil Mechanism and Whistle Blower Policy to enable directors and employees to report genuine concerns, unethical behaviour, actual or suspected fraud, or violation of the Company's code of conduct in an appropriate and protected manner.

None of the whistle blowers have been denied access to the Audit Committee of the Board. The details of the Whistle Blower Policy are posted on the website of the Company at www.avance.in.

POLICY AGAINST SEXUAL HARASSMENT:

The Company is committed to creating a healthy working environment that enables employees to work without fear of prejudice and gender bias. The Company has formulated Policy on prevention, prohibition and redressal of sexual harassment of women at workplaces in accordance with The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013. Your Company has a robust mechanism in place to redress complaints reported under it if any.

COMPLIANCE WITH MATERNITY BENEFIT ACT, 1961:

During the year under review, no employee of the Company availed maternity benefits under the provisions of the Maternity Benefit Act, 1961.

TRANSFER OF UNCLAIMED/UNPAID AMOUNTS TO THE INVESTOR EDUCATION AND PROTECTION FUND:

During the year under review, no amount was required to be transferred to the Investor Education and Protection Fund.

TRANSFER OF SHARES FROM ESCROW:

During the year under review, no shares were transferred from the Escrow Account.

PROCEEDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016:

During the year under review, no proceedings were initiated or remained pending against the Company under the Insolvency and Bankruptcy Code, 2016.

APPRECIATION AND ACKNOWLEDGEMENT:

Your Directors place on record their sincere appreciation for the continued support and co-operation received from the Government, regulatory authorities, bankers, shareholders, customers, business associates and all other stakeholders. The Board also acknowledges with gratitude the commitment and dedicated services rendered by the employees of the Company during the year.

By Order of the Board
For Avance Technologies Limited

Sd/-	**Sd/-**
Santosh Hambare	**Vasant Bhoir**
Managing Director	**Director**
DIN: 11523270	**DIN: 07596882**

Date: 02nd September 2026
Place: Mumbai

Annexures referred to in this Board's Report form part of the Annual Report and should be read together with the accompanying financial statements, certificates and governance disclosure

Annexure-1

Form No. MR-3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31.03.2026
[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of The Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To
The Members
Avance Technologies Limited
CIN: L51900MH1985PLC035210
Reg. Office: 404, Corporate Avenue, Sonawala Road,
Goregaon (East), Mumbai-400063

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by M/s **Avance Technologies Limited (CIN: L51900MH1985PLC035210)** (hereinafter called "the Company"). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained and provided by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on March 31, 2026 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on March 31, 2026 according to the provisions of:

(i) The Companies Act, 2013 (the Act) and the rules made thereunder;
(ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
(iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
(iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **(Not Applicable During the Audit Period)**
(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
   (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
   (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992;
   (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009;
   (d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999 **(Not applicable during the Audit Period)**;
   (e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 **(Not applicable during the Audit Period)**;
   (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
   (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009 **(Not applicable during the Audit Period)**; and
   (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998. **(Not applicable during the Audit Period)**
   (i) other regulations as applicable.

I have also examined compliance with the applicable clauses of the Listing Agreements entered into by the Company with Stock Exchange and the Secretarial Standards as issued by the Institute of the Company Secretaries of India.

During the audit period under review and as per information and clarifications provided by the management, I hereby confirm that the Company has generally complied with the provisions of the Act, Rules, Regulations, Guidelines, etc. as mentioned above subject to the observations as mentioned hereinabove.

I further report that:

S.NO.	PARTICULARS	REMARKS
1.	**Change in Registered Office**	1. During the audit period, the Company shifted its registered office from "**211, Lotus Business Park, 2nd Floor, S.V. Road, Malad (West), Mumbai – 400 064 to "#B-404, Technocity IT Park, MIDC Mahape, Navi Mumbai, Mumbai – 400705"** both located within the local limits of the same city. 2. During the audit period, the Company shifted its registered office from **"#B-404, Technocity IT Park, MIDC Mahape, Navi Mumbai, Mumbai – 400705" to "404, Corporate Avenue, Sonawala Road, Goregaon (East), Mumbai-400063,"** both located within the local limits of the same city.
2.	**Change in Directorate**	During the year, Mr. Latesh Poojary was appointed as Executive Director of the Company w.e.f. 02.07.2025. Further, Mr. Srikrishna Bhamidipati, who was Managing Director as well as Promoter of the Company demised on 01.07.2025.

I report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
(Proprietor)
CP No. 16018
UDIN: A043283H000451614
P.R.N: 3395/2023
Firm Registration No. S2023RJ898900
Place: Jaipur
Date: 23/05/2026

Annexure- A

To
The Members
Avance Technologies Limited
CIN: L51900MH1985PLC035210
Reg. Office: 404, Corporate Avenue, Sonawala Road, Goregaon (East), Mumbai-400063

Our report of even date is to be read along with this Annexure.

1. **Maintenance of secretarial records is the responsibility of the management of the Company**. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. **We have followed the audit practices and processes** as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on a test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices followed by us provide a reasonable basis for our opinion.
3. **We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company**.
4. **Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events, etc.**
5. **The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of the management.** Our examination was limited to the verification of procedures on test basis.
6. **The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.**

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
(Proprietor)
CP No. 16018
UDIN: A043283H000451614
P.R.N: 3395/2023
Firm Registration No. S2023RJ898900
Place: Jaipur
Date: 23/05/2026

Annexure – 1.1

SECRETARIAL COMPLIANCE REPORT OF AVANCE TECHNOLOGIES LIMITED
For the Financial Year Ended on March 31, 2026

To,
Avance Technologies Limited
CIN: L51900MH1985PLC035210
Regd. Office: 404, Corporate Avenue, Sonawala Road,
Goregaon (East), Mumbai – 400 063

We have conducted the review of the compliance of the applicable statutory provisions and the adherence to good corporate practices by **Avance Technologies Limited** (hereinafter referred as "the Company"), having its registered office at 404, Corporate Avenue, Sonawala Road, Goregaon (East), Mumbai - 400063. Secretarial Review was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minutes books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of Secretarial Review, we hereby report that the Company has, during the review period covering the financial year ended on March 31, 2026, complied with the statutory provisions listed hereunder in the manner and subject to the reporting made hereinafter:

We, **Sidhi Maheshwari and Associates**, **Company Secretaries**, represented by **Sidhi Maheshwari, Proprietor,** have examined:

- All the documents and records made available to me and explanation provided by Avance Technologies Limited ("the Company"),
- The filings/submissions made by the Company,
- Website of the Company,
- Any other document/filing, as may be relevant, which has been relied upon to make this Report.

For the financial year ended March 31, 2026 **("Review Period")** in respect of compliance with the provisions of:

1. The Securities and Exchange Board of India Act, 1992 (**"SEBI Act"**) and the Regulations, circulars, guidelines issued thereunder; and
2. The Securities Contracts (Regulation) Act, 1956 (**"SCRA"**), rules made thereunder and the Regulations, circulars, guidelines issued thereunder by the SEBI.

The specific Regulations, whose provisions and the circulars/guidelines issued thereunder have been examined, include:

- Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (**"SEBI LODR"**)
- Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 *(Not Applicable to the Company during the review period)*
- Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011
- Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 *(Not Applicable to the Company during the review period)*
- Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 *(Not Applicable to the Company during the review period)*
- Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 *(Not Applicable to the Company during the review period)*
- Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021 *(Not Applicable to the Company during the review period)*

- Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015
- Securities and Exchange Board of India (Debenture Trustee) Regulations, 1993 *(Not Applicable to the Company during the review period)*
- Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018
- Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client
- Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 *(Not Applicable to the Company during the review period)*
- and circulars/guidelines issued thereunder.

And based on the above examination, I hereby report that, during the Review Period:

The Company has complied with the provisions of the above Regulations and circulars/guidelines issued thereunder, **except in respect of matters specified below:**

1. Table of Deviations / Non-Compliance

Particulars	Details
Compliance Requirement	Regulation 33 of SEBI (LODR) Regulations, 2015 – Submission of Limited Review Report (LRR) along with periodic financial results.
Regulation/Circular No.	Regulation 33
Deviation	Non-submission of LRR along with the financial results for the quarter ended 31 December 2025.
Action Taken By	BSE Limited
Type of Action	Fine imposed by BSE Limited
Details of Violation	The Company failed to submit the LRR along with the financial results for the quarter ended 31 December 2025.
Fine Amount	₹2,65,500/-
PCS Observation	The financial results were submitted to the Stock Exchange without the LRR within the prescribed timeline.
Management Response	M/s. Rishi Sekhri & Associates, Statutory Auditors of the Company, were unable to issue the LRR for December 2025 due to critical illness. The Company subsequently submitted the Unaudited Financial Results along with the LRR on 23 May 2026.
Remarks	Nil

2. Actions taken to comply with observations made in previous reports

The Company has taken the following actions to comply with the observations made in previous reports:

Particulars	Details
Observations/Remarks of the PCS in Previous Reports	No reportable observations.
Observations Made in the Report for FY 2024-25 or Prior Years	None.
Compliance Requirement	Not Applicable.
Details of Violation/Deviation and Action Taken/Penalty Imposed	Not Applicable.
Remedial Actions Taken by the Listed Entity	Not Applicable.
Comments of the PCS on the Actions Taken	Not Applicable.

3. Detailed Compliance Status of the Company

I hereby further report the compliance status of the Company, during the Review Period, with the following requirements:

Sr. No.	Particulars	Compliance Status	Observations / Remarks by PCS
1	Secretarial Standards issued by ICSI	Yes	Complied.
2(a)	Adoption of applicable SEBI policies with Board approval	Yes	Complied.
2(b)	Review and updation of policies in line with SEBI Regulations	Yes	Complied.
3(a)	Maintenance of functional website	Yes	Complied.
3(b)	Timely dissemination of information on website	Yes	Complied.
3(c)	Accuracy of web-links in Corporate Governance Report	Yes	Complied.
4	Disqualification of Directors under Section 164 of the Companies Act, 2013	Yes	None of the Directors are disqualified.
5(a)	Identification of material subsidiary companies	Yes	Avance Ventures Private Limited is a material subsidiary under Regulation 16(1)(c).
5(b)	Disclosure requirements relating to subsidiaries	Yes	Complied.
6	Preservation of documents and records	Yes	Complied.
7	Performance evaluation of Board, Committees and Independent Directors	Yes	Complied.
8(a)	Prior Audit Committee approval for Related Party Transactions	Yes	Complied.
8(b)	Subsequent ratification where prior approval not obtained	NA	Not applicable since prior approvals were obtained.
9	Disclosure of events/information under Regulation 30	Yes	Complied.
10	Compliance with SEBI (PIT) Regulations, 2015	Yes	Complied.
11	Actions taken by SEBI/Stock Exchange(s)	Yes	BSE imposed a penalty of ₹2,65,500 for non-submission of LRR for the quarter ended 31st December 2025.
12	Resignation of Statutory Auditors	NA	M/s. Rishi Sekhri & Associates resigned on 24 April 2026 due to medical reasons.
13	Additional non-compliances under SEBI Regulations	No	No additional non-compliances observed.

***Note:** *The event occurred after the close of the financial year but before the date of signing of this report.*

Assumptions & Limitation of Scope and Review:

1. Compliance of the applicable laws and ensuring the authenticity of documents and information furnished are the responsibilities of the management of the Company.
2. My responsibility is to report based upon my examination of relevant documents and information. This is neither an audit nor an expression of opinion.
3. I have not verified the correctness and appropriateness of financial Records and Books of Accounts of the Company.

4. This Report is solely for the intended purpose of compliance in terms of Regulation 24A (2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
Proprietor
M. No.: 43283 | CP No. 16018
UDIN: A043283H000451559
Date: 23/05/2026 | Place: Jaipur

'Annexure A'

To,
Avance Technologies Limited

My report of even date is to be read along with this letter:

1. Maintenance of records is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on a test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices we followed provide a reasonable basis for my opinion.
3. Wherever required, I have obtained the Management's representation about the compliance of laws, rules and regulations and happening of events etc.
4. The compliance of the provisions of SEBI laws, rules, regulations, circulars and guidelines is the responsibility of the management. My examination was limited to the verification of the procedures on a test basis.
5. As regards the books, papers, forms, reports and returns filed by the Company under these regulations, the adherence and compliance to the requirements of the said regulations is the responsibility of management. My examination was limited to checking the execution and timeliness of the filing of various forms, reports, returns and documents that need to be filed by the Company under the said regulations. I have not verified the correctness and coverage of the contents of such forms, reports, returns and documents.

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
Proprietor
M. No.: 43283 | CP No. 16018
UDIN: A043283H000451559
Date: 23/05/2026 | Place: Jaipur

Annexure – 2

FORM MR-3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31ST MARCH, 2026
[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
AVANCE VENTURES PRIVATE LIMITED
CIN: U62099MH2023PTC401309,
404, Corporate Annexe, Sonawala, Goregaon (East),
Mumbai, Goregaon East, Maharashtra – 400063.

I have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Avance Ventures Private Limited** ("the Company") for the financial year ended **31st March, 2026**.

Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conduct/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed, statutory registers, records maintained by the Company and also the information and explanations provided by the Company, its officers, authorised representatives and based on the representations made by the management, I hereby report that, during the audit period covering the financial year ended **31st March, 2026**, the Company has generally complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended 31st March, 2026 according to the provisions of:

I. The Companies Act, 2013 ("the Act") and the Rules made thereunder;

II. The Securities Contracts (Regulation) Act, 1956 and the Rules made thereunder; Not Applicable, since the Company is an unlisted private company.

III. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder; Not Applicable.

IV. Foreign Exchange Management Act, 1999 and the Rules and Regulations made thereunder relating to:
- Foreign Direct Investment;
- Overseas Direct Investment;
- External Commercial Borrowings.

The provisions of FEMA were not attracted during the audit period based on the information and explanations provided to us.

V. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992:
- SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
- SEBI (Prohibition of Insider Trading) Regulations, 2015;
- SEBI (Issue of Capital and Disclosure Requirements) Regulations;
- SEBI (Listing Obligations and Disclosure Requirements) Regulations;
- SEBI (Share Based Employee Benefits and Sweat Equity) Regulations;
- SEBI (Issue and Listing of Non-Convertible Securities) Regulations;
- SEBI (Buy Back of Securities) Regulations;

- SEBI (Delisting of Equity Shares) Regulations.

The above Regulations are not applicable to the Company during the period under review as the Company is an Unlisted Private Limited Company.

We have also examined compliance with:

- Secretarial Standard-1 (SS-1) on Meetings of the Board of Directors;
- Secretarial Standard-2 (SS-2) on General Meetings,

issued by the Institute of Company Secretaries of India.

Based on our examination, the Company has generally complied with the applicable provisions of the Secretarial Standards.

All decisions at the meetings of the Board and the meetings of the Committees were carried out unanimously as recorded in the minutes of the meetings of the Board of Directors or Committees of the Board, as the case may be.

During the audit period under review, the Company has generally complied with the provisions of the Act, Rules, Regulations, Guidelines and Standards mentioned above.

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
Proprietor
M. No.: 43283 | CP No. 16018
UDIN: A043283H000966018
PEER REVIEW: S2023RJ898900
Date: 29/07/2026 | Place: Jaipur

'Annexure A'

To
The Members,
AVANCE VENTURES PRIVATE LIMITED
CIN: U62099MH2023PTC401309,
404, Corporate Annexe, Sonawala, Goregaon (East),
Mumbai, Goregaon East, Maharashtra – 400063.

My above report is subject to the following:

1. Maintenance of Secretarial Records is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records, based on our audit;

2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed, provide a reasonable basis for our opinion;

3. We have verified the correctness and appropriateness of financial records and books of accounts of the Company as per the records provided by the management of the Company;

4. Wherever required, we have obtained the Management Representation, in writing as well as verbal, about the compliance of laws, rules and regulations and happening of events etc.;

5. The Compliance of the provisions of the Corporate and other applicable laws, rules, regulations, standards etc. is the responsibility of the management. Our examination was limited to the verification of the procedures on test basis;

6. The secretarial audit report, is neither an assurance as to the future viability of the Company nor of the efficacy or the effectiveness with which the management has conducted the affairs of the Company.

7. The compilation of the Secretarial Audit Report and the above-mentioned contents are without any bias and/ or prejudice.

For Sidhi Maheshwari & Associates
Company Secretaries
Sd/-
SIDHI MAHESHWARI
Proprietor
M. No.: 43283 | CP No. 16018
UDIN: A043283H000966018
PEER REVIEW: S2023RJ898900
Date: 29/07/2026 | Place: Jaipur

Annexure – 3

FORM NO. AOC – 1

Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014

Part A: Subsidiary Information

(Amount in Rs.)

Particulars	Details		
Name of the subsidiary	Avance Ventures Private Limited	Verticore Technologies Private Limited	Avance Platforms Private Limited
Reporting period for the subsidiary concerned, if different from the holding company's reporting period	31st March 2026	31st March 2026	31st March 2026
Date of subsidiary incorporation	21st April 2023	31st August, 2024	7th October, 2024
Reporting currency	INR	INR	INR
Exchange Rate	Not applicable	Not applicable	Not applicable
Capital	Rs. 10,00,000/-	Rs. 10,00,000/-	Rs. 10,00,000/-
Reserves & Surplus	Rs. 6,20,47,784.24/-	Rs. (0.18)/-	Rs. (5.30)/-
Total Assets	Rs. 1,57,07,28,433.00/-	Rs. 1,359.63/-	Rs. 1,295.80/-
Total Liabilities	Rs. 1,57,07,28,433.00/-	Rs. 1,359.63/-	Rs. 1,295.80/-
Investments	NIL	NIL	NIL
Turnover	Rs. 58,17,37,600.00/-	NIL	NIL
Profit before Taxation	Rs. 7,31,598.00	Rs. (0.18)/-	Rs. (5.30)/-
Provision for Taxation	NIL	NIL	NIL
Profit after Taxation	NIL	NIL	NIL
Proposed Dividend	NIL	NIL	NIL
% of shareholding	100%	100%	100%

Names of subsidiaries which are yet to commence operations: **None**
Names of subsidiaries which have been liquidated or sold during the year: **None**

Part B: Associates and Joint Ventures
There are no associate or joint ventures as on the date of this report.

Annexure – 4

REPORT ON MANAGEMENT DISCUSSION AND ANALYSIS

Indian Economic Overview

In FY26, the Indian economy demonstrated sustained resilience and accelerated its growth trajectory, with real GDP estimated to grow by 7.7 percent, compared with 7.1 percent in FY25. Growth was supported by robust domestic demand, strengthening private consumption, continued capital formation and broad-based activity across manufacturing and services. The economy remained resilient amid a complex global environment characterized by geopolitical uncertainties, evolving trade dynamics and external economic pressures. Real GVA growth also strengthened to 7.9 percent, reflecting improved activity across key sectors of the economy.

The economy maintained its momentum through the fourth quarter of FY26, with real GDP growth estimated at 7.8 percent, supported by strong performance in the secondary and tertiary sectors. Manufacturing, construction, financial and professional services, and trade-related activities remained important contributors to economic expansion. On the expenditure side, both private final consumption expenditure and gross fixed capital formation recorded growth of more than 7.5 percent during FY26, highlighting the continued strength of domestic consumption and investment. These developments, together with sustained infrastructure development and improving economic fundamentals, reinforce India's position as one of the world's major high-growth economies.

Technology Industry Overview

The Indian technology industry continued its strong growth trajectory in FY26, supported by accelerating digital transformation, increasing enterprise technology spending, and rising global demand for technology-enabled services. India’s technology industry revenue was estimated at approximately US$315.4 billion in FY26, compared with around US$283 billion in FY25, reflecting continued expansion across IT services, business process management, engineering and R&D, software products and emerging digital technologies. Technology exports also remained resilient, with IT exports estimated at US$246.4 billion during FY26 up to February 2026. The sector increasingly shifted towards higher-value services as enterprises accelerated investments in artificial intelligence, cloud modernisation, cybersecurity, data engineering and automation.

Artificial intelligence emerged as a major structural driver of the technology industry during FY26, with organisations moving beyond experimentation towards integrating AI into software development, business processes, customer operations and enterprise decision-making. Cloud adoption, cybersecurity, data centres and Global Capability Centres (GCCs) also continued to expand, creating new opportunities across the technology ecosystem. The Government’s continued support through the IndiaAI Mission, with an allocation of more than ₹10,300 crore over five years and planned deployment of 38,000 GPUs, further strengthened India’s AI infrastructure and innovation ecosystem. At the same time, the expansion of GCCs and technology hubs beyond traditional metropolitan centres supported employment and distributed the sector’s growth across emerging technology locations.

Looking ahead, the Indian technology sector is positioned for continued expansion as global enterprises increasingly priorities productivity, automation, AI-led transformation, cloud infrastructure and cybersecurity. The Economic Survey 2025-26 identifies a structural shift in global demand towards productivity-enhancing solutions driven by Generative AI, cloud adoption, cybersecurity and data engineering, creating opportunities for Indian technology companies to move further up the value chain. The sector’s large skilled workforce, expanding digital infrastructure, strong export capabilities and growing global recognition position India favorably for the next phase of technology-led growth. However, continued investment in advanced skills, reskilling and innovation will remain essential as technology and business models evolve rapidly.

Financial Performance Overview

In FY2026, Avance Technologies Limited reported total income of ₹17,309.71 lakhs, compared with ₹17,396.29 lakhs in FY2025, representing a marginal decline of approximately 0.5 percent. Revenue from operations stood at ₹15,925.61 lakhs, compared with ₹17,176.54 lakhs in the previous year. The moderation in operating revenue was accompanied by a significant improvement in profitability, supported by stronger overall earnings and other income during the year.

Profit after tax increased substantially to ₹1,323.61 lakhs in FY2026, compared with ₹530.24 lakhs in FY2025, representing a growth of approximately 149.6 percent. Earnings per share (EPS) similarly increased to ₹0.668 in FY2026 from ₹0.268 in FY2025, reflecting a significant improvement in earnings attributable to shareholders.

The Company's performance reflects a substantial strengthening in profitability during FY2026 despite a moderation in operating revenue. The improvement in earnings provides a stronger financial base for the Company to pursue growth opportunities, expand its technology-led offerings and strengthen its position within the evolving digital technology ecosystem.

Financial Performance Overview

Particulars	FY 2026	FY 2025
Current Ratio	0.92	1.00
Net Profit Margin	8.3%	3.1%
Return on Equity (ROE)	3.4%	1.4%
Return on Capital Employed (ROCE)	-0.2%	1.4%

Opportunities

India's continued economic expansion and rapid digitalisation provide a favorable environment for the technology sector. Increasing enterprise adoption of artificial intelligence, generative AI, cloud computing, cybersecurity, automation and data-driven solutions is creating new opportunities for technology companies to expand their product and service portfolios. The growing adoption of digital platforms across industries, together with increasing investments in technology infrastructure and Global Capability Centres (GCCs), is expected to sustain demand for technology-enabled solutions.

The rapid evolution of AI presents an additional opportunity to develop higher-value technology offerings and improve operational efficiency through automation. Increasing demand from sectors such as financial services, healthcare, retail, manufacturing and professional services can enable technology companies to diversify their customer base and address industry-specific digital transformation requirements. India's strong technology talent pool, expanding digital infrastructure and growing integration with global technology ecosystems further support long-term sectoral opportunities.

Threats

Despite the favorable growth outlook, the technology industry continues to face several structural and external challenges. The rapid pace of technological change, particularly in artificial intelligence and automation, is increasing the need for continuous reskilling and upskilling of employees. Shortages of specialised talent in areas such as AI, machine learning, cybersecurity, cloud computing and advanced data engineering may increase hiring and capability-development costs and could affect the timely execution of technology projects.

The sector also remains exposed to global economic uncertainties, geopolitical developments, changes in international trade policies and fluctuations in technology spending across major export markets. Increasing competition from global technology companies, specialised digital firms and emerging AI-native businesses may place pressure on pricing, margins and customer retention.

Cybersecurity threats, data privacy requirements, regulatory changes and increasing dependence on digital infrastructure represent additional operational risks. The rapid adoption of AI also introduces risks relating to data governance, intellectual property, responsible AI usage and regulatory compliance. Maintaining technological relevance while investing in innovation, cybersecurity, talent development and regulatory compliance will therefore remain critical to sustainable growth.

Human Resource and Investor Relation

Avance Technologies Ltd. continues to recognise its employees as a key enabler of sustainable business growth and remains focused on building a capable, adaptable and performance-oriented workforce. During FY2025-26, the Company continued to emphasise employee engagement, professional development and skill enhancement, particularly in view of the rapidly evolving technology landscape. The Company encourages continuous learning and provides opportunities for employees to develop capabilities aligned with emerging areas such as digital technologies, artificial intelligence, automation and cybersecurity.

The Company remains committed to fostering an inclusive, collaborative and merit-based work environment built on mutual respect, transparency and accountability. With a strong emphasis on employee well-being and professional growth, Avance Technologies Ltd. seeks to create an environment where employees can contribute effectively while developing their capabilities. Industrial relations remained cordial and harmonious during the year, supporting operational continuity and the Company's focus on sustainable organisational growth.

Internal Control System and Adequacy

Avance Technologies Ltd. has established an internal control framework commensurate with the nature, scale and complexity of its operations. The internal control systems are designed to safeguard the Company's assets, ensure appropriate authorisation of transactions, promote operational efficiency and maintain accurate, complete and reliable financial and operational records. The control environment also supports compliance with applicable laws, regulations, policies and internal procedures.

The Company's internal audit and monitoring mechanisms play an important role in evaluating the effectiveness of internal controls and identifying areas requiring improvement. Periodic reviews are undertaken across relevant operational and financial processes, with observations and recommendations placed before the Audit Committee for consideration. The recommendations of the statutory auditors, internal audit function and the Audit Committee are appropriately reviewed by management, and necessary corrective and preventive measures are undertaken wherever required.

During FY2025-26, the Company continued to focus on strengthening its control environment in line with the evolving nature of its technology-driven operations. Particular emphasis remains on financial reporting controls, transaction authorisation, regulatory compliance, information security and protection of business and financial information. Management believes that the internal control systems are adequate and operating effectively, commensurate with the Company's current scale and operational requirements.

Annexure – 5

Report On Corporate Governance

OUR CORE PHILOSOPHY ON CORPORATE GOVERNANCE:

In today's fast-paced and ever-evolving Information Technology (IT) landscape, the Company recognizes that strong corporate governance forms the foundation for fostering trust, enhancing transparency, and achieving sustainable long-term growth. We remain steadfast in our commitment to the highest standards of integrity, innovation, and accountability across all areas of our operations.

The Company's governance framework is built upon the principles of prudent decision-making, safeguarding stakeholder interests, and ensuring strict compliance with applicable legal and regulatory requirements. We firmly believe that effective corporate governance not only strengthens investor confidence but also reinforces critical aspects of the IT sector, including innovation, data protection, and cybersecurity.

We consistently endeavor to benchmark our governance practices against global and industry standards, thereby promoting a culture of fairness, continuous improvement, and transparent communication. Through these efforts, we aim to create sustained value for our stakeholders, remain resilient in a competitive business environment, and actively contribute to the broader digital transformation of society.

BOARD LEADERSHIPS:

i. Composition of the Board and their inter-se relationship

The Board of Directors of the Company comprises a well-balanced mix of individuals possessing diverse expertise, qualifications, professional backgrounds, gender representation, and age profiles. This diversity collectively enhances the quality of decision-making and supports the Company's commitment to sustainable and long-term growth, in compliance with the provisions of the Companies Act, 2013 ("the Act") and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time.

As on 31st March 2026, the Board consists of six (06) Directors, including one (01) Managing Director, two (02) Non-Executive Directors, and three (03) Independent Directors. The Independent Directors do not have any inter-se relationship with each other.

Further, none of the Directors hold directorships in more than ten (10) public companies or serve as a Director or Independent Director in more than seven (07) listed entities. Additionally, no Executive Director holds the position of an Independent Director in more than three listed entities.

All Directors have duly disclosed their committee positions held in other public companies as on 31st March 2026.

The composition of the Board, along with details of Directors, their categories, committee memberships, and other relevant information as on 31st March 2026, is presented below:

Name of Directors & Category	Designation	Listed Companies Directorships (incl. "AVANCE")$	Committee positions #		Other Listed Companies Directorships
			As Chairman	As Member	
Mr. Latesh Poojary Managing Director	Executive Director	01	Nil	Nil	Nil
Mr. Vasant Bhoir Non-Executive-Non-Independent	Non-Executive Director	02	Nil	02	Panki Investments Limited (Director)
Mr. Deepak Mane Non-Executive-Non-Independent	Non-Executive Director	01	Nil	Nil	Nil
Mrs. Shakila Makandar Non-Executive-Independent	Independent Director	01	Nil	02	Nil
Mr. Akshay Nawale Non-Executive-Independent	Independent Director	03	05	06	Allied Computers International (Asia)Limited (Independent Director) Sanguine Media Limited (Independent Director)
Mr. Sanjay Devlekar Non-Executive-Independent	Independent Director	01	Nil	Nil	Nil

$ Includes directorships in AVANCE. # Only Audit Committee and Stakeholders' Relationship Committee positions are counted.

ii. Annual Confirmation of Independence by Independent Directors

Independent Directors are required to maintain independence from the Promoters, other Directors, and Senior Management, and must ensure that no circumstances exist which, in their judgment, could compromise their independence.

Each Independent Director, at the first Board Meeting in which he or she participates as a Director and subsequently at the first Board Meeting of every financial year, submits a declaration confirming that they meet the criteria of independence as prescribed under Section 149 of the Companies Act, 2013, along with the applicable rules thereunder, and Regulations 16(1)(b) and 25(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The Company has received the requisite declarations from all Independent Directors and has duly assessed and confirmed that they fulfill the prescribed criteria of independence and remain independent of the management.

iii. Meeting of Independent Directors:

During the year, a separate meeting of the Independent Directors was convened on Friday, 13th February, 2026, in the absence of the Non-Executive Directors, Managing Director, and members of the Management, to deliberate on matters as required and mutually agreed upon by them.

iv. Matrix setting out the Skills /Expertise /Competence of the Board of Directors:

Pursuant to the provisions of Sub-para 2(h) of Part C of Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, set out below is the list of core skills, expertise, and competencies identified by the Board as essential for effective oversight and efficient functioning of the Company:

v. Meetings of the Board of Directors

The Board met 13 (Thirteen) times during the Financial Year 2025-26 viz. 29th April, 2025, 19th May, 2025, 28th May, 2025, 02nd July, 2025, 14th July, 2025, 16th July, 2025, 14th August, 2025, 05th September, 2025, 12th November, 2025, 04th February, 2026, 13th February, 2026, 28th February, 2026 and 04th March, 2026.

Attendance of Board of Directors at the Board Meeting and the Last Annual General Meeting:

Name of Directors	Board Meetings Attended (out of Liable Meetings)	Attendance at Last AGM September 29, 2025
Mr. Srikrishna Bhamidipati*	03 / 03 (100%)	**Not Applicable**
Mr. Latesh Poojary	09 / 09 (100%)	✓ **Present**
Mrs. Shakila Makandar	13 / 13 (100%)	✓ **Present**
Mr. Akshay Nawale	13 / 13 (100%)	✓ **Present**
Mr. Sanjay Devlekar	13 / 13 (100%)	✓ **Present**
Mr. Vasant Bhoir	13 / 13 (100%)	✓ **Present**
Mr. Deepak Mane	13 / 13 (100%)	✓ **Present**

Note:

**Mr. Srikrishna Bhamidipati ceased to be the Managing Director of the Company upon his demise on 1st July, 2025*

Figures indicate meetings attended out of meetings the Director was liable to attend during FY 2025-26. All Directors maintained 100% attendance

vi. Familiarization programme for Independent Directors

In compliance with regulatory requirements, the Company has instituted a structured familiarization program for Independent Directors. Conducted periodically at quarterly Board meetings, the program is designed to provide an in-depth understanding of the Company's business, the industry in which it operates, its business model, and the specific roles, rights, and responsibilities of Independent Directors.

Further, the Management proactively apprises the Board of any changes or amendments to relevant laws, rules, and regulations. This ensures that Independent Directors are continuously updated and empowered to contribute meaningfully to Board deliberations and governance.

The details of such programs are disclosed on the Company's website: https://www.avance.in

vii. Board Evaluation

In accordance with the provisions of the Companies Act, 2013 and Regulations 17 and 25 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Board carried out an annual performance evaluation.

A structured questionnaire was circulated, covering key aspects of Board functioning, including Board and Committee composition, culture, execution of duties, governance practices, and discharge of specific obligations. The evaluation of Independent Directors was also completed as part of this exercise.

During the year under review, the Independent Directors held a separate meeting on Friday, 13th February 2026, inter alia, to:

- Evaluate the performance of Non-Independent Directors and the Board as a whole;
- Evaluate the performance of the Chairman of the Company; and
- Assess the quality, quantity, and timeliness of flow of information between Management and the Board.

The Board of Directors expressed satisfaction with the evaluation process and its outcome.

viii. Shares/ Convertible Instruments held by Non-Executive Directors

As on 31st March, 2026 none of the Non-Executive Directors hold any equity shares or convertible instruments of the Company.

AUDIT COMMITTEE:

Pursuant to Section 177 of the Companies Act, 2013 and Regulation 18 of the SEBI (LODR) Regulations, 2015 the Company has constituted an Audit Committee comprising three (3) Directors, including two (2) Independent Directors and one (1) Non-Executive Director. The Chairman of the Committee is an Independent Director.

The Committee oversees the financial reporting process, internal controls, statutory compliance, and reviews the performance and independence of the Statutory Auditors and internal audit function.

During FY 2025-26, all recommendations of the Committee were accepted by the Board.

The Committee met Eight (8) times during the year on 29th April, 2025; 19th May, 2025; 28th May, 2025; 16th July 2025; 14th August, 2025; 5th September, 2025; 12th November, 2025; and 13th February, 2026.

Name of Member	Category	Designation	Meetings Attended
Mr. Akshay Nawale	Non-Executive - Independent	Chairman	08 / 08
Mrs. Shakila Makandar	Non-Executive - Independent	Member	08 / 08
Mr. Vasant Bhoir	Non-Executive	Member	08 / 08

NOMINATION AND REMUNERATION COMMITTEE:

Pursuant to Regulation 19 of the SEBI (LODR) Regulations, 2015 the Company has constituted a Nomination and Remuneration Committee comprising three (3) Directors, including two (2) Independent Directors and one (1) Non-Executive Director. The Chairman of the Committee is an Independent Director.

The Committee, inter alia, is responsible for identifying and recommending candidates for appointment as Directors and Key Managerial Personnel, determining remuneration structure, evaluating performance of the Board, Directors and KMP, and ensuring succession planning.

The Committee met Three (3) times during the year on 02nd July, 2025; 14th August, 2025; and 05th September, 2025. The attendance of members is as under:

Name of Member	Category	Designation	Meetings Attended
Mr. Akshay Nawale	Non-Executive - Independent	Chairman	03 / 03
Mrs. Shakila Makandar	Non-Executive - Independent	Member	03 / 03
Mr. Vasant Bhoir	Non-Executive	Member	03 / 03

ANNUAL EVALUATION OF BOARD, ITS COMMITTEES AND INDIVIDUAL DIRECTORS:

To uphold the highest governance standards, the Company undertakes a comprehensive annual evaluation as mandated by the SEBI (LODR) Regulations, 2015.

Statutory Basis: Conducted pursuant to Regulation 17(10) & 25(4) of SEBI (LODR) Regulations, 2015 and Schedule IV of the Companies Act, 2013.

Scope of Evaluation:

- Board as a whole — Composition, culture, strategy oversight, risk management
- Board Committees — Terms of reference, effectiveness, meeting conduct
- Individual Directors — Attendance, preparedness, contribution, independence, compliance with Code of Conduct

Chairperson — Leadership, Board Management, Stakeholder Engagement.

Methodology: Questionnaire-based assessment followed by review. Independent Directors were evaluated by the Board excluding the concerned Director. A separate meeting of Independent Directors evaluated the Chairperson and Non-Independent Directors.

Outcome: Evaluation findings were discussed by the Board and are being used to identify areas for strengthening Board performance and governance practices.

STAKEHOLDER'S RELATIONSHIP COMMITTEE:

The Company has constituted a Stakeholders' Relationship Committee in line with the requirements of Section 178 of the Companies Act, 2013 and Regulation 20 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Stakeholders' Relationship Committee comprising three (3) Directors, including two (2) Independent Directors and one (1) Non-Executive Director. The Chairman of the Committee is an Independent Director.

The Committee oversees the Company's stakeholder engagement and communication framework to ensure shareholder concerns are escalated to the Board, monitors investor service standards including share transfer, transmission and dematerialisation, and ensures compliance with all statutory requirements relating to shareholder services and grievance redressal.

The Committee met four (4) times during the year on 28th May 2025, 14th August 2025, 12th November 2025, and 13th February 2026, and the attendance of members is set out below.

Name of Member	Category	Designation	Meetings Attended
Mr. Akshay Nawale	Non-Executive - Independent	Chairman	04 / 04
Mrs. Shakila Makandar	Non-Executive - Independent	Member	04 / 04
Mr. Vasant Bhoir	Non-Executive	Member	04 / 04

RISK MANAGEMENT COMMITTEE:

Risk management is embedded in your company's operating framework. Your company believes that managing risk helps in maximizing returns. The company's approach to addressing business risk is comprehensive and includes periodic review of such risks and a framework for mitigating controls and reporting mechanism of such risks.

The management of the Company through its board meetings reviews, identifies, and mitigates various risks which may have negative consequences on the Company's business. The Company's internal control systems are commensurate with the nature of its business and the size and complexity of its operations.

The Risk Management Committee comprises of 03 (Three) Directors out of which 02 (Two) are Independent Directors and 01 (One) is Non-Executive Director. The Chairman of the Committee is an Independent Director.

The Committee met once during the year on **Friday, 05th September, 2025** and the attendances of Members at the Meetings were as follows:

Name of Member	Category	Designation	Meetings Attended
Mr. Akshay Nawale	Non-Executive - Independent	Chairman	01/ 01
Mrs. Shakila Makandar	Non-Executive - Independent	Member	01/ 01
Mr. Vasant Bhoir	Non-Executive	Member	01/ 01

INVESTOR GRIEVANCE REDRESSAL:

During the year under review, there were no investor grievances pending for Redressal as the end of the financial year and all the queries from the stakeholders were attended to promptly. Further, there were no pending transfers for the year under review.

Mention about company having scores and cadre redressal platforms

COMPANY SECRETARY AND COMPLIANCE OFFICER:

CS Sneha Shrivastava
Company Secretary and Compliance Officer
Membership No: A36145

Contact Details:
Phone: - +91 8655865985
Email Id: avancetechnologiesltd@gmail.com; info@avance.in

SEPARATE MEETING OF INDEPENDENT DIRECTORS:

In accordance with Schedule IV of the Companies Act, 2013 and Regulation 25(3) of the SEBI (LODR) Regulations, 2015, the Independent Directors of the Company held a separate meeting on **Friday, 13th February 2026**, without the attendance of Non-Independent Directors, Executive Directors, or members of Management.

At the meeting, the Independent Directors, inter alia, evaluated the performance of the Non-Independent Directors and the Board as a whole, reviewed the performance of the Chairperson of the Board, and assessed the adequacy, quality, and timeliness of the flow of information between Management and the Board.

PECUNIARY RELATIONSHIPS OR TRANSACTIONS WITH NON-EXECUTIVE DIRECTORS:

During the year under review, there were no pecuniary relationships or transactions between the Company and its Non-Executive Directors, except for the sitting fees/commission as approved by the Board and shareholders, where applicable.

The Register of Contracts or Arrangements in which Directors are interested is maintained by the Company pursuant to Section 189 of the Companies Act, 2013 and is available for inspection.

POLICY ON DIRECTOR'S REMUNERATION:

The Company's Remuneration Policy for Directors, Key Managerial Personnel and other employee is available on the website of your Company www.avance.in. There has been no change in the policy since last financial year. The Remuneration Policy is in consonance with the existing industry practice.

CRITERIA FOR MAKING PAYMENT TO NON-EXECUTIVE DIRECTORS:

The Non-Executive Directors bring independent judgment to Board deliberations, contribute to strategy formulation, and strengthen the Company's governance practices. Recognizing their role, the Company remunerates Non-Executive Directors by way of sitting fees for attending Board and Committee meetings and profit-related commission, subject to statutory limits and shareholder approval.

As required under Section 178 of the Companies Act, 2013 and Regulation 19 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the criteria for payment to Directors, Key Managerial Personnel, and employees are detailed in the Nomination and Remuneration Policy available at www.avance.in.

STOCK OPTIONS, LOANS, AND REMUNERATION:

The Company has no stock option plans for Directors, and no loans were advanced to any Non-Executive Director or the Managing Director during FY 2025-26. The details of remuneration paid/payable to Directors for the year are provided in the Financial Statements annexed to this Report.

CERTIFICATE FROM A COMPANY SECRETARY IN PRACTICE:

The Company has obtained a certificate from M/s. Sidhi Maheshwari & Associates, Practicing Company Secretaries (Firm Registration No. S2023RJ898900 and Peer review certificate No. 3395/2023) confirming that none of the Directors of the Company are disqualified or debarred from being appointed or continuing as Directors by SEBI, the Ministry of Corporate Affairs, or any other statutory authority.

GENERAL BODY MEETINGS:

Annual General Meeting

The details of General Meeting of the Members conducted in last 03 (Three) years are as follows:

Year	Day, Date and Time of Meeting	Venue	Special Resolution Passed
2024-25	Monday, 29th September, 2025 at 12:00 p.m.	Through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM")	No Special Resolution passed
2023-24	Monday, 30th September, 2024 at 10:00 a.m.	Sammelan Hall, A101, Samarth Complex, Jawahar Nagar, Goregaon (West), Mumbai – 400 104	1. To approve the re-appointment of Mr. Srikrishna Bhamidipati (DIN: 02083384) as Managing Director of the Company for further period of 05 (Five) years. 2. To approve the re-appointment of Mr. Sanjay Devlekar (DIN: 07847440) as an Independent Director of the Company for a second term of 05 (Five) consecutive years.
2022-23	Friday, 29th September, 2023 at 09:30 a.m.	Sammelan Hall, A101, Samarth Complex, Jawahar Nagar, Goregaon (West), Mumbai – 400 104	To approve the re-appointment of Mrs. Shakila Makandar (DIN: 06513263) as an Independent Director of the Company for a second term of five consecutive years.

POSTAL BALLOT:

During the year under review, no resolution has been passed through postal ballot. None of the businesses proposed to be transacted at the ensuring Annual General Meeting require passing a resolution through postal ballot.

MEANS OF COMMUNICATION:

The Company promptly submits its quarterly, half-yearly, and annual financial results to the Stock Exchanges upon approval by the Board of Directors. The financial results are also published in English and Marathi newspapers and are made available on the Company's website at www.avance.in

GENERAL INFORMATION TO SHAREHOLDERS:

Sr. No.	Particulars	Details
1.	Annual General Meeting day & date	Tuesday, 29th September, 2026
2.	Annual General Meeting Time	10.00 AM
3.	Venue of Annual General Meeting	Event Banquet, Opp. Filmystan Studio, S.V. Road, Goregaon (West), Mumbai – 400062
4.	Financial Year	1st April 2025 to 31st March 2026
5.	Cut-off Date	22nd September, 2026
6.	E-voting period	26th September, 2026 to 28th September, 2026
7.	Listing on Stock Exchange	BSE Limited
8.	Scrip Code	512149
9.	Depositories	National Securities Depository Limited Central Depository Services (India) Limited
10.	ISIN	INE758A01064
11.	Share Transfer Agents	**Purva Sharegistry (India) Pvt. Ltd** 9 Shiv Shakti Industrial Estate, J R Boricha Marg. Opp. Lodha Excelus, Lower Parel (East), Mumbai – 4000011 **Email Id:** support@purvashare.com **Tel no.:** 022-2301 6761 **Fax:** 022 – 23012517 **Website:** www.purvashare.com
12.	Company Secretary & Compliance Officer	CS Sneha Shrivastava
13.	Correspondence Address	404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400063
14.	Telephone	+91 8655865985
15.	E-mail	info@avance.in; avancetechnologiesltd@gmail.com
16.	Website	www.avance.in

FINANCIAL CALENDAR FOR FY 2026-27:

Quarter / Year Ending	Tentative Date of Board Meeting for Adoption of Results
30th June 2026	On or Before 14th August, 2026
30th September 2026	On or before 14th November, 2026
31st December 2026	On or before 14th February, 2027
31st March 2027	On or before 30th May, 2027

Note: The above dates are tentative and subject to change. The actual date of the Board Meeting shall be intimated to the Stock Exchanges within the timelines prescribed under Regulation 29 of the SEBI (LODR) Regulations, 2015.

SHARE TRANSFER SYSTEM:

The Company's Registrar and Share Transfer Agent ("RTA"), M/s. Purva Sharegistry (India) Pvt. Ltd., Mumbai, handles all requests for transfer of shares held in physical form. A Share Transfer Committee has been constituted to consider and approve requests relating to transfer and transmission of shares, issue of duplicate share certificates, and dematerialisation/rematerialisation of shares.

The Committee meets periodically, and valid and complete transfer requests are processed within the timelines prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Pursuant to Regulation 40(9) of the SEBI Listing Regulations, the Company obtains an annual certificate from a Practicing Company Secretary confirming compliance with share transfer formalities, which is filed with the Stock Exchanges.

Further, a quarterly Reconciliation of Share Capital Audit is conducted by a Practicing Company Secretary to reconcile the total admitted capital with NSDL and CDSL and the total issued and listed capital, and the report is submitted to the Stock Exchanges.

CODE FOR PREVENTION OF INSIDER TRADING:

The Company has in place a Code of Conduct to regulate, monitor, and report trading by Designated Persons and a Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information, formulated in accordance with the SEBI (Prohibition of Insider Trading) Regulations, 2015, as amended. The Codes are strictly enforced to prevent insider trading and ensure timely and adequate disclosure of UPSI.

OUTSTANDING GDRS/ADRS/WARRANTS OR ANY CONVERTIBLE INSTRUMENT AS ON 31ST MARCH, 2026:

The Company does not have any outstanding GDRs/ ADRs/ Warrants/Convertible Instruments as on 31st March 2026.

STOCK MARKET PRICE DATA FOR FY 2025–26:

The monthly high and low prices of the Company's equity shares, along with the market capitalization, as traded on the BSE during the period from 1st April, 2025 to 31st March, 2026, are presented below. A comparative analysis of the Company's share price performance vis-à-vis the broad-based market indices are also provided.

Month	Share Price at BSE			S&P (BSE Sensex)	
	High (Rs.)	Low (Rs.)	Total Number of Equity Shares Traded	High (Rs.)	Low (Rs.)
Apr-25	0.69	0.52	16,10,43,500	80661.31	71425.01
May- 25	0.89	0.57	29,81,55,284	82718.14	78968.34
Jun-25	0.98	0.73	34,06,62,855	84099.53	80354.59
Jul-25	1.40	0.85	50,91,92,793	83935.01	80575.45
Aug-25	1.92	1.42	71,37,70,021	82231.17	79741.76
Sep-25	2.83	1.95	49,68,34,437	83141.21	79818.38
Oct-25	3.15	2.05	20,43,58,203	85290.06	80159.9
Nov-25	1.95	0.91	28,40,92,246	86055.86	82670.95
Dec-25	1.91	0.87	69,66,70,785	86159.02	84150.19
Jan-26	2.17	1.22	34,86,20,518	85883.5	81088.59
Feb-26	1.37	1.10	20,53,91,878	85871.73	79899.42
Mar-26	1.08	1.12	14,52,17,646	80632.55	71774.13

SUMMARY OF SHAREHOLDING PATTERN AS ON 31ST MARCH 2026

Sr. No	Description	No. of Shares	% of shareholding
1	Promoter*	1,35,00,000	0.68
2	Bodies Corporate	6,55,85,546	3.31
3	Individuals	1,84,41,59,292	93.05
4	Clearing Members	25,54,603	0.13
5	N.R.I.	2,40,64,844	1.21
6	Overseas Corporate Bodies	-	-
8	Hindu Undivided Family	3,13,04,148	1.58
9	Any Other	7,48,997	0.04
	TOTAL	1,98,19,17,430	100.00

** shareholding of Deceased Promoter, Mr. Srikrishna Bhamidipati is subject to transmission on completion of necessary formalities.*

DISTRIBUTION OF SHAREHOLDING AS AT 31ST MARCH 2026

Particulars	Number of Shareholders	% of Total	In Rs.
1 to 100	1,40,031	34.73	54,38,202
101 to 200	38,885	9.64	59,71,427
201 to 500	51,252	12.71	1,88,84,871
501 to 1000	50,395	12.50	4,25,36,173
1001 to 5000	76,453	18.96	18,98,87,621
5001 to 10000	19,735	4.89	15,35,03,667
10001 to 100000	24,009	5.95	70,89,50,757
100001 to above	2,469	0.61	85,67,47,412
Total	**4,03,229**	**100.00**	**1,981,917,430**

DE-MATERIALIZATION OF SHARES AND LIQUIDITY:

As on 31st March, 2026, 1,97,90,75,640 Equity Shares, representing 99.86% of the total issued and paid-up share capital of the Company, were held in dematerialized form. The details of shareholding in dematerialized and physical form are provided below:

Particulars	No. of shares	Percentage (%)
At National Securities Depository Limited	58,93,34,416	29.74
At Central Depository Services (India) Limited	1,38,97,41,224	70.12
In Physical Form	28,41,790	0.14
Total Paid-up Share Capital	**1,98,19,17,430**	**100.00**

Shareholders' Communication details

AVANCE TECHNOLOGIES LIMITED
(CIN: L51900MH1985PLC035210)
1502, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400063
Contact No.: +91 8655865985
Email: info@avance.in; avancetechnologiesltd@gmail.com
Website: www.avance.in

OTHER DISCLOSURES:

Pursuant to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

1. Related Party Transactions

There were no materially significant related party transactions entered into by the Company during FY 2025-26 that could have a potential conflict with the interests of the Company at large. All related party transactions are disclosed in Note No. 28 of the Financial Statements and are in compliance with applicable provisions of the Companies Act, 2013 and SEBI Listing Regulations.

2. Regulatory Compliance & Penalties

The Company has complied with all applicable requirements prescribed by Stock Exchanges, SEBI, and other statutory authorities on matters relating to capital markets. No penalties or strictures were imposed on the Company during the last three years.

3. Vigil Mechanism / Whistle Blower Policy

The Company has established a Vigil Mechanism through its Whistle Blower Policy to enable Directors and employees to report instances of unethical behavior, fraud, or violation of the Company's Code of Conduct. The Policy provides direct access to the Chairperson of the Audit Committee. No personnel were denied access to the Audit Committee during the year. The Policy is available on the Company's website: www.avance.in

4. Commodity Price Risk & Hedging Activities

Not applicable. The Company does not deal or trade in commodities and therefore has no exposure to commodity price risk or commodity hedging activities.

5. Utilization of Funds Raised Through Preferential Allotment / QIP

The Company did not raise any funds through preferential allotment or qualified institutions placement as specified under Regulation 32(7A) of SEBI LODR during FY 2025-26.

6. Board Acceptance of Committee Recommendations

During FY 2025-26, the Board accepted all recommendations made by its various committees that were mandatorily required to be placed before it.

7. Statutory Auditor Fees

Details of fees paid to the Statutory Auditors for all services rendered during FY 2025-26 are provided in Note No. 24 of the Financial Statements.

8. Prevention of Sexual Harassment at Workplace

The Company has constituted an Internal Committee in compliance with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. No complaints were received or pending during FY 2025-26.

9. Loans/Advances to Entities in which Directors are Interested

During FY 2025-26, the Company has not granted any loans or advances in the nature of loans to firms or companies in which Directors are interested.

10. Material Subsidiaries

Avance Ventures Private Limited is a Material Subsidiary of the Company in terms of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Company's Policy on Determination of Material Subsidiaries.

11. Corporate Governance Compliance

The Company is in compliance with all applicable corporate governance requirements specified in Regulations 17 to 27 and clauses (b) to (i) of Regulation 46(2) of SEBI Listing Regulations.

- CEO/CFO Certification: The compliance certificate from the Managing Director and Chief Financial Officer under Regulation 17(8) read with Part B of Schedule II is annexed to this Report.

- Certificate from Practicing Company Secretary: A certificate from Practicing Company Secretaries confirming compliance with corporate governance conditions under Schedule V of SEBI LODR is annexed.

- Director Disqualification Certificate: Certificate from CS Sidhi Maheshwari (Mem. No. 43283, COP No. 16018) confirming that none of the Directors have been debarred or disqualified by SEBI/MCA or any statutory authority is annexed.

12. Non-Mandatory Requirements under Regulation 27 of SEBI LODR

The Company has voluntarily adopted the following discretionary requirements as specified in Part E of Schedule II of SEBI LODR:

- Maintenance of Chairman’s office for Non-Executive Chairman
- Sending half-yearly financial performance to shareholders
- Audit Report with unmodified opinion
- Internal Auditor reports directly to the Audit Committee

13. Shares in Suspense Account

Pursuant to Regulation 34(3) read with Schedule V of SEBI LODR, the Company confirms that no shares are lying in the demat suspense account or unclaimed suspense account as on March 31, 2026.

14. Management Discussion & Analysis

A detailed Management Discussion and Analysis Report, as required under Schedule V of SEBI LODR, forms part of this Annual Report.

15. General Disclosures

The Company has not entered into any transaction of material nature with its Promoters, Directors, Management, or their relatives that may have a potential conflict with the interests of the Company. The Company remains compliant with all requirements of Stock Exchanges, SEBI, and other statutory authorities on capital market matters during the year.

16. Affirmation

The Company has received affirmations from all the Directors and Senior Management Personnel confirming compliance with the Code of Conduct for the financial year ended 31st March, 2026. The said affirmation forms part of the Corporate Governance Report.

DECLARATION BY MANAGING DIRECTOR

To,
The Members,
Avance Technologies Limited
1502, Corporate Annexe, Sonawala Road,
Goregaon (East), Mumbai, Maharashtra – 400 063

Sub: Declaration regarding compliance with the Company's Code of Conduct for Directors and Employees

Ref.: Regulation 34(3) read with Part D of Schedule V to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

I, Santosh Hambare, Managing Director of Avance Technologies Limited, hereby declare that all the members of the Board of Directors and Senior Management have affirmed compliance with the Code of Conduct for Directors and Employees of the Company.

For Avance Technologies Limited
Sd/-
Santosh Hambare
Managing Director
DIN: 11523270

Date: 02nd September 2026
Place: Mumbai

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

(Pursuant to Regulation 34(3) and Schedule V Para C clause (10)(i) of
the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

To,
The Members,
Avance Technologies Limited
404, Corporate Annexe, Sonawala Road,
Goregaon (East), Mumbai-400 063, Maharashtra, India.

I have examined the relevant registers, records, forms, returns and disclosures received from the Directors of Avance Technologies Limited bearing CIN L51900MH1985PLC035210, having registered office situated at 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai-– 400 063, Maharashtra, India (hereinafter referred to as 'the Company'), produced before me by the Company for the purpose of issuing this Certificate, in accordance with Regulation 34(3) read with Schedule V Para-C Sub clause 10(i) of the Securities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In my opinion and to the best of my knowledge and based on the following:

i. Documents available on the website of the Ministry of Corporate Affairs;
ii. Verifications of Directors Identification Number (DIN) status on the website of the Ministry of Corporate Affairs;
iii. Disclosures provided by the Directors (as enlisted in Table A)of the Company; and
iv. Debarment list of the Bombay Stock Exchange and National Stock Exchange,

I hereby certified that none of the Directors on the Board of the Company as stated below for the financial year ended 31st March, 2026 have been debarred or disqualified from being appointed or continuing as directors of the Company by the Securities Exchange Board of India, Ministry of Corporate Affairs or any such other statutory authority.

Sr. No.	Name of the Directors	DIN	Date of appointment in the Company
1	Latesh Poojary	10414863	02/07/2025
2	Shakila Makandar	06513263	23/10/2018
3	Vasant Bhoir	07596882	01/10/2016
4	Akshay Nawale	07597069	06/09/2017
5	Sanjay Devlekar	07847440	05/09/2019
6	Deepak Mane	07984967	30/09/2019

*the date of appointment is as per the MCA Portal.

Ensuring the eligibility of for the appointment/continuity of every Director on the Board is the responsibility of the management of the Company. My responsibility is to express an opinion on these based on my verification.

This certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

FOR SIDHI MAHESHWARI & ASSOCIATES
Company Secretaries
Sd/-
Sidhi Maheshwari
Proprietor
M. No.:43283
C. P. No.: 16018

Place: Jaipur
Date: 17/08/2026
UDIN: A043283H001134331
Peer Review No: 3395/2023

Certificate from Practicing Company Secretary on Corporate Governance

[Pursuant to schedule V (E) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,
The Members,
Avance Technologies Limited
404, Corporate Annexe, Sonawala Road,
Goregaon (East), Mumbai-400 063, Maharashtra, India.

I have examined the compliance of related conditions of Corporate Governance by **Avance Technologies Limited** ("the Company") for the year ended 31st March 2026 as specified under Regulation 17 to 27, clauses (b) to (i) and (t) of sub-regulation (2) of Regulation 46 and para C, D and E of Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") as amended.

Management's Responsibility:
The compliance of the conditions of Corporate Governance is the responsibility of the management including the preparation and maintenance of all the relevant records and documents. This responsibility includes formation, implementation and maintenance of all the internal control and procedures to ensure the compliance with condition of the Corporate Governance stipulated in the Listing Regulations.

Auditor's Responsibility:
My examination is limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

Pursuant to the requirements of the Listing Regulations, it is my responsibility to provide a reasonable assurance whether the Company has complied with the conditions of Corporate Governance as stipulated in SEBI Listing Regulations for the year ended 31st March 2026.

Opinion
In my opinion and to the best of my information and according to the explanations given to me, and the representations made by the Directors and the management and considering the relaxations granted by the Ministry of Corporate Affairs and Securities and Exchange Board of India, I certify that the Company has complied with the conditions of Corporate Governance as stipulated in the SEBI Listing Regulations for the year ended on 31st March 2026.

I further state that such compliance is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the management has conducted the affairs of the Company.

FOR SIDHI MAHESHWARI & ASSOCIATES
Company Secretaries
Sd/-
Sidhi Maheshwari
Proprietor
M. No.:43283
C. P. No.: 16018

Place: Jaipur
Date: 17/08/2026
UDIN: A043283H001134274
Peer Review No: 3395/2023

Annexure – 6

FORM NO. AOC – 2

(Pursuant to Clause (h) of Sub-Section (3) of Section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts / arrangements entered by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto:

Details of contracts or arrangements or transactions not at arm's length basis:

Name(s) of the related party and nature of relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts / arrangements/ transactions	Salient terms of the contracts or arrangements or transactions including the value, if any	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any	Date on which the resolution was passed in general meeting as required under first proviso to Section 188 of the Companies Act, 2013.
-NIL-							

Details of material contracts or arrangement or transactions at arm's length basis:

Name(s) of the related party and nature of relationship	Nature of contracts/ arrangements/ transactions	Duration of the contracts / arrangements/ transactions	Salient terms of the contracts or arrangements or transactions including the value, if any	Justification for entering into such contracts or arrangements or transactions	Date(s) of approval by the Board	Amount paid as advances, if any	Date on which the resolution was passed in general meeting as required under first proviso to Section 188 of the Companies Act, 2013.
-NIL-							

Annexure – 7

DETAILS OF REMUNERATION UNDER SECTION 197 OF COMPANIES ACT, 2013 AND RULE 5 OF COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) RULES, 2014

1. **Ratio of the remuneration of each Director including Managing Director, Chief Executive officer, Chief Financial Officer, Company Secretary or Manager, if any, to the median remuneration of the employees of the Company in the Financial Year 2025-26 is as follows:**

Sl. No.	Name of Director	Designation	Ratio of remuneration of each Director to median remuneration of employees
1.	*Mr. Srikrishna Bhamidipati	Chairman & Managing Director	-
2.	$Mr. Latesh Poojary	Chairman & Managing Director	-
3.	Mrs. Shakila Makandar	Non-Executive - Independent Director	-
4.	Mr. Akshay Nawale	Non-Executive - Independent Director	-
5.	Mr. Sanjay Devlekar	Non-Executive - Independent Director	-
6.	Mr. Vasant Bhoir	Non-Executive Director	-
7.	Mr. Deepak Mane	Non-Executive Director	-
8.	Mrs. Sneha Shrivastava	Company Secretary & Compliance Officer	2.89

*Ceased w.e.f. 01st July, 2025
$Appointed w.e.f. 02nd July, 2025

2. **Details of percentage increase in remuneration of each Director, Chief Financial Officer, Chief Executive Officer, and Company Secretary Financial Year 2025-26 are as follows:**

Sl. No.	Name of Director	Designation	% Increase/ Decrease
1.	Mr. Srikrishna Bhamidipati	Chairman & Managing Director	-
2.	Mr. Latesh Poojary	Chairman & Managing Director	-
3.	Mrs. Shakila Makandar	Non-Executive - Independent Director	-
4.	Mr. Akshay Nawale	Non-Executive - Independent Director	-
5.	Mr. Sanjay Devlekar	Non-Executive - Independent Director	-
6.	Mr. Vasant Bhoir	Non-Executive Director	-
7.	Mr. Deepak Mane	Non-Executive Director	-
8.	Mrs. Sneha Shrivastava	Company Secretary & Compliance Officer	-

3. **Percentage increase in the median remuneration of employees Financial Year 2025-26.**

   There is no increase in median remuneration of all employees in Financial Year 2025-26.

4. **Number of Permanent Employees on the roll of the Company as on 31st March, 2026.**

   There are 03 (Three) Permanent Employees on roll of the Company as on 31st March, 2026.

5. **Comparison of average percentile increase in the salaries of employees other than the managerial personnel and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration.**

   There was no increase in remuneration done during the Financial Year 2025-26.

6. Affirmation:

Information as per Rule 5(2) and 5(3) of Chapter XIII, the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014:

There was no Employees who;

a. are in receipt of remuneration for the Financial Year 2025-26, in the aggregate, was not less than one crore and two lakh rupees;

b. are in receipt of remuneration for any part of the Financial Year 2025-26, at a rate which, in the aggregate, was not less than eight lakh fifty thousand rupees per month;

c. are in receipt of remuneration in the Financial Year 2025-26, in the aggregate, or as the case may be, at a rate which, in the aggregate, is in excess of that drawn by the managing director or whole-time director or manager and holds by himself or along with his spouse and dependent children, not less than two percent of the equity shares of the company.

MANAGING DIRECTOR & CFO CERTIFICATION ON FINANCIAL STATEMENTS

To,
The Members,
Avance Technologies Limited
1502, Corporate Annexe, Sonawala Road,
Goregaon (East), Mumbai, Maharashtra – 400 063

We, Santosh Hambare Managing Director & Chief Financial Officer of **Avance Technologies Limited** ("the Company"), to the best of our knowledge and belief certify that:

A. We have reviewed the financial statements and the cash flow statement for the Financial Year ended 31st March, 2026 and best of our knowledge and belief:

   i. These statements do not contain any materially untrue statement or omit any material fact or contain any statements that might be misleading;
   ii. These statements together present a true and fair view of the Company's affairs and are in compliance with the existing accounting standards, applicable laws and regulations.

B. We further state that to the best of our knowledge and belief, there are no transactions entered into by the Company during the year, which are fraudulent, illegal or violative of the Company's Code of Conduct.

C. We are responsible for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting and we have disclosed to the auditors and the audit committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

D. We have indicated to the auditor and the Audit Committee

   (1) Significant changes in internal control over financial reporting during the year;
   (2) Significant changes in accounting policies during the year and that the same have been disclosed in the notes to the financial statements: and
   (3) Instances of significant frauds of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the Company's internal control system over financial reporting.

For Avance Technologies Limited
Sd/-
Santosh Hambare
Managing Director & Chief Financial Officer
DIN: 11523270

Date: 29th May 2026
Place: Mumbai

INDEPENDENT AUDITOR'S REPORT

To the Members of **Avance Technologies Limited**
Report on the Audit of the Ind AS Financial Statements

Opinion

1. We have audited the Standalone Financial Statements of Avance Technologies Limited **("The Company")**, which comprise the Balance Sheet as at March 31, 2026, and the Statements of Profit and Loss and the Cash Flow Statement for the year then ended, and a summary of the significant accounting policies and other explanatory information.

2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ('the Act') in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended ('Ind AS') and other Accounting principles generally accepted in India of the state of affairs of the Company as at March 31, 2026, and its profit total comprehensive income, its cash flows and the changes i equity for the year ended on that date.

Basis for Opinion

3. We conducted our audit in accordance with Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibility of the Management and those charged with governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance Ind AS specified under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended (' Ind AS ') and other Accounting Principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities and application of appropriate accounting policies, making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the a counting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

4. In preparing the financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

5. Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Financial Statements

1. Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our

opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

2. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

3. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

4. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

5. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020, issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act (the "Order"), and on the basis of such checks of the books and records of the Company as we considered appropriate and according to the information and explanations given to us, we give in the **Annexure I** a statement on the matters specified in paragraphs 3 and 4 of the Order.

2. As required by Section 143(3) of the Act, we report that:

a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for the matters stated in the paragraph (g) below, on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

c. Since the company does not have any branch offices reporting under this clause is not applicable.

d. The Balance Sheet, the Statement of Profit and Loss including the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.

e. In our opinion, the aforesaid Standalone Financial Statements comply with the Accounting Standards specified under Section 133 of the Act.

f. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in **"Annexure-II"** to this report.

g. On the basis of written representations received from the directors as on March 31, 2026, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2026, from being appointed as a director in terms of Section 164(2) of the Act.

h. The modifications relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph above on reporting under section 143(3)(b) of the Act and paragraph (i)(viii) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

i. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014(as amended), in our opinion and to the best of our information and according to the explanations given to us:

- The Company has disclosed the impact of pending litigations on its financial position in its Standalone Financial Statements.

- The Company did not have any long-term contract, including derivate contract for which there were any material foreseeable losses.

- There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

- The Management has represented, that, to the best of their knowledge and belief, no funds (which are material either individually and in aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company, to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- The management has represented, that, to the best of their knowledge and belief, no funds (Which are material either individually or in aggregate) have been received by the Company, from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company, shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

- No dividend declared and paid by the company, during the year.

- Based on our examination, which included test checks, the Company has used accounting software for maintaining its books of account for the financial year ended on March 31, 2026 which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with.

  Additionally, the audit trail has been preserved by the company and its subsidiaries as per the statutory requirements for record retention.

For A. Raghavendra Rao & Associates,
Chartered Accountants
Firm Reg No: 003324S
Sd/-
CA G. Sathyanarayana
Partner
M.No: 205603
UDIN: 26205603LLLYNK1038

Place: Bengaluru
Date: 29th May, 2026

Annexure I to the Independent Auditors' Report

(Referred to Para 1 under the heading on "Report on other legal and regulatory requirements" of our report of even date on the financial statements for the year ended on March 31, 2026 of Avance Technologies Limited)

1. (a)(i) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

   (ii) The Company has not capitalized any intangible assets in the books and accordingly, the requirement to report on Clause 3(i)(a)(B) of the Order is not applicable to the Company.

   (b) The Property, Plant and Equipment have been physically verified by the Management during the year and no material discrepancies were noticed on such verification. In the opinion of the management, the frequency of verification is reasonable having regard to the size of the Company and the nature of its assets.

   (c) The Company does not have any immovable properties of freehold or leasehold land and building and hence reporting under Clause 3(i)(c) of the CARO 2020 is not applicable.

   (d) The Company has not revalued any of its Property, Plant and Equipment or intangible assets or both during the year, the requirement to report on Clause 3(i)(d) of the Order is not applicable to the Company.

   (e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2026 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.

2. (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency and procedure of such verification are reasonable considering the size and nature of the inventory. No discrepancies of 10% or more in the aggregate for each class of inventory were noticed on such verification.

   (b) The Company has not been sanctioned working capital limits in excess of Rs. 5 Crore, in aggregate, from banks or financial institutions on the basis of security of current assets during the year. Accordingly, reporting under Clause 3(ii)(b) of the Companies (Auditor's Report) Order, 2020 is not applicable to the Company.

3. (a) During the year, the Company has granted advances in the nature of loans in the ordinary course of business to parties other than subsidiaries covered in the register maintained under Section 189 of the Companies Act, 2013.

   (b) In our opinion, the investments made and the terms and conditions of the grant of such advances in the nature of loans during the year are not prejudicial to the interest of the Company.

   (c) The Company has not granted any loans during the year and accordingly, reporting under Clause 3(iii)(c) of the Companies (Auditor's Report) Order, 2020 is not applicable to the Company.

   (d) There are no overdue amounts in respect of loans granted to companies, firms, Limited Liability Partnerships or other parties outstanding for more than ninety days.

   (e) There were no loans or advances in the nature of loans which had fallen due during the year and were renewed or extended, nor were any fresh loans granted to settle the overdue amounts of existing loans given to the same parties.

   (f) The Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, reporting under Clause 3(iii)(f) of the Order is not applicable to the Company.

4. In our opinion and according to the information and explanations given to us, the investments made by the Company are in compliance with the provisions of Section 186 of the Companies Act, 2013. Further, the

Company has not granted any loans, provided guarantees or given securities covered under Section 185 and Section 186 of the Act.

5. According to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 or any other relevant provisions of the Companies Act, 2013 and the rules made thereunder. Accordingly, reporting under Clause 3(v) of the Companies (Auditor's Report) Order, 2020 is not applicable to the Company.

6. According to the information and explanations given to us, the Company is not covered under Companies (Cost Records and Audit) Rules, 2014 prescribed by the Central Government under Section 148(1) of the Act, hence this clause is not applicable to the Company.

7. In respect to Statutory dues:

(a) According to the information and explanations given to us and on the basis of the records of the Company, the Company is generally regular in depositing undisputed statutory dues including Goods and Service Tax, Provident Fund, Employee's State Insurance, Sales Tax, Service Tax, Custom Duty, Excise Duty, Value Added Tax, Cess and other material statutory dues with the appropriate authorities.

As provided to us by the management, the extent of the arrears of outstanding statutory dues as at the last day of the financial year concerned for a period of more than six months from the date they became payable, are Nil.

(b) According to the information and explanations given to us, there are no dues of Income Tax, sales tax, service tax, duty of customs, duty of excise, value added tax outstanding on account of any dispute except the following:

Sr. No.	Assessment Year	Demand under section	Date on which demand is raised	Amount of Outstanding Demand	Status of Demand
1	2002-03	143 (1)	21/12/2009	1,83,905	Notice of Demand not received by the company.
2	2006-07	143 (1)	11/12/2008	2,90,083	Notice of Demand not received by the company.
3	2007-08	143 (1)	20/12/2009	94,112	Notice of Demand not received by the company.
4	2007-08	143 (3) r/w 147	27/03/2015	61,56,992	Demand is outstanding and appeal against the said demand is filed with CIT (A)-48, Mumbai vide Appeal No. 192/2007-08 dated 29/04/2015 which is still pending.
5	2008-09	143 (1) and 153A	21/03/2016	59,69,374	Demand is outstanding and appeal against the said demand is filed with ITAT and Order Received.
6	2009-10	43 (1), 115 _WE 153A	21/03/2016	51,61,399	Demand is outstanding and appeal against the said demand is filed with ITAT and Order Received.
7	2010-11	143 (1) (a) and 153A	21/03/2016	84,99,348	Demand is outstanding and appeal against the said demand is filed with ITAT and Order Received.

8	2011-12	143 (1) (a) and 153A	21/03/2016	1,95,29,323	Demand is outstanding and appeal against the said demand is filed with ITAT and Order Received.
9	2012-13	153A	21/03/2016	69,20,274	Refund of Rs. 2,32,710/- was claimed whereas the department raised a demand to payable which is outstanding and an appeal against the said demand is filed with ITAT and Order Received. New notice received and Filled CIT Appeal dt.30.06.22.
10	2013-14	143(3) and 153 A	21/03/2016	12,89,87,910	Refund of Rs. 9,97,630/- was claimed whereas the department raised a demand to payable which is outstanding and a Demand is outstanding and appeal against the said demand is filed with ITAT and Order Received. New notice received and Filled CIT Appeal dt.30.06.22.
11	2014-15	143(3) and 153 A	21/03/2016	58,47,950	Refund of Rs. 5,44,370/- was claimed whereas the department raised a demand to payable which is outstanding and an appeal against the said demand is filed with ITAT and Order Received. New notice received and Filled CIT Appeal dt.30.06.2022.
12	2015-16	CPC	31/01/2016	93,550	CPC Order
13	2017-18	143(3)	27/12/2019	67,64,052	Demand is outstanding and appeal against the said demand is filed CIT (A) which is still pending.
14	2019-20	143(3)	29/04/2021	1,30,22,070	Demand is outstanding and appeal against the said demand is filed with CIT Appeal.
15	2012-13	143(3)	31/05/2022	1,51,09,733/-	Demand is outstanding and appeal against the said demand is filed CIT (A) which is still pending.
16	2013-14	143(3)	31/05/2022	22,30,07,734/-	Demand is outstanding and appeal against the said demand is filed CIT (A) which is still pending.
17	2014-15	143(3)	31/05/2022	96,80,143/-	Demand is outstanding and appeal against the said demand is filed CIT (A) which is still pending.

Sr. No.	Statute	Amount of Dispute	Financial Year	Forum where Dispute pending
1	Maharashtra Value Added Tax Act, 2002	12,77,23,077/-	2006-07	D C Sales Tax (Appeal), Mumbai
2	Maharashtra Value Added Tax Act, 2002	11,88,14,813/-	2008-09	D C Sales Tax (Appeal), Mumbai
3	Maharashtra Value Added Tax Act, 2002	89,15,552/-	2009-10	D C Sales Tax (Appeal), Mumbai
4	Maharashtra Value Added Tax Act, 2002	35,20,125/-	2011-12	D C Sales Tax (Appeal), Mumbai
5	Maharashtra Value Added Tax Act, 2002	14,96,73,015	2014-15	Writ Petition in High court
6	Maharashtra Value Added Tax Act, 2002	10,89,94,591	2016-17	Writ Petition in High court

8. There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).

9. (a)The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
(b)The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.
(c) The term loans obtained by the Company during the year were applied for the purpose for which the loans were obtained.
(d) On an overall examination of the financial statements of the Company, funds raised on a short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
(e) On an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries.
(f) The company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures, or associate companies.

10. (a) The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

(b) In our opinion and according to the information and explanations given to us Company has not made any preferential allotment or private placement of shares or convertible debentures.

11. Based on audit procedures performed and as per the information and explanations given to us by the Management.

   a) No fraud by the Company or on the Company has been noticed or reported during the year.
   b) No report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and up to the date of this report.
   c) As represented to us by the management, there are no whistle blower complaints received by the company during the year.

12. In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, reporting under Clause 3(xii) of the Companies (Auditor's Report) Order, 2020 is not applicable to the Company.

13. In our opinion and according to the information and explanations given to us, the transactions with related parties are in compliance with Sections 177 and 188 of the Companies Act, 2013, wherever applicable, and the details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.

14. (a) In our opinion the Company has an adequate internal audit system commensurate with the size and the

nature of its business.

(b) We have considered the internal audit reports for the year under audit, issued to the Company during the year, in determining the nature, timing and extent of our audit procedures.

15. According to the information and explanations given by the management and audit procedures performed by us, the Company has not entered into any non-cash transactions with directors or persons connected with him as referred to in Section 192 of Companies Act, 2013.

16. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, reporting under Clause 3(xvi)(a) of the Order is not applicable to the Company.

    (b) The Company has not conducted any Non-Banking Financial or Housing Finance activities during the year. Accordingly, reporting under Clause 3(xvi)(b) of the Order is not applicable to the Company.

    (c) The Company is not a Core Investment Company ("CIC") as defined in the regulations made by the Reserve Bank of India. Accordingly, reporting under Clause 3(xvi)(c) of the Order is not applicable to the Company.

    (d) According to the information and explanations provided to us, the Group does not have any Core Investment Company as part of the Group as defined under the Core Investment Companies (Reserve Bank) Directions, 2016.

17. The Company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.

18. M/s. Rishi Sekhri & Associates, Chartered Accountants, resigned as Statutory Auditors of the Company during the year.

19. On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

20. The provisions of Section 135 of the Companies Act, 2013 relating to Corporate Social Responsibility are not applicable to the Company. Accordingly, reporting under Clause 3(xx) of the Companies (Auditor's Report) Order, 2020 is not applicable to the Company.

For A. Raghavendra Rao & Associates,
Chartered Accountants
Firm Reg No: 003324S
Sd/-
CA G. Sathyanarayana
Partner
M.No: 205603
UDIN: 26205603LLLYNK1038

Place: Bengaluru
Date: 29th May, 2026

ANNEXURE – II TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to Para 2(f) under the heading "Report on other legal and regulatory requirements" of our report of even date on the financial statements for the year ended on March 31, 2026 of Avance Technologies Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013

We have audited the internal financial controls over financial reporting of Avance Technologies Limited ("the Company"), as of **March 31, 2026** in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls:

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility:

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting:

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that:
(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company.
(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting:

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion:

According to the information and representation given to us by the management and considering the size of the company and nature of business we did not come across any material weakness in internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as of March 31, 2026, considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For A. Raghavendra Rao & Associates,
Chartered Accountants
Firm Reg No: 003324S
Sd/-
CA G. Sathyanarayana
Partner
M.No: 205603
UDIN: 26205603LLLYNK1038

Place: Bengaluru
Date: 29th May, 2026

Standalone Balance Sheet for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	Note	As at 31st March 2026	As at 31st March 2025
ASSETS			
Non-current assets			
Property, Plant and Equipment	2	0.53	0.00
Financial assets:			
a) Investments	3	12935.63	20,199.68
b) Other financial assets	4	2,567.84	1,157.39
Deferred tax assets (Net)	5	0.46	0.46
Other non-current assets	7	23,022.05	18,094.24
		38,526.51	**39,451.77**
Current assets			
Inventories	8	0.01	-
Financial assets			
a) Investments	3	3,305.54	3,305.54
b) Trade receivable	9	3,178.93	783.79
c) Cash and cash equivalents	10	23.39	35.92
d) Other financial assets	11	8.00	4.00
Current tax assets (net)	6	28.37	20.77
Other current assets	7	-	-
		6,544.24	**4,150.02**
Disposal group - assets held for sale	0	**-**	**-**
TOTAL ASSETS		**45,070.76**	**43,601.79**
EQUITY & LIABILITIES			
Equity			
Equity share capital	12	19,819.17	19,819.17
Other equity	13	18,982.02	17,722.98
		38,801.20	**37,542.15**
Liabilities			
Non-current liabilities			
Current liabilities			
Financial liabilities			
a) Borrowings	14	-	-
b) Trade payables	15	6,181.05	5,998.34
Other current liabilities	16	0.61	-
Provisions	17	87.90	61.30
		6,269.56	**6,059.64**
TOTAL LIABILITIES		**45,070.76**	**43,601.79**
Corporate information and significant accounting policies	1&2		
The notes referred to above form an integral part of financial statements. As per our report of even date attached			

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S

Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-	Sd/-	Sd/-	Sd/-
Latesh Poojary	**Vasant Bhoir**	**Vijay Purohit**	**Sneha Shrivastava**
Chairman & MD	**Director**	**CFO**	**CS**
DIN: 10414863	**DIN: 07596882**		

Place: Mumbai
Date: 29th May, 2026

Standalone Statement of Profit and Loss for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	Note	As at 31st March 2026	As at 31st March 2025
Income			
Revenue from operations	18	10,108.23	5,793.18
Other income	19	1,380.90	218.06
Total Income		**11,489.13**	**6,011.25**
Expenses			
Purchases of Stock-in-Trade	20	10,109.31	5,657.11
Changes in inventories of goods	21	(0.01)	-
Employee benefit expense	22	7.87	11.36
Finance costs	23	0.00	0.03
Depreciation and amortisation	2	0.02	-
Other expenses	24	49.61	21.23
Total expenses		**10,166.80**	**5,689.73**
Profit before tax and extraordinary and exceptional items		**1,322.33**	**321.52**
Add/Less: Exceptional Items	24	-	-
Profit before tax and after extraordinary and exceptional items		**1,322.33**	**321.52**
Tax expense:			
Income Tax - current year		63.30	114.16
Deferred tax charge/ (credit)		-	-
Profit (Loss) for the period from continuing operations		**1,259.04**	**207.36**
Other Comprehensive Income			
(i) Items that will not be reclassified to profit or loss (net of tax)		-	-
(ii) Items that will be reclassified to profit or loss (net of tax)		-	-
Total Comprehensive Income for the period and Other Comprehensive Income		**1,259.04**	**207.36**
Earnings per share (equity shares, par value Re. 1/- each)		-	-
Basic	27	0.06	0.01
Corporate information and significant accounting policies	1&2		

The notes referred to above form an integral part of financial statements
As per our report of even date attached

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

Sd/-
Latesh Poojary
Chairman & MD
DIN: 10414863

Sd/-
Vasant Bhoir
Director
DIN: 07596882

Sd/-
Vijay Purohit
CFO

Sd/-
Sneha Shrivastava
CS

Place: Mumbai
Date: 29th May, 2026

Standalone Statement of Cash Flows for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	As at 31st March 2026	As at 31st March 2025
Cash flow from operating activities		
Profit for the period	**1,322.33**	**321.52**
Adjustments for :		
Finance costs	0.00	-
Interest income/Dividend Income	(380.90)	-
Depreciation and amortization expense	0.02	-
Operating Profit Before Working Capital Changes	**941.45**	**321.52**
Changes in operating assets and liabilities		
Inventories	-	-
Trade Advance and receivables	(2,395.14)	8.39
(Increase)/ Decrease in other non-current Financials asset	(1,410.45)	(217.95)
(Increase)/ Decrease in other non-current asset	(4,927.81)	(1,093.26)
(Increase)/ Decrease in other current Financials asset	(4.00)	(2.00)
(Increase)/ Decrease in other current asset	-	9.44
Increase/(Decrease) in Current Tax Asset (Net)	(7.60)	(20.77)
Trade and other payables	182.71	482.10
Increase/(Decrease) in Provision	26.60	9.79
Increase/(Decrease) in other current Liabilities and Provision for exps	0.61	(1.53)
Net cash provided by operating activities before taxes	**(7,593.62)**	**(504.27)**
Income taxes paid	(63.30)	(114.16)
Net cash provided by operating activities (A)	**(7,656.92)**	**(618.43)**
Cash flow from investing activities		
(Purchase) / Proceeds from sale / Maturity of Current investment	7,264.05	648.70
(Purchase) / Proceeds from sale / Maturity of Non-Current investment	(0.00)	(1.79)
(Purchase) / Proceeds from Fixed Assets	(0.56)	-
Interest received / Dividend Received	380.90	-
Un-secured loan given to third party	-	-
Net cash used in investing activities (B)	**7,644.39**	**646.91**
Cash flow from financing activities		
Finance costs paid	0.00	-
Loans and advances & others	-	-
Proceeds/(Repayment) for short-term borrowings	-	-
Net Adjustment in reserve & surplus for the year	-	-
Net cash used in financing activities (C)	**(0.00)**	**-**
Net decrease in cash and cash equivalents (A+B+C)	**(12.53)**	**28.47**
Cash and cash equivalents at the beginning of the year	35.92	7.45
Cash and cash equivalents at the end of the period (Note 10)	**23.39**	**35.92**

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S
Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-	Sd/-	Sd/-	Sd/-
Latesh Poojary	**Vasant Bhoir**	**Vijay Purohit**	**Sneha Shrivastava**
Chairman & MD	**Director**	**CFO**	**CS**
DIN:10414863	**DIN: 07596882**		

Place: Mumbai
Date: 29th May, 2026

Standalone Statement of changes in equity for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

A. Equity Share Capital

Particulars	Number	Amount	Number	Amount
Balance at the end of the year 31 March 2026	1,981,917,430	19,819	1,981,917,430	19,819
Changes in equity share capital during the F.Y. 2025-26	-	-	-	-
Balance at the end of the year 31 March 2026	**1,981,917,430**	**19,819**	**1,981,917,430**	**19,819**

B. Other Equity

Particulars	Securities Premium Reserve	Forfeiture Reserve	Retained Earnings	Other Comprehensive Income	Total Other Equity
Balance at the end of the reporting period 31 March 2023	16,707.65	2,790.40	(8,438.24)	6,248.08	11,121.40
Profit for the financial year 2023-24	-	-	207.74	-	207.74
Balance at the end of the reporting period 31 March 2024	**16,707.65**	**2,790.40**	**(8,230.50)**	**6,248.08**	**11,329.15**
Profit for the financial year 2024-25	-	-	207.36	-	207.36
Balance at the end of the reporting period 31 March 2025	**16,707.65**	**2,790.40**	**(8,023.14)**	**6,248.08**	**11,536.51**
Profit for the financial year 2025-26	-	-	1,259.04	-	1,259.04
Balance at the end of the reporting period 31 March 2026	**16,707.65**	**2,790.40**	**(6,764.10)**	**6,248.08**	**12,795.54**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2026

(All amounts in INR lakhs, unless otherwise stated

Note 2: Property, Plant & Equipment and Intangible Assets – Tangible Assets

Particulars	Computers	Office Equipment	Total
Gross carrying amount			
Balance as at 1 April 2025	-	-	-
Additions during the year	8.69	0.09	8.77
Disposals during the year	(8.22)	-	(8.22)
Balance as at 31 March 2026	**0.47**	**0.09**	**0.55**
Accumulated depreciation			
Balance as at 1 April 2025	-	-	-
Depreciation charge for the year	1.15	-	1.15
Eliminated on disposal of assets	(1.14)	-	(1.14)
Balance as at 31 March 2026	**0.02**	**-**	**0.02**
Net carrying amount as at 31 March 2026	**1.60**	**0.09**	**0.53**
Net carrying amount as at 31 March 2025	**-**	**-**	**-**

Note 3: Investments

Particulars	As at 31 March 2026	As at 31 March 2025
A) Investments - Non-current		
Investment in equity instruments (fully paid-up)	0	0
a) In Subsidiary Company		
Unquoted equity instruments at cost	12.00	12.00
Less: Provision for expected credit loss	0.00	0.00
Fair Value of Unquoted Equity Instrument recognised through profit and loss account	**12.00**	**12.00**
b. In other companies		
i)Quoted equity instruments (Trading Suspended) fair value through OCI	0.21	0.21
Valued at Fair Value through OCI	**0.21**	**0.21**
i)Unquoted equity instruments fair value through profit and loss	7,085.72	8,770.72
Less: Provision for diminution in Value of Investment	0.00	0.00
Fair Value of Unquoted Investment recognised through Profit and Loss Account	**7,085.72**	**8,770.72**
ii)Unquoted preference shares instruments, fair value through profit or loss	**768.00**	**6,347.05**
Less : Provision for diminution in value of investment	0.00	0.00
Fair Value recognised through profit and loss account	**768.00**	**6,347.05**
iii) Share application money, fair value through profit or loss		
Share application money in un-quoted securities, pending for allotment	5,069.70	5,069.70
Less: Provision for expected credit loss	0.00	0.00

	5,069.70	**5,069.70**
Total	12,935.63	20,199.68
B) Investment-Current		
Quoted equity instruments, measured fair value through profit or loss	**3,305.54**	**3,305.54**

Note 4: Other Financial Assets - Non-Current

Particulars	As at 31 March 2026	As at 31 March 2025
Secured considered good, measured at amortized cost		
Loans and advances	2,564.17	1,153.71
Receivable others	3.68	3.68
Less: Provision for expected credit loss	-	-
Total	**2,567.84**	**1,157.39**

Note 5: Deferred Tax Asset

Particulars	As at 31 March 2026	As at 31 March 2025
Property, plant & equipment on OCI	0.46	0.46
Total	**0.46**	**0.46**

Note 6: Current Tax Assets (Net)

Particulars	As at 31 March 2026	As at 31 March 2025
GST Credit and TDS	28.37	20.77
Total	**28.37**	**20.77**

Note 7: Other Assets

Particulars	As at 31 March 2026	As at 31 March 2025
Non-Current *(Measured at cost)*		
Advance to Lawyer	9.39	9.39
Advance Tax Payment	0.42	0.11
VAT refundable & Sales tax	75.23	75.23
Prepaid income tax	-	-
Trade advances	22,937.01	18,009.52
Total	**23,022.05**	**18,094.24**

Note 8: Inventories

Particulars	As at 31 March 2026	As at 31 March 2025
Inventories *(Measured at cost or net-realizable value, whichever is lower)* Stock-in-trade	0.01	-
Total	**0.01**	**-**

Note 9: Trade Receivables *(Measured at amortized cost)*

Particulars	As at 31 March 2026	As at 31 March 2025
Unsecured, considered good	3,178.93	783.79
Secured, considered good	-	-
Total	**3,178.93**	**783.79**

Trade Receivables ageing as at 31 March 2026					
Particulars	Less than 1 year	1-2 Year	2-3 Years	More than 3 Years	Total
Undisputed trade receivables– considered good	2409.36	0.00	658.82	110.75	3178.93
Total	2409.36	0.00	658.82	110.75	3178.93
Trade Receivables ageing as at 31 March 2025					
Particulars	Less than 1 year	1-2 Year	2-3 Years	More than 3 Years	Total
Undisputed trade receivables– considered good	14.22	437.95	220.88	110.75	783.79
Total	14.22	437.95	220.88	110.75	783.79

Note 10: Cash and Cash Equivalents

Particulars	As at 31 March 2026	As at 31 March 2025
Cash on hand	1.52	2.10
Balances with banks (in current accounts)	21.87	33.82
Total	**23.39**	**35.92**

Note 11: Other Current Financial Assets
(Measured at amortized cost / Unsecured Loan given to third party)

Particulars	As at 31 March 2026	As at 31 March 2025
Deposit for Office	4.00	-
Deposit with Black Horse Media & Ent. Pvt Ltd	2.00	2.00
Deposit with Lotus	2.00	2.00
Total	**8.00**	**4.00**

Note 12: Equity

Particulars	As at 31 March 2026	As at 31 March 2025
Authorised Capital:		
20,00,00,000 equity shares of Rs 10/- each	19,819.17	19,819.17
Issued, Subscribed and Paid-up:		
1,981,917,43 equity shares of Rs 10/- each	19,819.17	19,819.17
Total Equity	**19,819.17**	**19,819.17**

Notes to Equity:

a) Equity shareholders holding more than 5 percent shares in the Company:

Name of the Shareholder	As at 31 March 2026	Share %	As at 31 March 2025	Share %
-	-	-	-	-

b) Reconciliation of the number of shares outstanding:

Particulars	As at 31 March 2026 (Nos.)	As at 31 March 2026 (Rs.)	As at 31 March 2025 (Nos.)	As at 31 March 2025 (Rs.)
Number of equity shares outstanding at the beginning of the year	198,191,743	19,819.17	198,191,743	19,819.17
Number of equity shares Issued during the year	0.00	0.00	0.00	0.00
Number of equity shares outstanding at the end of the year	**198,191,743.00**	**19,819.17**	**198,191,743.00**	**19,819.17**

Note 13: Other Equity

Particulars	As at 31 March 2026	As at 31 March 2025
(i) Securities Premium Reserve:		
Opening Balance	16,707.65	16,707.65
Addition / (Deletion)	-	-
Closing Balance	**16,707.65**	**16,707.65**
(ii) Forfeiture Reserve:		
Opening Balance	2,790.40	2,790.40
Addition / (Deletion)	-	-
Closing Balance	**2,790.40**	**2,790.40**
(iii) Retained Earnings (Surplus/Deficit in P&L):		
Opening Balance	(8,023.14)	(8,230.50)
Add: Profit for the year	1,259.04	207.36
Closing Balance	**(6,764.10)**	**(8,023.14)**
(iv) Other Comprehensive Income:		
Opening Balance	6,248.07	6,248.07
Add: Net Adjustment for the year	-	-
Closing Balance	**6,248.07**	**6,248.07**
Total Other Equity	**18,982.02**	**17,722.98**

Note 14: Borrowings

Particulars	As at 31 March 2026	As at 31 March 2025
Secured Loan	-	-
Total	**-**	**-**

Note 15: Trade Payables

Particulars	As at 31 March 2026	As at 31 March 2025
Dues to Micro, Small and Medium Enterprises	-	-
Others	6,181.05	5,998.34
Total	**6,181.05**	**5,998.34**

Trade Receivables ageing as at 31 March 2026					
Particulars	**Less than 1 year**	**1-2 Year**	**2-3 Years**	**More than 3 Years**	**Total**
Dues to Micro Small and Medium Enterprises	0.00	0.00	0.00	0.00	0.00
Others	44.49	18.75	2,191.52	3,926.29	6,181.05
Total	**44.49**	**18.75**	**2,191.52**	**3,926.29**	**6,181.05**
Trade Receivables ageing as at 31 March 2025					
Particulars	**Less than 1 year**	**1-2 Year**	**2-3 Years**	**More than 3 Years**	**Total**
Dues to Micro, Small and Medium Enterprises	0.00	0.00	0.00	0.00	0.00
Others	195.98	603.50	1,558.75	3,640.12	5,998.34
Total	**195.98**	**603.50**	**1,558.75**	**3,640.12**	**5,998.34**

Note: The Company has not received any memorandum (as required to be filed by the Supplier with the notified authority under the Micro, Small and Medium Enterprises Development Act, 2006) claiming their status as on 31st March 2026 as Micro, Small or Medium Enterprises. Consequently, the amount paid/payable to these parties during the year as at March 31, 2026 is Nil (March 31, 2025: Nil).

Note 16: Other Current Liabilities

Particulars	As at 31 March 2026	As at 31 March 2025
Statutory dues payable *	0.61	0.00
Total	**0.61**	**-**

** The provision of all known liabilities is adequate and not in excess of the amount reasonably necessary.*

Note 17: Current Tax Liabilities (Net)

Particulars	As at 31 March 2026	As at 31 March 2025
Account Writing Fees Payable	0.30	0.30
Audit Fees Payable	0.60	0.00
Provision for Income Tax	87.00	61.00
Total	**87.90**	**61.30**

Note 18: Revenue from Operations

Particulars	As at 31 March 2026	As at 31 March 2025
Trading income	10,108.23	5,793.18
Total	**10,108.23**	**5,793.18**

Note 19: Other Income

Particulars	As at 31 March 2026	As at 31 March 2025
Interest Income	380.90	218.06
Misc Income	-	0.00
Sundry Balance W/off	-	-
Long Term Capital Gain	1,000.00	-
Total	**1,380.90**	**218.06**

Note 20: Purchases of Services

Particulars	As at 31 March 2026	As at 31 March 2025
Cost of products	10,109.31	5,657.11
Total	**10,109.31**	**5,657.11**

Note 21: Change in Stock-in-Trade

Particulars	As at 31 March 2026	As at 31 March 2025
Change in stock-in-trade		
Opening stock	-	-
Closing stock	0.01	-
Total	**(0.01)**	**-**

Note 22: Employee Benefits Expense

Particulars	As at 31 March 2026	As at 31 March 2025
Salary	7.82	11.36
Bonus to staff	0.00	-
Staff welfare	0.04	-
Total	**7.87**	**11.36**

Note 23: Finance Cost

Particulars	As at 31 March 2026	As at 31 March 2025
Bank Charges	0.00	0.03
Interest	-	-
Total	**0.00**	**0.03**

Note 24: Other Expenses

Particulars	As at 31 March 2026	As at 31 March 2025
Housekeeping charges	-	-
Listing & Other Fees	35.13	11.78
Brokerage and other Charges	3.16	1.79
Auditor remuneration	-	0.30
Communication Expenses	0.14	0.23
Printing & Stationery	-	0.04
Professional Fees and legal fees	4.59	5.01
Legal and advertisement charges	-	0.76
Rates and taxes	0.27	(0.57)
Advertisement Exp	0.93	-
Travelling & Conveyance Expenses	0.05	0.03
Office expense	-	0.01
Demat Charges	0.00	-
Rent	5.16	1.40
Electricity Charges	0.04	-
Accounting Charges	-	0.30
Misc Expenses	0.14	0.13
Discount	(0.00)	0.00
Total Other Expenses	**49.61**	**21.23**

Note 24 (Contd.): Exceptional Items

Particulars	As at 31 March 2026	As at 31 March 2025
Amount written off	-	-
Provision for Bad and Doubtful Debts	-	-
Provision for expected credit loss	-	-
Provision for diminution in value of investments	-	-
Amount of Investment written off restored	-	-
Total Exceptional Items	**-**	**-**

Note 25: Contingent Liabilities and Commitments

Particulars	As at 31 March 2026	As at 31 March 2025
Contingent liabilities:		
Income tax demand & disputes pending before appellate authorities	0.00	0.00

Note 26: Auditors' Remuneration (excluding applicable tax)

Particulars	As at 31 March 2026	As at 31 March 2025
As auditor:		
- Audit Fees	0.00	0.30
- Tax Audit Fees	0.00	0.00
Total	**0.00**	**0.30**

Note 27: Earnings Per Share (EPS)

Particulars	As at 31 March 2026	As at 31 March 2025
Net profit for the year attributable to equity shareholders	1,259.04	207.36
Weighted average number of equity shares of Rs 1 each used for calculation of basic earnings per share (adjusted for partly paid shares)	1,981,917,430	1,981,917,430
Earnings per share, basic and diluted*	**0.06**	**0.01**

**The Company has no potentially dilutive equity shares.*

Note 28: Related Party Transactions

(i) Names of related parties and description of relationship:

a) Entities where control is exercised:

(1) Avance Ventures Private Limited (Wholly Owned Subsidiary)
(2) Verticore Technologies Private Limited (Wholly Owned Subsidiary)
(3) Avance Platforms Private Limited (Wholly Owned Subsidiary)

b) Key management personnel:

(1) Mr. Shrikrishna Bhamidipati (Managing Director) (Ceased w.e.f 1st July, 2025)
(2) Mr. Latesh Poojary (Managing Director & Chairman) (Appointed w.e.f. 02nd July, 2025)
(3) Mrs. Sneha Shrivastava (Company Secretary & Compliance Officer)
(4) Mr. Vijaysingh Purohit (Chief Financial Officer)

c) Other related parties where common control exists:

Nil

(ii) Related party transactions:

Particulars	As at 31 March 2026	As at 31 March 2025
Salary to CS	3.03	3.93

(iii) Amounts outstanding as at the balance sheet date:

Particulars	As at 31 March 2026	As at 31 March 2025
-	-	-

Note 29: Income Tax Expense

Statement of Profit or Loss	As at 31 March 2026	As at 31 March 2025
Current income tax:		
In respect of the current period	63.30	114.16
Deferred tax:		
In respect of the current period	-	-
Income tax expense reported in the statement of profit or loss	63.30	114.16
Income tax recognised in other comprehensive income:		
- Deferred tax arising on income and expense recognised in OCI	-	-
Total Tax Expense	63.30	114.16

Note 30: Financial Instruments

The carrying value and fair value of financial instruments by categories are as below:

Financial Assets	Carrying Value March 31, 2026	Carrying Value March 31, 2025
Fair value through profit and loss		
Investment in equity shares (*)	12,935.63	20,199.68
Amortised cost		
Loans and advances (^)	2,564.17	1,153.71
Receivable others (^)	3.68	3.68
Trade receivable (^)	3,179	784
Cash and cash equivalents (^)	23.39	35.92

Unsecured Loan given to third party (^)	-	-
Deposit with Black Horse Media & Ent. Pvt Ltd (^)	2.00	2.00
Deposit with Lotus (^)	2.00	2.00
Staff advance (^)	2.00	-
Total Assets	**18,711.79**	**22,180.78**

Note 30 (Contd.): Financial Liabilities

Financial Liabilities (Amortized cost)	Carrying Value March 31, 2026	Carrying Value March 31, 2025
Borrowings (^)	-	-
Trade and other payables (^)	6,181.05	5,998.34
Other financial liabilities (^)	-	-
Total Liabilities	**6,181.05**	**5,998.34**

Fair value hierarchy:
Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.
Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3 - Inputs for the assets or liabilities that are not based on observable market data.

(*) The fair value of these investment in equity shares are calculated based on discounted cash flow approach for unquoted market instruments which are classified as level III fair value hierarchy.
(^) The carrying value of these accounts are considered to be the same as their fair value, due to their short term nature. Accordingly, these are classified as level 3 of fair value hierarchy.

Note 31: Financial Risk Management

The Company has exposure to following risks arising from financial instruments:

- credit risk
- market risk
- liquidity risk

(a) Risk management framework

The Company's board of directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities.

(b) Credit risk

Credit risk is the risk that counter party will not meet its obligations under a financial instruments or customer contract leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables) from its financing activities including deposits with banks and investment in quoted and un-quoted equity instruments.

i) Trade and other receivables:

Credit risk is managed by each business unit subject to the Company's established policy, procedures and control relating to customer credit risk management. Outstanding customer receivables are regularly monitored.

The impairment analysis is performed at each reporting date on an individual basis for major customers. In addition, a large number of minor receivables are grouped into homogeneous groups and assessed for impairment collectively. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets. The Company does not hold collateral as security.

Expected credit loss (ECL) assessment for corporate customers

The Company allocates each exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of loss (including but not limited to past payment history, security by way of deposits, external ratings, audited financial statements, management accounts and cash flow projections and available press information about customers) and applying experienced credit judgement.

ii) Other financial assets and deposits with banks:

Credit risk on cash and cash equivalent is limited as (including bank balances, fixed deposits and margin money with banks) the Company generally transacts with banks with high credit ratings assigned by international and domestic credit rating agencies.

(c) Market Risk

Equity price risk

The Company is exposed to equity price risk from investments in equity securities measured at fair value through profit and loss. The Management monitors the proportion of equity securities in its investment portfolio based on market indices and based on company performance for un-equity instruments. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board of Directors. Further, major investments in un-quoted equity instruments are strategic in nature and hence invested for long-term purpose.

Interest rate risk

Interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to its short term borrowings in nature of working capital loans, which carry floating interest rates. Accordingly, the Company's risk of changes in interest rates relates primarily to the Company's debt obligations with floating interest rates.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant. The impact on entity's loss before tax due to change in the interest rate/ fair value of financial liabilities are as disclosed below:

Particulars	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2024
	Change / Effect	Change / Effect	Change / Effect
Short-term borrowings	+1% / 0.05	+1% / 0.05	+1% / 0.05
	-1% / (0.05)	-1% / (0.05)	-1% / (0.05)

(d) Liquidity Risk

Liquidity is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing the liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The Company believes that the cash and cash equivalents is sufficient to meet its current requirements. Accordingly no liquidity risk is perceived.

Exposure to liquidity risk

The table below details the Company's remaining contractual maturity for its non-derivative financial liabilities. The contractual cash flows reflect the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay.

Particulars	Carrying Value	Contractual Cash Flows Total	On Demand	< 1 Yr	> 1 Yr
31 March 2026					
Borrowings	-	-	-	-	-
Trade and other payables	6,181.05	6,181.05	6,181.05	-	-
Other financial liabilities	-	-	-	-	-
Total	6,181.05	6,181.05	6,181.05	-	-
31 March 2025					
Borrowings	5,998.34	5,998.34	5,998.34	-	-
Trade and other payables	-	-	-	-	-
Other financial liabilities	-	-	-	-	-
Total	5,998.34	5,998.34	5,998.34	-	-

Note 32: Capital Management

The Company's objective is to maintain a strong capital base to ensure sustained growth in business and to maximize the shareholders value. The Capital Management focuses to maintain an optimal structure that balances growth and maximizes shareholder value.

The Company's adjusted net debt to equity ratio is analyzed as follows:

Particulars	31 March 2026	31 March 2025
Total equity (A)	38,801.20	37,542.15
Total borrowings (B)	-	-
Total capital (C) = (A) + (B)	**38,801.20**	**37,542.15**
Total loans and borrowings as a % of total capital (B/C)	0.00%	0.00%
Total equity as a % of total capital (A/C)	**100.00%**	**100.00%**

Financial Ratios

a. Current ratio

Formula: Current assets divided by current liabilities

Particulars	As at 31st March 2026	As at 31st March 2025
Current Assets	6,544.24	4,150.02
Current Liabilities	6269.56	6,059.64
Ratio	1.04	**0.68**
% Change from previous period	0.52	(0.20)

Decrease in Current ratio is because of more increase in current liabilities as compare to increase in current asset.

b. Debt Equity ratio

Formula: Total debt divided by total equity where total debt refers to sum of current and non-current borrowings

Particulars	As at 31st March 2026	As at 31st March 2025
Total debt	-	-
Total equity	38,801.20	37,542.15
Ratio	**-**	**-**
% Change from previous period	-	-

Since there were no outstanding debts.

c. Debt Service Coverage Ratio

Formula: Earnings available for debt services divided by Total interest and principal repayments

Particulars	As at 31st March 2026	As at 31st March 2025
Outstanding Debt Status	-	-

d. Return on Equity Ratio / Return on Investment Ratio

Formula: Net profit after tax divided by Average Equity

Particulars	As at 31st March 2026	As at 31st March 2025
Net Profit after Tax	1,259.04	207.36
Average equity employed	38,801.20	37,542.15
Ratio	0.03245	**0.00552**
% Change from previous period	4.87	0.01

Positive return on equity ratio is due to net profit earned during the year as compare to loss in previous year.

e. Trade Receivables turnover ratio

Formula: Sales divided by Average trade receivables

Particulars	As at 31st March 2026	As at 31st March 2025
Sales	10,108.23	5,793.18
Average Trade receivables	1,981.36	787.99
Ratio	5.102	7.352
% Change from previous period	(0.31)	(0.52)

Increase in trade receivables is due to increase in revenue.

f. Trade payables turnover ratio

Formula: Purchases divided by Average trade payables

Particulars	As at 31st March 2026	As at 31st March 2025
Purchases	10,109.31	5,657.11
Average trade payables	6,089.69	5,757.29
Ratio	1.66	0.98

There is increase in trade payables turnover ratio because of increase in purchases in current year as compare to previous year.

g. Net capital Turnover Ratio

Formula: Sales divided by Net Working capital whereas net working capital = current assets - current liabilities

Particulars	As at 31st March 2026	As at 31st March 2025
Sales	10,108.23	5,793.18
Net working Capital	274.68	(1,909.61)
Ratio	36.80	(3.03)
% Change from previous period	(13.13)	(0.65)

Due to increase in revenue in current year there is increase in net capital turnover ratio.

h. Net profit ratio

Formula: Net profit after tax divided by Sales

Particulars	As at 31st March 2026	As at 31st March 2025
Net Profit After Tax	1,259.04	207.36
Sales	10,108.23	5,793.18

Ratio	0.12	0.04
% Change from previous period	(2.48)	(0.19)

There is increase in profit as compare to loss in the previous year resulting to increase in net profit ratio.

i. Return on Capital employed (pre cash)

Formula: Earnings before interest and taxes (EBIT) divided by Average Capital Employed

Particulars	As at 31st March 2026	As at 31st March 2025
Profit before tax* (A)	1,322.33	321.52
Finance costs* (B)	-	-
Other income excluding Trade finance income* (C)	1,380.90	218.06
EBIT (D) = (A)+(B)-(C)	(58.56)	**103.46**
Average Capital Employed (E)	38,801.20	37,542.15
Ratio	**(0.00)**	**0.00**
% Change from previous period	1.55	4.37

Return on Capital Employed is positive since there is profit in current year as compared to loss in last year.

Capital Management Summary Table

Particulars	As at 31st March 2026	As at 31st March 2025
Equity share capital	19,819.17	19,819.17
Other equity	19,982.02	17,722.98
Warrant Application Money Received	-	-
Total equity (A)	**38,801.20**	**37,542.15**
Current borrowings	-	-
Current maturity of non current borrowings	-	-
Total debt (B)	-	**-**
Less : Cash and cash equivalents	(23.39)	(35.92)
Net debt (C)	(23.39)	(35.92)
Capital and net debts (D = A + C)	**38,777.80**	**37,506.23**
Debt equity ratio (B / A)	-	-
Capital gearing ratio (B / D)	-	-

There is no borrowings hence capital gearing ratio not applicable

Contingent liabilities and commitments

There are no contingent liabilities and commitments.

Prior year comparatives

The figures of the previous year have been regrouped/reclassified, where necessary, to confirm with the current year's classification.

SIGNIFICANT ACCOUNTING POLICIES TO THE STANDALONE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31ST MARCH 2026

NOTE -1 BASIC ACCOUNTING POLICIES

1. Corporate Information:

Avance Technologies Limited (the "Company") is a Public Limited Company domiciled and incorporated in India under the provisions of the Companies Act, 1956 in the year 1985. The Company is primarily engaged in the business of software-related products and solutions.

The Registered Office of the Company is situated at 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063.

The Company's equity shares are listed and admitted for trading on BSE Limited.

These financial statements for the year ended 31st March, 2026 were approved and authorised for issue by the Board of Directors at its meeting held on 29th May, 2026.

2. Basis of Preparation and Significant Accounting Policies:

- **Basis of preparation:**

(1) Compliance with Ind AS

The standalone financial statements of the Company for the year ended 31st March, 2026 have been prepared in accordance with the Indian Accounting Standards ("Ind AS") notified under Section 133 of the Companies Act, 2013 ("the Act"), read with the Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time. These financial statements have also been prepared in compliance with the presentation requirements of Division II of Schedule III to the Companies Act, 2013, the applicable provisions of the Act, the regulations and guidelines prescribed by the Securities and Exchange Board of India ("SEBI"), and other accounting principles generally accepted in India.

(2) Historical Cost Convention

The financial statements have been prepared under the historical cost convention and on the accrual basis of accounting, except for those items that are required to be measured at fair value under the applicable Ind AS. The accounting policies have been consistently applied by the Company in the preparation of these financial statements, except where otherwise stated.

(3) Functional Currency and Rounding of Amounts

The financial statements are presented in Indian Rupees (Rs.), which is the functional and presentation currency of the Company, and are rounded off to the nearest lakh, unless otherwise stated.

- **Summary of significant accounting policies:**

(a) Current versus non-current classification:

The Company presents assets and liabilities in the balance sheet based on current /non-current classification.

i. An asset is treated as current when it is:

a. Expected to be realised in normal operating cycle or within twelve months after the reporting period held primarily for the purpose of trading, or
b. Cash or cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period
c. All other assets are classified as non-current.

ii. A liability is current when:

a) It is expected to be settled in normal operating cycle or due to be settled within twelve after the reporting period or
b) There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

iii. The Company classifies all other liabilities as non-current.

iv. Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realization in cash and cash equivalents. The Company has identified period of twelve months as its operating cycle.

(b) <u>Use of Estimates and Assumptions:</u>

The preparation of financial statements in accordance with Ind AS requires subjective and complex judgments to make estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, revenues and expenses at the date of these financial statements.

Estimates and underlying assumptions are reviewed at each balance sheet date. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected.

In particular, information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are as below:
a) Fair value of Financial Assets and Financial liabilities,
b) The useful lives of, or expected pattern of consumption of the future economic benefits bodied in, depreciable assets,
c) Valuation of Inventories and Inventory obsolescence,
d) Provisions and Bad Debts.

Key source of estimation of uncertainty as at the date of financial statements, which may cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year, is in respect of the following:

<u>Investment in equity shares:</u>

The Company is exposed to equity price risk from investments in equity securities measured at fair value through profit and loss. The Management monitors the proportion of equity securities in its investment portfolio based on market indices. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board of Directors.

<u>Taxes:</u>

The Company's tax jurisdictions are in India. Uncertainties exist with respect to the interpretation of complex tax regulations, changes in tax laws, and the amount and timing of future taxable income of the Company's operations in India. The Company establishes provisions, based on reasonable estimates, for possible consequences of audits by the tax authorities and reflects uncertainties relating to income taxes, if any. The amount of such provisions is based on various factors, such as experience of previous tax audits and differing interpretations of tax regulations by the taxable entity and the responsible tax authority. A tax assessment could involve complex issues, which can only be resolved over extended time periods. Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgement is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets:

Impairment exists when the carrying value of an asset or cash generating unit ("CGU") exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow ("DCF") model. The cash flows are derived from the budget for future years and do not include restructuring activities that the Company is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Impairment of financial assets:

The Company assesses impairment of financial assets ('Financial instruments') and recognizes expected credit losses in accordance with Ind AS 109. The Company provides for impairment of trade receivables and unbilled revenue outstanding for more than 1 year from the date they are due for payment and billing respectively.

The Company provides for impairment of investment in subsidiaries. Impairment exists when there is a diminution in value of the investment and the recoverable value of such investment is lower than the carrying value of such investment.

(c) Fair value measurement:

The company measures financial instrument such as investments at fair value at each balance sheet date.
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability - or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Currently company carries those instruments in level 1 inputs of the above mentioned fair value hierarchy.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on thebasis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy asexplained above.

(d) <u>Financial instruments:</u>

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability orequity instrument of another entity.

1) Financial assets:

Initial recognition and measurement:

All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at fair value through profit and loss, transaction costs that are attributable to the acquisition of the financial asset.

Subsequent measurement:

For purposes of subsequent measurement, financial assets are classified in three broad categories:

- Debt instruments assets at amortised cost
- Equity instruments measured at fair value through profit or loss (FVTPL)

When assets are measured at fair value, gains and losses are either recognised entirely in the statement of profit and loss (i.e. fair value through profit and loss), or recognised in other comprehensive income (i.e. fair value through other comprehensive income).

Debt instruments at amortized cost:

A debt instrument is measured at amortised cost (net of any write down for impairment) if both the following conditions are met:

- the asset is held to collect the contractual cash flows (rather than to sell the instrument prior to its contractual maturity to realise its fair value changes), and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding.

Such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit and loss. The losses arising from impairment are recognised statement of profit and loss. This category generally applies to trade and other receivables.

Financial assets at fair value through OCI (FVTOCI):

A financial asset that meets the following two conditions is measured at fair value through OCI unless the asset is designated at fair value through profit and loss under fair value option.

- The financial asset is held both to collect contractual cash flows and to sell.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in OCI. However, the Company recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the Profit and Loss. On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to Profit and Loss. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

Financial assets at fair value through profit and loss:

FVTPL is a residual category for company's investment instruments. Any instruments which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

All investments included within the FVTPL category are measured at fair value with all changes recognized in the Profit and Loss.

In addition, the company may elect to designate an instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

Equity investments:

All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at FVTPL. For all other equity instruments, the Company may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Company has not made any such election. This classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to P&L, even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

Equity investment in subsidiary is measured at cost.

De-recognition:

When the Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; it evaluates if and to what extent it has retained the risks and rewards of ownership.

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is primarily de-recognised when:

- The rights to receive cash flows from the asset have expired, or
- Based on above evaluation, either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a bases that reflect the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets:

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets isimpaired. Ind AS109 ('Financial instruments') requires expected credit losses to be measured through a lossallowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the lifetime expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

2) Financial Liabilities:

Initial recognition and measurement:

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit and loss or at amortised cost, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

The Company's financial liabilities include trade payables, lease obligations, and other payables.

Subsequent measurement:

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at amortised cost:

After initial recognition, interest-bearing loans and borrowings and other payables are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit and loss when the liabilities are de-recognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

De-recognition:

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. Thedifference in the respective carrying amounts is recognised in the statement of profit and loss.

3) Offsetting of financial instruments:

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

4) Re-classification of financial assets:

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities.

For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

(e) <u>Impairment of non-financial assets:</u>

Non-financial assets including Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the standalone statement of profit and loss.

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the standalone statement of profit and loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

(f) <u>Lease:</u>

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Where the Company as a lessee:

A lease is classified at the inception date as a finance lease or an operating lease. A lease that transfers substantially all the risks and rewards incidental to ownership to the Company is classified as a finance lease. An operating lease is a lease other than a finance lease.

Operating lease:

Operating lease payments are recognised as an expense in the statement of profit and loss on a straight line basis.

(g) Revenue recognition:

i. Sale of Goods

Revenue from sale of goods is recognized when the significant risks and rewards of ownership of the goods are transferred to the buyer, usually on delivery of the goods and when all the following conditions are satisfied:

- The Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- The amount of revenue can be measured reliably;
- It is probable that the economic benefits associated with the transaction will flow to the Company; and
- The costs incurred or to be incurred in respect of the transaction can be measured reliably.

Revenue from the sale of goods is measured at the fair value of the consideration received or receivable. Amounts disclosed as revenue are net of returns and allowance, trade discounts and volume rebates and does not include Value added tax (VAT), Central Sales tax (CST) and any other taxes.

ii. Other income:

Other income is recognized when it is probable that the economic benefits associated with the transaction will flow to the Company and the amount of income can be measured reliably.

Interest Income: Interest income is recognized on an accrual basis using the Effective Interest Rate (EIR) method, in accordance with the applicable provisions of Ind AS 109, Financial Instruments, as applicable.

Dividend Income: Dividend income is recognized when the Company's right to receive the payment is established, generally when the shareholders' right to receive the payment is established, provided that it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

Gain/Loss on Sale of Investments: Gains or losses arising on the sale or disposal of investments are recognized in the Statement of Profit and Loss when the rights and obligations relating to the investments are transferred and the amount of consideration can be reliably measured. The gain or loss is determined as the difference between the net disposal proceeds and the carrying amount of the investment and is recognized in the period in which the disposal takes place.

Other income is recognized in accordance with the relevant provisions of the applicable Indian Accounting Standards.

(h) Property, Plant and Equipment:

Property, Plant and Equipment ("PPE") are stated at cost or deemed cost, as applicable, less accumulated depreciation and accumulated impairment losses, if any. The cost of PPE includes expenditure directly attributable to the acquisition, construction or installation of the asset and other costs incurred to bring the asset to its intended use.

Depreciation on PPE is provided on a systematic basis over their estimated useful lives, using the Straight-Line Method, from the date the asset is available for use. The estimated useful lives of PPE are determined based on the nature of the asset, its expected usage, technical and commercial factors and the applicable provisions of Schedule II to the Companies Act, 2013, as amended from time to time.

The depreciation method, useful lives and residual values of PPE are reviewed at the end of each financial year and changes, if any, are accounted for prospectively in accordance with the applicable Indian Accounting Standards.

Subsequent expenditure relating to PPE is capitalized only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost can be measured reliably.

Repairs and maintenance expenses are recognized in the Statement of Profit and Loss as and when incurred.

An item of PPE is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any resulting gain or loss arising on derecognition is recognized in the Statement of Profit and Loss in the period in which the asset is derecognized.

(i) <u>Foreign currency translation:</u>

(i) Initial recognition:

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(ii) Conversion:

Foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction. Non-monetary items, which are measured at fair value or other similar valuation denominated in a foreign currency, are translated using the exchange rate at the date when such value was determined.

(iii) Exchange differences:

Exchange differences arising on the settlement of monetary items or on reporting monetary items of Company at rates different from those at which they were initially recorded during the year, or reportedin previous financial statements, are recognised as income or as expenses in the year in which they arise except those arising from investments in non-integral operations.

(j) <u>Taxes:</u>

Tax expense comprises of current and deferred tax.

Current income tax:

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid tothe taxation authorities in accordance with the Income-tax Act, 1961. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognised outside profit and loss is recognised outside profit and loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions takenin the tax returns with respect to situations in which applicable tax regulations are subject to interpretationand establishes provisions where appropriate. Tax liability under Minimum Alternate Tax ("MAT") is considered as current tax. MAT entitlement is considered as deferred tax.

Minimum Alternative Tax ("MAT") credit is recognised as an asset only when and to the extent there is convincing evidence that the Company will pay normal income tax during the specified period. Such asset isreviewed at each Balance Sheet date and the carrying amount of the MAT credit asset is written down to theextent there is no longer convincing evidence to the effect that the Company will pay normal income tax during the specified period.

Deferred Tax:

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

- In respect of taxable temporary differences associated with investments in subsidiaries when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

  Deferred tax assets are recognised for all deductible temporary differences and the carry forward of any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss

- In respect of deductible temporary differences associated with investments in subsidiaries deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

  The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

  Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

  Deferred tax relating to items recognised outside profit and loss is recognised outside profit and loss (either in OCI or in equity). Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

  Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(k) <u>Provisions, Contingent liabilities, Contingent assets and Commitments:</u>

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the statement of profit and loss.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or a present obligation that arises from past events but is not recognised because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is disclosed, where an inflow of economic benefits is probable.

(l) <u>Earnings per share:</u>

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable toequity shareholders and the weighted average number of shares outstanding during the period are adjustedfor the effects of all dilutive potential equity shares.

(m) <u>Segment reporting:</u>

The Company has only one segment of activity of dealing in IT products during the period; Hence, segment wise reporting as defined in Indian Accounting Standard-108 is not applicable.

(n) <u>Inventory:</u>

Inventories are valued at cost or net realizable value whichever is lower, computed on a FIFO basis, after providing for cost of obsolescence and other anticipate losses, wherever considered necessary. Finished goodsinclude costs of conversion and other costs incurred in bringing the inventories to their present location andcondition as certified by the management.

(o) <u>Retirement and other employee benefits:</u>

Employee benefits include provident fund and compensated absences.

<u>Defined contribution plans:</u>

Contributions payable to recognized provident funds, which are defined contribution schemes, are charged to the standalone statement of profit and loss.

<u>Short-term employee benefits:</u>

Short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service. Compensated absences, which are expected to be utilised within the next 12 months, are treated as short-term employee benefits. The Company measures the expected cost of such absences as the additional amount that it expects to pay as a result of theunused entitlement that has accumulated at the reporting date.

(p) <u>Cash and cash equivalents:</u>

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand and short-term depositswith an original maturity of three months or less, which are subject to an insignificant risk of changes in value are unrestricted for withdrawal and usage.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of theCompany's cash management.

(q) <u>Trade Receivable:</u>

Trade receivables are recognized at fair value, the outstanding balances of sundry debtors, advances etc. are verified by the management periodically and on the basis of such verification management determines whether the said outstanding balance are good, bad or doubtful and accordingly same are written off or provided for.

Receivables that are expected in one year or less, are classified as current assets, if not they are presented as non-current assets.

(r) <u>Cash Flow Statement:</u>

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated.

For the purpose of presentation in the Statement of Cash Flows, cash and cash equivalents includes cash in hand and Balances with Banks.

INDEPENDENT AUDITOR'S REPORT

To the Members of **Avance Technologies Limited**

Report on the Audit of the Ind AS Consolidated Financial Statements

Opinion

We have audited the accompanying Consolidated financial statements of **Avance Technologies Limited** ("**the Holding Company**") and its subsidiaries viz. **Avance Ventures Private Limited, Verticore Technologies Private Limited and Avance Platforms Private Limited** together referred to as (**"the Group"**) which comprises the Balance Sheet as at March 31, 2026, and the Statements of Profit and Loss and the Cash Flow Statement for the year then ended, and a summary of the significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated financial statements give the information required by the Companies Act 2013 ('the Act') in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended (Ind AS) and other Accounting principles generally accepted in India of the state of affairs of the Company as at March 31, 2026, and profit total comprehensive income, t cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

1. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the Consolidated financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information Other than the Financial Statements and Auditor's Report Thereon

2. The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and analysis, Board's Report including Annexures to the Board's Report, Business Responsibility report, Corporate Governance and Shareholder's Information (as applicable) but does not include the Consolidated Financial Statement and our auditors report thereon.

3. Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

4. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibility of the Management and those charged with governance for the Consolidated Financial Statements

5. The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Companies Act, 2013 (the Act) that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group including its subsidiaries in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

6. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

7. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Consolidated Financial Statements

8. Our objectives are to obtain reasonable assurance about whether the Consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

9. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated financial statements.

10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

    - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

    - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

11. We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

12. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

13. As required by Section 143(3) of the Act, we report that:

    a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.

    b. In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

    c. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.

    d. In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act read with Rule 7 of the Companies (Accounts) Rules, 2014.

    e. On the basis of the written representations received from the directors of the Holding Company as on 31st March 2026 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, incorporated in India, none of the directors of the

Group companies, incorporated in India is disqualified as on 31st March 2026 from being appointed as a director in terms of Section 164(2) of the Act.

f. With respect to the adequacy of internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate report in **Annexure I**.

g. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 (the "Order"/"CARO") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Auditor's report, according to the information and explanations given to us, and based on the CARO reports issued by us for the Company and its subsidiaries included in the consolidated financial statements of the Company, to which reporting under CARO is applicable, we report that there are no qualifications or adverse remarks in these CARO reports.

h. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014(as amended), in our opinion and to the best of our information and according to the explanations given to us:

- The financial statements disclose the impact of pending litigations as at 31 March 2026 on the financial position of the Group.

- The Group did not have any material foreseeable losses on long-term contracts including derivative contracts.

- There were no amounts required to be transferred to the Investor Education and Protection Fund by the Group.

- a) The management of the group has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the group to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"),with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the group ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

  b) The management of the group has represented that, to the best of its knowledge and belief, no funds have been received by the group from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the group shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

  c) Based on such audit procedures that were considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

- No dividend declared and paid by the company, during the year.

- Based on our examination, which included test checks, the Group has used accounting software for maintaining its books of account for the financial year ended on March 31, 2026 which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with.

Additionally, the audit trail has been preserved by the Group as per the statutory requirements for record retention.

For A. Raghavendra Rao & Associates,
Chartered Accountants
Firm Reg No: 003324S

Sd/-
CA G. Sathyanarayana
Partner
M.No: 205603
UDIN: 26205603LLLYNK1038

Place: Bengaluru
Date: 29th May, 2026

Annexure I to the Independent Auditors' Report

Referred to in paragraph 15 (f) 'Report on Other Legal and Regulatory Requirements' in our Auditor' Report of even date to the members on the Consolidated Financial Statements for the year ended March 31, 2026 of Avance Technologies Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act").

1. In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended March 31, 2026, we have audited the internal financial controls over financial reporting of Avance Technologies Limited (hereinafter referred to as "the Holding Company") and its subsidiary companies, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

2. The respective Board of Directors of the Holding Company and its subsidiaries, which are Companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013

Auditors' Responsibility

3. Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness.

5. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

6. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

7. A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A

company's internal financial control over financial reporting includes those policies and procedures that:

(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;

(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

8. Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

9. According to the information and representation given to us by the management and considering the size of the company and nature of business we did not come across any material weakness in internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as of March 31, 2026, considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other matters

10. Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting insofar as it relates to three subsidiary

companies, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

For A. Raghavendra Rao & Associates,
Chartered Accountants
Firm Reg No: 003324S

Sd/-
CA G. Sathyanarayana
Partner
M.No: 205603
UDIN: 26205603LLLYNK1038

Place: Bengaluru
Date: 29th May, 2026

Consolidated Balance Sheet for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	Note	As at 31st March 2026	As at 31st March 2025
ASSETS			
Non-current assets			
Financial assets:			
Property, Plant and Equipment	2	0.53	0.00
Investments	3	15,823.63	20,187.68
Other financial assets	4	2,567.84	1,157.39
Deferred tax assets (Net)	5	0.46	0.46
Other non-current assets	7	23,022.05	16,733.23
		41,414.51	**38,078.76**
Current assets			
Inventories	8	9,079.65	3,563.33
Financial assets			
Investments	3	3,305.54	3,305.54
Trade receivable	9	4,212.55	1,075.41
Cash and cash equivalents	10	4,898.09	2,050.90
Other financial assets	11	8.00	4.02
Current Tax Assets (net)	6	28.37	20.78
Other current assets	7	1,954.73	1,901.45
		23,486.93	**11,921.43**
TOTAL ASSETS		**64,901.44**	**50,000.18**
EQUITY & LIABILITIES			
Equity			
Equity share capital	12	19,819.17	19,819.17
Other equity	13	19,597.01	18,273.40
		39,416.18	**38,092.58**
Liabilities			
Non-current liabilities			
Borrowings	14	14,666.62	5,578.13
Current liabilities			
Financial liabilities			
Borrowings	15	1,738.89	0.00
Trade payables	16	8,987.90	6,177.88
Other current liabilities	17	1.35	0.00
Provisions	18	90.50	151.60
		10,818.63	**6,329.48**
TOTAL LIABILITIES		**64,901.44**	**50,000.18**
Corporate information and significant accounting policies	1&2		
The notes referred to above form an integral part of financial statements as per our report of even date attached			

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S
Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-	**Sd/-**	**Sd/-**	**Sd/-**
Latesh Poojary	**Vasant Bhoir**	**Vijay Purohit**	**Sneha Shrivastava**
Chairman & MD	**Director**	**CFO**	**CS**
DIN: 10414863	**DIN: 07596882**		

Place: Mumbai
Date: 29th May, 2026

Consolidated Statement of Profit and Loss for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	Note	As at 31st March 2026	As at 31st March 2025
Income			
Revenue from operations	19	15,925.61	17,176.54
Other income	20	1,384.10	219.75
Total Income		**17,309.71**	**17,396.29**
Expenses			
Purchases of Stock-in-Trade	21	21,420.01	18,215.17
Changes in inventories of goods	22	(5,516.32)	(1,607.88)
Employee benefit expense	23	15.19	13.84
Finance costs	24	8.20	1.57
Depreciation and amortisation	2	0.02	0.00
Other expenses	25	58.45	39.19
Total expenses		**15,985.54**	**16,661.89**
Profit before tax and extraordinary and exceptional items		**1,324.16**	**734.40**
Add/Less: Exceptional Items		-	-
Profit before tax and after extraordinary and exceptional items		**1,324.16**	**734.40**
Tax expense:			
Income Tax - current year		89.00	151.00
Income Tax - earlier year		(88.44)	53.16
Deferred tax charge/ (credit)		0.00	0.00
Profit (Loss) for the period from continuing operations		**1,323.61**	**530.24**
Other Comprehensive Income			
(iii) Items that will not be reclassified to profit or loss (net of tax)		-	-
(iv) Items that will be reclassified to profit or loss (net of tax)		-	-
Total Comprehensive Income for the period and Other Comprehensive Income		**1,323.61**	**530.24**
Earnings per share (equity shares, par value Re. 1/- each)	27	-	-
Basic		0.67	0.27
Corporate information and significant accounting policies	1&2		
The notes referred to above form an integral part of financial statements			

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S

Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-	Sd/-	Sd/-	Sd/-
Latesh Poojary	**Vasant Bhoir**	**Vijay Purohit**	**Sneha Shrivastava**
Chairman & MD	**Director**	**CFO**	**CS**
DIN: 10414863	**DIN: 07596882**		

Place: Mumbai
Date: 29th May, 2026

Consolidated Statement of Cash Flows for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

Particulars	As at 31st March 2026	As at 31st March 2025
Cash flow from operating activities		
Profit for the period	**1,324.16**	**734.40**
Adjustments for :		
Finance costs	8.20	1.57
Interest income/Dividend Income	(384.10)	(219.75)
Depreciation and amortization expense	0.02	-
Operating Profit Before Working Capital Changes	**948.29**	**516.22**
Changes in operating assets and liabilities		
Inventories	(5,516.32)	(1,607.88)
Trade Advance and receivables	(3,137.14)	138.54
(Increase)/ Decrease in other current asset	(53.28)	(1,892.03)
(Increase)/ Decrease in other non-current asset	(6,288.82)	1,552.20
(Increase)/ Decrease Current Tax Asset	(7.59)	(20.78)
(Increase)/ Decrease in other current Financial asset	(3.98)	(2.02)
(Increase)/ Decrease in other non-current Financials asset	(1,410.45)	(217.96)
Trade and other payables	2,810.03	(5,068.48)
Increase/(Decrease) in Provision	(61.10)	(50.90)
Increase/(Decrease) in other current Liabilities and Provision for exps	1.35	(2.33)
Net cash provided by operating activities before taxes	**(13,667.30)**	**(7,171.64)**
Income taxes paid	(0.56)	(106.09)
Net cash provided by operating activities(A)	**(13,719.57)**	**(6,761.51)**
Cash flow from investing activities		
(Purchase)/Proceeds from sale/Maturity of investment- Non Current Investment	4,364.05	887.87
(Purchase) / Proceeds from sale / Maturity of investment - Current Investment	(0.00)	648.70
Purchase of Fixed Assets	(0.55)	-
Interest received / Dividend Received	1,384.10	219.75
Un-secured loan given to third party	-	-
Net cash used in investing activities(B)	**5,747.60**	**1,756.32**
Cash flow from financing activities		
Finance costs paid	(8.20)	(1.57)
Loans and advances & others	9,088.49	5,578.13
Proceeds/(Repayment) for short-term borrowings	1,738.89	-
Net Adjustment in reserve & surplus for the year	-	-
Net cash used in financing activities(C)	**10,819.17**	**5,576.56**
Net decrease in cash and cash equivalents (A+B+C)	**2,847.20**	**571.38**
Cash and cash equivalents at the beginning of the year	2,050.89	1,479.52
Cash and cash equivalents at the end of the period (Note 10)	**4,898.09**	**2,050.89**
Corporate information and significant accounting policies 1&2 .The notes referred to above form an integral part of financial statements. As per our report of even date attached		

For A. Raghavendra Rao & Associates
Chartered Accountants
FRN: 003324S

Sd/-
CA G. Sathyanarayana
Partner
Membership No.:205603
UDIN: 26205603LLLYNK1038
Place: Bengaluru
Date: 29th May, 2026

For and on behalf of the Board of Directors of
AVANCE TECHNOLOGIES LIMITED

Sd/-	**Sd/-**	**Sd/-**	**Sd/-**
Latesh Poojary	**Vasant Bhoir**	**Vijay Purohit**	**Sneha Shrivastava**
Chairman & MD	**Director**	**CFO**	**CS**
DIN: 10414863	**DIN: 07596882**		

Place: Mumbai
Date: 29th May, 2026

Consolidated Statement of Changes in Equity for the Financial Year ended 31st March 2026

(All amounts in INR lakhs, unless otherwise stated)

A. Equity Share Capital

Particulars	Number	Amount
Balance at the end of the year 31 March 2025	1,981,917,430	19,819.17
Changes in equity share capital during F.Y. 2025-26	-	-
Balance at the end of the year 31 March 2026	1,981,917,430	19,819.17

B. Other Equity

Particulars	Reserves & Surplus			Other Comprehensive Income	Total Other Equity
	Securities Premium Reserve	Forfeiture Reserve	Retained Earnings		
Balance at the end of the reporting period 31 March 2023	16,707.65	2,790.40	(8,438.24)	6,248.07	17,307.89
Profit for the financial year 2023-24	-	-	488.20	-	488.20
Balance at the end of the reporting period 31 March 2024	16,707.65	2,790.40	(7,950.04)	6,248.07	17,796.09
Profit for the financial year 2024-25	-	-	477.08	-	477.08
Balance at the end of the reporting period 31 March 2025	16,707.65	2,790.40	(7,472.96)	6,248.07	18,273.17
Profit for the financial year 2025-26	-	-	1,323.61	-	1,323.61
Balance at the end of the reporting period 31 March 2026	16,707.65	2,790.40	(6,149.35)	6,248.07	19,596.78

Notes to the Consolidated Financial Statements for the year ended 31st March, 2026

Note 2: Property, Plant & Equipment and Intangible Assets Tangible Assets

(All amounts in INR lakhs, unless otherwise stated)

Particulars	Computers	Office Equipment	Total
Gross carrying amount			
Balance as at 1 April 2025	-	-	-
Additions during the year	8.69	0.09	8.77
Disposals during the year	(8.22)	-	(8.22)
Balance as at 31 March 2026	**0.47**	**0.09**	**0.55**
Accumulated depreciation			
Balance as at 1 April 2025	-	-	-
Depreciation charge for the year	1.15	-	1.15
Eliminated on disposal of assets	(1.14)	-	(1.14)
Balance as at 31 March 2026	**0.02**	**-**	**0.02**
Net carrying amount as at 31 March 2026	**1.60**	**0.09**	**0.53**
Net carrying amount as at 31 March 2025	**-**	**-**	**-**

Note 3: Investments

Particulars	As at 31 March 2026	As at 31 March 2025
A) Investments - Non-current		
Investment in equity instruments (fully paid-up)		
a. Unquoted equity instruments at cost		
Less: Provision for expected credit loss	0.00	0.00
Fair Value of Unquoted Equity Instrument recognised through profit and loss account	0.00	0.00
b. In other companies		
i)Quoted equity instruments (Trading Suspended) fair value through OCI	0.21	0.21
Valued at Fair Value through OCI	**0.21**	**0.21**
i)Unquoted equity instruments fair value through profit and loss	9,985.72	8,770.72
Less: Provision for diminution in Value of Investment	0.00	0.00
Fair Value of Unquoted Investment recognised through Profit and Loss Account	**9,985.72**	**8,770.72**
ii)Unquoted preference shares instruments, fair value through profit or loss	**768.00**	**6,347.05**
Less : Provision for diminution in value of investment	0.00	0.00
Fair Value recognised through profit and loss account	**768.00**	**6,347.05**
iii) Share application money, fair value through profit or loss		
Share application money in un-quoted securities, pending for allotment	5,069.70	5,069.70
Less: Provision for expected credit loss	0.00	0.00

	5,069.70	5,069.70
Total	**15,823.63**	**20,187.68**
B) Investment-Current		
Quoted equity instruments, measured fair value through profit or loss	**3,305.54**	**3,305.54**

Note 4: Other financial assets - non-current (measured at amortized cost)

Particulars	As at 31 March 2026	As at 31 March 2025
Secured considered good, measured at amortized cost		
Loans and advances	2,564.17	1,153.71
Receivable others	3.68	3.68
Less: Provision for expected credit loss	-	-
Total	**2,567.84**	**1,157.39**

Note 5: Deferred tax asset

Particulars	As at 31 March 2026	As at 31 March 2025
Property, plant & equipment on OCI	0.46	0.46
Total	**0.46**	**0.46**

Note 6: Current tax assets (net)

Particulars	As at 31 March 2026	As at 31 March 2025
GST Credit and TDS	28.37	20.78
Total	**28.37**	**20.78**

Note 7: Other non-current assets (measured at cost)

Particulars	As at 31 March 2026	As at 31 March 2025
Other non-current assets, measured at cost		
Advance to Lawyer	9.39	9.39
Advance Tax Payment	0.42	0.11
VAT refundable	75.23	75.23
Prepaid income tax	-	-
Trade advances	22,937.01	16,648.51

Total	**23,022.05**	**16,733.23**
Other current assets, measured at cost		
Advance and other assets TDS	1,954.73	1,901.45
Total	**1,954.73**	**1,901.45**

Note 8: Inventories (measured at cost or net-realisable value whichever is lower)

Particulars	As at 31 March 2026	As at 31 March 2025
Stock-in-trade (Avance)	9,079.65	3,563.33
Total	**9,079.65**	**3,563.33**

Note 9: Trade receivables (measured at amortized cost)

Particulars	As at 31 March 2026	As at 31 March 2025
Un-secured, considered good	4,212.55	1,075.41
Secured, considered good	-	-
Total	**4,212.55**	**1,075.41**

Note 10: Cash and cash equivalents

Particulars	As at 31 March 2026	As at 31 March 2025
Cash on hand (Avance Technologies Limited)	1.52	2.10
Bank balance other than cash and cash equivalents		
Balances with banks (in current accounts)	4,896.57	2,048.79
Total	**4,898.09**	**2,050.90**

Note 11: Other current financial assets (measured at amortized cost)

Particulars	As at 31 March 2026	As at 31 March 2025
Deposit for Office	4.00	0.02
Deposit with Black Horse Media & Ent. Pvt Ltd	2.00	2.00
Deposit with Lotus	2.00	2.00
Total	**8.00**	**4.02**

Note 12: Equity Share Capital

Particulars	As at 31 March 2026	As at 31 March 2025
Authorised Capital: 20,00,00,000 equity shares of Rs 10/- each	19,819.17	19,819.17
Issued, subscribed and paid-up: 1,981,917,43 equity shares of Rs 10/- each	19,819.17	19,819.17
Total	**19,819.17**	**19,819.17**

Notes to Share Capital:

a) Equity shareholders holding more than 5 percent shares in the Company:

Shareholder Details

Name of the shareholder	As at 31 March 2026 (%)	As at 31 March 2025 (%)
-	-	-

b) Reconciliation of the number of shares outstanding at the beginning and at the end of the year is as given below:

Shares Reconciliation

Particulars	As at 31 March 2026 (Shares)	As at 31 March 2026 (Amount)	As at 31 March 2025 (Shares)	As at 31 March 2025 (Amount)
Number of equity shares Outstanding at the beginning of the year	198,191,743.00	19,819.17	198,191,743.00	19,819.17
Number of equity shares Issued during the year	-	-	-	-
Number of equity shares Outstanding at the end of the year	198,191,743.00	19,819.17	198,191,743.00	19,819.17

Note 13: Other Equity

Particulars	As at 31 March 2026	As at 31 March 2025
(i) Securities premium reserve (Closing)	16,707.65	16,707.65
(ii) Forfeiture reserve (Closing)	2,790.40	2,790.40
(iii) Retained Earnings (Opening balance)	(7,472.72)	(7,950.04)

Less: Income Tax for Earlier Year	-	(52.92)
Add: Profit for the year	1,323.61	530.24
Retained Earnings (Closing balance)	(6,149.11)	(7,472.72)
(iv) Other Comprehensive Income (Closing)	6,248.07	6,248.07
Total Other Equity	19,597.01	18,273.40

Note 14: Non -Current Borrowings

Particulars	As at 31 March 2026	As at 31 March 2025
Unsecured loan	14,666.62	5,578.13
Total	**14,666.62**	**5,578.13**

Note 15: Current Borrowings

Particulars	As at 31 March 2026	As at 31 March 2025
Unsecured loan	1,738.89	5,578.13
Total	**1,738.89**	**5,578.13**

Note 16: Trade payables

Particulars	As at 31 March 2026	As at 31 March 2025
Dues to Micro, Small and Medium Enterprises	-	-
Others	8,987.90	6,177.88
Total	**8,987.90**	**6,177.88**

Note: *The Company has not received any memorandum (as required to be filed by the Supplier with the notified authority under the Micro, Small and Medium Enterprises Development Act, 2006) claiming their status as on 31st March 2026 as Micro, Small or Medium Enterprises. Consequently the amount paid / payable to these parties during the year as at March 31,2026: Nil (March 31 2025: Nil)*

Note 17: Other current liabilities

Particulars	As at 31 March 2026	As at 31 March 2025
Other Payables	0.00	0.00
Statutory dues payable *	1.35	0.00
Total	**1.35**	**-**

Note 18: Current Tax Liabilities (Net)

Particulars	As at 31 March 2026	As at 31 March 2025
Account Writing Fees Payable	0.00	0.60
Provision for Income Tax	90.50	151.00
Total	**90.50**	**151.60**

Note 19: Revenue from operations

Particulars	As at 31 March 2026	As at 31 March 2025
Trading income	15,925.61	17,176.54
Total	**15,925.61**	**17,176.54**

Note 20: Other income

Particulars	As at 31 March 2026	As at 31 March 2025
Interest received	384.10	218.06
Dividend	-	0.89
Sundry Balance W/off / Other Income	0.00	0.80
Long Term Capital Gain	1,000.00	-
Total	**1,384.10**	**219.75**

Note 21: Purchases

Particulars	As at 31 March 2026	As at 31 March 2025
Cost of products	21,420.01	18,215.17
Total	**21,420.01**	**18,215.17**

Note 22: Change in stock-in-trade

Particulars	As at 31 March 2026	As at 31 March 2025
Opening stock	3,563.33	1,955.45
Closing stock	9,079.65	3,563.33
Total Change	(5,516.32)	(1,607.88)

Note 23: Employee benefits expense

Particulars	As at 31 March 2026	As at 31 March 2025
Salary	15.19	13.84
Bonus to staff	-	-
Staff welfare	-	-
Total	**15.19**	**13.84**

Note 24: Finance cost

Particulars	As at 31 March 2026	As at 31 March 2025
Bank Charges	8.20	1.57
Interest	-	-
Total	**8.20**	**1.57**

Note 25: Other expenses

Particulars	As at 31 March 2026	As at 31 March 2025
Electricity Expenses	0.04	-
Listing & Other Fees	35.13	11.78
Brokerage and other Charges	11.35	18.67
Auditor remuneration	-	0.60
Communication Expenses	0.17	0.23
Printing & Stationery	0.03	0.04
Professional Fees and legal fees	4.67	5.03
Legal and advertisement charges	0.93	0.76
Rates and taxes	0.27	(0.45)
Travelling & Conveyance Expenses	0.04	0.03
Office expense	0.20	0.12
ROC Charges	0.42	-
Rent	5.16	1.40
Accounting Charges	-	0.60
Misc Expenses	0.02	0.13
Discount	-	0.00

Short Term Loss on Quoted	-	0.23
Total	**58.45**	**39.19**

Note 26: Contingent liabilities and commitments

Particulars	As at 31 March 2026	As at 31 March 2025
Income tax demand & disputes pending before appellate authorities	0.00	0.00

Note 27: Auditors' remuneration excluding applicable tax

Particulars	As at 31 March 2026	As at 31 March 2025
- Audit Fees	0.30	0.30
- Tax Audit Fees	0.00	0.00
Total	**0.30**	**0.30**

Note 28: Earnings per share

Particulars	As at 31 March 2026	As at 31 March 2025
Net profit for the year attributable to equity shareholders	1,323.61	530.24
Weighted average number of equity shares of Rs 10 each used for calculation of basic EPS	1,981,917,430	1,981,917,430
Earnings per share, basic and diluted*	0.0668	0.0268

Note 29: Related Party Transactions

(i) Names of related parties and description of relationship:

a) Entities where control is exercised:

(1) Avance Ventures Private Limited (Wholly Owned Subsidiary)
(2) Verticore Technologies Private Limited (Wholly Owned Subsidiary)
(3) Avance Platforms Private Limited (Wholly Owned Subsidiary)

b) Key management personnel:

(1) Mr. Shrikrishna Bhamidipati (Managing Director) (Ceased w.e.f 1st July, 2025)
(2) Mr. Latesh Poojary (Managing Director & Chairman) (Appointed w.e.f. 02nd July, 2025)
(3) Mrs. Sneha Shrivastava (Company Secretary & Compliance Officer)
(4) Mr. Vijaysingh Purohit (Chief Financial Officer)

c) Other related parties where common control exists:

Nil

(ii) Related party transactions:

Particulars	As at 31 March 2026	As at 31 March 2025
Salary to CS	3.03	3.93

(iii) Amounts outstanding as at the balance sheet date:

Particulars	As at 31 March 2026	As at 31 March 2025
-	-	-

Note 30: Income tax expense

Statement of profit or loss	As at 31 March 2026	As at 31 March 2025
Current income tax: In respect of the current period	89.00	151.00
Deferred tax: In respect of the current period	-	-
Income tax expense reported in the statement of profit or loss	89.00	151.00
Total	**89.00**	**151.00**

Note 31: Financial instruments

Financial Assets / Liabilities (Carrying Value)	As at 31 March 2026	As at 31 March 2025
Investment in equity shares (FVTPL)	15,823.63	20,187.68
Loans and advances (Amortised cost)	2,564.17	1,153.71
Receivable others (Amortised cost)	3.68	3.68
Trade receivable (Amortised cost)	4,213.00	1,075.00
Cash and cash equivalents (Amortised cost)	4,898.09	2,050.90
Unsecured Loan given to third party	4.00	0.02
Deposit with Black Horse Media & Ent. Pvt Ltd	2.00	2.00
Deposit with Lotus	2.00	2.00
Total Assets	**27,510.11**	**24,475.40**
Borrowings (Amortised cost)	1,739	-
Trade and other payables (Amortised cost)	8,987.90	6,177.88
Other financial liabilities	-	-
Total Liabilities	**10,726.79**	**6,177.88**

Fair Value Hierarchy

- **Level 1:** Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- **Level 2:** Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- **Level 3:** Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

(*) The fair value of these investments in equity shares are calculated based on a discounted cash flow approach for un-quoted market instruments which are classified as level III fair value hierarchy.

(^) The carrying value of these accounts are considered to be the same as their fair value, due to their short-term nature. Accordingly, these are classified as level 3 of the fair value hierarchy.

Note 32: Financial Risk Management

The Company has exposure to the following risks arising from financial instruments:

- Credit risk
- Market risk
- Liquidity risk

(a) Risk Management Framework

The Company's board of directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities.

(b) Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities including deposits with banks and investment in quoted and un-quoted equity instruments.

i) Trade and other receivables: Credit risk is managed by each business unit subject to the Company's established policy, procedures and control relating to customer credit risk management. Outstanding customer receivables are regularly monitored.

The impairment analysis is performed at each reporting date on an individual basis for major customers. In addition, a large number of minor receivables are grouped into homogeneous groups and assessed for impairment collectively. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets. The Company does not hold collateral as security.

Expected credit loss (ECL) assessment for corporate customers: The Company allocates each exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of loss (including but not limited to past payment history, security by way of deposits, external ratings, audited financial statements, management accounts and cash flow projections and available press information about customers) and applying experienced credit judgement.

ii) Other financial assets and deposits with banks: (including bank balances, fixed deposits and margin money with banks) Credit risk on cash and cash equivalents is limited as the Company generally transacts with banks with high credit ratings assigned by international and domestic credit rating agencies.

(c) Market Risk

Equity Price Risk

The Company is exposed to equity price risk from investments in equity securities measured at fair value through profit and loss. The Management monitors the proportion of equity securities in its investment portfolio based on market indices and based on company performance for un-equity instruments. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board of Directors. Further, major investments in un-quoted equity instruments are strategic in nature and hence invested for long-term purpose.

Interest Rate Risk

Interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to its short-term borrowings in the nature of working capital loans, which carry floating interest rates. Accordingly, the Company's risk of changes in interest rates relates primarily to the Company's debt obligations with floating interest rates.

(d) Liquidity Risk

Liquidity is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The Company believes that the cash and cash equivalents is sufficient to meet its current requirements. Accordingly, no liquidity risk is perceived.

Exposure to Liquidity Risk

The table below details the Company's remaining contractual maturity for its non-derivative financial liabilities. The contractual cash flows reflect the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay.

Particulars	Carrying Value	Contractual Cash Flows: Total	Contractual Cash Flows: On Demand	Contractual Cash Flows: < 1 Yr	Contractual Cash Flows: > 1 Yr
31 March 2026					
Borrowings	1,738.89	1,738.89	-	1,738.89	1,738.89
Trade and other payables	8,987.90	8,987.90	8,987.90	-	-

Particulars	Carrying Value	Contractual Cash Flows: Total	Contractual Cash Flows: On Demand	Contractual Cash Flows: < 1 Yr	Contractual Cash Flows: > 1 Yr
Other financial liabilities	-	-	-	-	-
Total	10,726.79	10,726.79	8,987.90	1,738.89	-
31 March 2025					
Borrowings	-	-	-	-	-
Trade and other payables	6,177.88	6,177.88	6,177.88	-	-
Other financial liabilities	-	-	-	-	-
Total	**6,177.88**	**6,177.88**	**6,177.88**	-	-

33. Capital Management

The Company's objective is to maintain a strong capital base to ensure sustained growth in business and to maximize shareholder value. Capital Management focuses on maintaining an optimal structure that balances growth and maximizes shareholder value.

The Company's adjusted net debt to equity ratio is analyzed as follows:

Particulars	31 March 2026	31 March 2025
Total equity (A)	39,416.18	38,092.58
Total borrowings (B)	1,738.89	-
Total capital (C) = (A) + (B)	41,155.07	38,092.58
Total loans and borrowings as a % of total capital (B/C)	4.23%	0.00%
Total equity as a % of total capital (A/C)	95.77%	0.00%

34. Revenue contribution of each entity to Consolidated Revenue — illustrative

Sr. No.	Name of the Entity	Revenue from Operations (₹ in Lakhs)	% of Consolidated Revenue
Parent			
1	AVANCE TECHNOLOGIES LIMITED	10,108	63.5%
Subsidiaries			
1	Avance Ventures Private Limited	5,817	36.5%
2	Avance Platforms Private Limited	-	0.0%
3	Verticore Technologies Private Limited	-	0.0%
Grand Total (as per Consolidated Financial Statements)		**15,926**	**100.0%**

Financial Ratios

a. Current ratio = Current assets divided by current liabilities

Particulars	As at 31st March 2026	As at 31st March 2025
Current Assets	23,487.13	11,921.63
Current Liabilities	25,485.25	11,907.61
Ratio	0.92	1.00
% Change from previous period	(0.08)	0.31

Increase in Current ratio is because of more increase in current liabilities as compared to increase in current asset.

b. Debt Equity ratio = Total debt divided by total equity (where total debt refers to sum of current and non-current borrowings)

Particulars	As at 31st March 2026	As at 31st March 2025
Total debt	14,666.62	5,578.13
Total equity	39,416.18	38,092.58
Ratio	0.37	0.15
% Change from previous period	1.54	-

c. Debt Service Coverage Ratio = Earnings available for debt services divided by Total interest and principal repayments

Since there were no outstanding debts.

d. Return on Equity Ratio / Return on Investment Ratio = Net profit after tax divided by Average Equity

Particulars	As at 31st March 2026	As at 31st March 2025
Net Profit after Tax	1,323.61	530.24
Average equity employed	39,416.18	38,092.58
Ratio	0.03	0.01
% Change from previous period	(1.41)	(0.07)

Negative return on equity ratio is due to increase in average equity employed as compared to previous year.

e. Trade Receivables turnover ratio = Sales divided by Average trade receivables

Particulars	As at 31st March 2026	As at 31st March 2025
Sales	15,925.61	17,176.54
Average Trade receivables	2,643.98	1,144.68
Ratio	6.023	15.006
% Change from previous period	(0.60)	(0.31)

Increase in trade receivables is due to increase in revenue.

f. Trade payables turnover ratio = Purchases divided by Average trade payables

Particulars	As at 31st March 2026	As at 31st March 2025
Purchases	21,420.01	18,215.17
Average trade payables	5,309.34	8,712.12
Ratio	4.03	2.09

There is increase in trade payables turnover ratio because of increase in purchases in current year as compared to previous year.

g. Net capital Turnover Ratio = Sales divided by Net Working capital (where net working capital = current assets - current liabilities)

Particulars	As at 31st March 2026	As at 31st March 2025
Sales	15,925.61	17,176.54
Net working Capital	(1,998.12)	14.01
Ratio	(7.97)	1,225.75
% Change from previous period	(1.01)	(229.13)

Due to increase in revenue in current year there is increase in net capital turnover ratio.

h. Net profit ratio = Net profit after tax divided by Sales

Particulars	As at 31st March 2026	As at 31st March 2025
Net Profit After Tax	1,323.61	530.24
Sales	15,925.61	17,176.54
Ratio	0.08	0.03
% Change from previous period	-1.69	0.09

There is increase in profit as compared to previous year resulting in also increase in sales figure to decrease in net profit ratio.

i. Return on Capital employed (pre cash) = Earnings before interest and taxes (EBIT) divided by Average Capital Employed

Particulars	As at 31st March 2026	As at 31st March 2025
Profit before tax (A)	1,324.16	734.40
Finance costs (B)	-	-
Other income excluding Trade finance income (C)	1,384.10	219.75
EBIT (D) = (A)+(B)-(C)	(59.93)	514.65
Average Capital Employed (E)	39,416.18	38,092.58
Ratio	(0.00)	0.01
% Change from previous period	1.11	(1.03)

Return on Capital Employed is Negative since there is increase in average equity employed as compared to previous year.

Capital management

For the purpose of the Company's capital management, capital includes issued equity capital, share premium and all other equity reserves attributable to the equity holders of the Company. The primary objective of the Company's capital management is to maximise the shareholder value. The following table summarizes the capital of the Company.

Particulars	As at 31 March 2026	As at 31 March 2025
Equity share capital	19,819.17	19,819.17
Other equity	19,597.01	18,273.40
Warrant Application Money Received	-	-
Total equity (A)	**39,416.18**	**38,092.58**

Particulars	As at 31 March 2026	As at 31 March 2025
Current borrowings	14,666.62	5,578.13
Current maturity of non-current borrowings	-	-
Total debt (B)	**-**	**-**
Less : Cash and cash equivalents	(4,898.09)	(2,050.90)
Net debt (C)	**(4,898.09)**	**(2,050.90)**
Capital and net debts (D = A + C)	**34,518.09**	**36,041.68**
Debt equity ratio (B / A)	**-**	**-**
Capital gearing ratio (B / D)		

SIGNIFICANT ACCOUNTING POLICIES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31ST MARCH 2026

NOTE -1 BASIC ACCOUNTING POLICIES

1. Corporate Information:

Avance Technologies Limited ("the parent company") together with its subsidiary incorporated in India (collectively referred to as "we", "us", "our", "the Company" or the "Group") is primarily engaged in the business of software-related products and solutions. The Registered Office of the parent company is situated at 1502, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063.

The Company's equity shares are listed and admitted for trading on BSE Limited.

These financial statements for the year ended 31st March, 2026 were approved and authorised for issue by the Board of Directors at its meeting held on 29th May, 2026.

2. Basis of preparation and Significant accounting policies:

- **Basis of preparation:**

(1) Compliance with Ind AS

The consolidated financial statements of the Company for the year ended 31st March, 2026 have been prepared in accordance with the Indian Accounting Standards ("Ind AS") notified under Section 133 of the Companies Act, 2013 ("the Act"), read with the Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time. These consolidated financial statements have also been prepared in compliance with the presentation requirements of Division II of Schedule III to the Companies Act, 2013, the applicable provisions of the Act, the regulations and guidelines prescribed by the Securities and Exchange Board of India ("SEBI"), and other accounting principles generally accepted in India.

(2) Historical Cost Convention

The consolidated financial statements of Subsidiaries are prepared for the same reporting year as the parent company and are prepared in accordance with Indian Accounting Standard (Ind AS) under the historical cost convention on accrual basis except for certain financial instruments, which are measured at fair values, the provisions of the Companies Act, 2013 ("the Act") and guidelines issued by the Securities and Exchange Board of India (SEBI). The Ind AS are prescribed under Section 133 of the Act read with Rule 3 of the Companies (Indian Accounting Standards) Rules, 2015 and relevant amendment rules issued thereafter.

Accounting policies have been consistently applied except where a newly-issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. The material accounting policy information used in preparation of the audited consolidated financial statements have been discussed in the respective notes.

(3) Functional Currency and Rounding of Amounts

The consolidated financial statements are presented in Indian Rupees (Rs.), which is the functional and presentation currency of the Company, and are rounded off to the nearest lakh, unless otherwise stated.

- **Summary of significant accounting policies:**

(a) Current versus non-current classification:

The group presents assets and liabilities in the balance sheet based on current /non-current classification.

i. An asset is treated as current when it is:

d. Expected to be realised in normal operating cycle or within twelve months after the reporting period held primarily for the purpose of trading, or
e. Cash or cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period
f. All other assets are classified as non-current.

ii. A liability is current when:

c) It is expected to be settled in normal operating cycle or due to be settled within twelve after the reporting period or
d) There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

iii. The group classifies all other liabilities as non-current.

iv. Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realization in cash and cash equivalents. The group has identified period of twelve months as its operating cycle.

(b) Use of Estimates and Assumptions:

The preparation of consolidated financial statements in accordance with Ind AS requires subjective and complex judgments to make estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, revenues and expenses at the date of these financial statements.

Estimates and underlying assumptions are reviewed at each balance sheet date. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected.

In particular, information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are as below:
a) Fair value of Financial Assets and Financial liabilities,
b) The useful lives of, or expected pattern of consumption of the future economic benefits bodied in, depreciable assets,
c) Valuation of Inventories and Inventory obsolescence,
d) Provisions and Bad Debts.

Key source of estimation of uncertainty as at the date of financial statements, which may cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year, is in respect of the following:

Investment in equity shares:

The group is exposed to equity price risk from investments in equity securities measured at fair value through profit and loss. The Management monitors the proportion of equity securities in its investment portfolio based on market indices. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board of Directors.

Taxes:

The Company's tax jurisdictions are in India. Uncertainties exist with respect to the interpretation of complex tax regulations, changes in tax laws, and the amount and timing of future taxable income of the Company's operations in India. The Company establishes provisions, based on reasonable estimates, for possible consequences of audits by the tax authorities and reflects uncertainties relating to income taxes, if any. The amount of such provisions is based on various factors, such as experience of previous tax audits and differing interpretations of tax regulations by the taxable entity and the responsible tax authority. A tax assessment could involve complex issues, which can only be resolved over extended time periods. Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgement is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets:

Impairment exists when the carrying value of an asset or cash generating unit ("CGU") exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow ("DCF") model. The cash flows are derived from the budget for future years and do not include restructuring activities that the group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Impairment of financial assets:

The group assesses impairment of financial assets ('Financial instruments') and recognizes expected credit losses in accordance with Ind AS 109. The group provides for impairment of trade receivables and unbilled revenue outstanding for more than 1 year from the date they are due for payment and billing respectively.

The group provides for impairment of investment in subsidiaries. Impairment exists when there is a diminution in value of the investment and the recoverable value of such investment is lower than the carrying value of such investment.

(c) Fair value measurement:

The group measures financial instrument such as investments at fair value at each balance sheet date.
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability - or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Currently group carries those instruments in level 1 inputs of the above mentioned fair value hierarchy.

For the purpose of fair value disclosures, the group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy asexplained above.

(d) <u>Financial instruments:</u>

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability orequity instrument of another entity.

1) Financial assets:

Initial recognition and measurement:
All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at fair value through profit and loss, transaction costs that are attributable to the acquisition of the financial asset.

Subsequent measurement:
For purposes of subsequent measurement, financial assets are classified in three broad categories:

- Debt instruments assets at amortised cost
- Equity instruments measured at fair value through profit or loss (FVTPL)

When assets are measured at fair value, gains and losses are either recognised entirely in the statement of profit and loss (i.e. fair value through profit and loss), or recognised in other comprehensive income (i.e. fair value through other comprehensive income).

Debt instruments at amortized cost:
A debt instrument is measured at amortised cost (net of any write down for impairment) if both the following conditions are met:

- the asset is held to collect the contractual cash flows (rather than to sell the instrument prior to its contractual maturity to realise its fair value changes), and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding.

Such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the profit and loss. The losses arising from impairment are recognised statement of profit and loss. This category generally applies to trade and other receivables.

Financial assets at fair value through OCI (FVTOCI):
A financial asset that meets the following two conditions is measured at fair value through OCI unless the asset is designated at fair value through profit and loss under fair value option.

- The financial asset is held both to collect contractual cash flows and to sell.

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Instruments included within the FVTOCI category are measured initially as well as at each reporting date atfair value. Fair value movements are recognized in OCI. However, the group recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the Profit and Loss. On derecognition ofthe asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to Profit and Loss. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.0

Financial assets at fair value through profit and loss:
FVTPL is a residual category for company's investment instruments. Any instruments which does not meetthe criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

All investments included within the FVTPL category are measured at fair value with all changes recognizedin the Profit and Loss.

In addition, the company may elect to designate an instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch').

Equity investments:

All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are heldfor trading are classified as at FVTPL. For all other equity instruments, the Company may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Company has not made any such election. This classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to P&L, even on sale of investment. However, the Company may transfer the cumulative gain or loss withinequity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

Equity investment in subsidiary is measured at cost.

De-recognition:

When the Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; it evaluates if and to what extent it has retained the risks and rewards of ownership.

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is primarily de-recognised when:

- The rights to receive cash flows from the asset have expired, or
- Based on above evaluation, either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a bases that reflect the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets:

The group assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS109 ('Financial instruments') requires expected credit losses to be measured through a loss allowance. The Company recognizes lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month expected credit losses or at an amount equal to the lifetime expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

2) **Financial Liabilities:**

Initial recognition and measurement:

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit and loss or at amortised cost, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

The group financial liabilities include trade payables, lease obligations, and other payables.

Subsequent measurement:

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at amortised cost:

After initial recognition, interest-bearing loans and borrowings and other payables are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit and loss when the liabilities are de-recognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

De-recognition:

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit and loss.

3) **Offsetting of financial instruments:**

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

4) Re-classification of financial assets:

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities.

For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

(e) Impairment of non-financial assets:

Non-financial assets including Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the CGU to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the consolidated statement of profit and loss.

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit and loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

(f) Lease:

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Where the Company as a lessee:

A lease is classified at the inception date as a finance lease or an operating lease. A lease that transfers substantially all the risks and rewards incidental to ownership to the Company is classified as a finance lease. An operating lease is a lease other than a finance lease.

Operating lease:

Operating lease payments are recognised as an expense in the statement of profit and loss on a straight line basis.

(g) Revenue recognition:

i. Sale of Goods

Revenue from sale of goods is recognized when the significant risks and rewards of ownership of the goods are transferred to the buyer, usually on delivery of the goods and when all the following conditions are satisfied:

- The Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- The amount of revenue can be measured reliably;
- It is probable that the economic benefits associated with the transaction will flow to the Company; and
- The costs incurred or to be incurred in respect of the transaction can be measured reliably.

Revenue from the sale of goods is measured at the fair value of the consideration received or receivable. Amounts disclosed as revenue are net of returns and allowance, trade discounts and volume rebates and does not include Value added tax (VAT), Central Sales tax (CST) and any other taxes.

ii. Other income:

Other income is recognized when it is probable that the economic benefits associated with the transaction will flow to the Company and the amount of income can be measured reliably.

Interest Income: Interest income is recognized on an accrual basis using the Effective Interest Rate (EIR) method, in accordance with the applicable provisions of Ind AS 109, Financial Instruments, as applicable.

Dividend Income: Dividend income is recognized when the Company's right to receive the payment is established, generally when the shareholders' right to receive the payment is established, provided that it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

Gain/Loss on Sale of Investments: Gains or losses arising on the sale or disposal of investments are recognized in the Statement of Profit and Loss when the rights and obligations relating to the investments are transferred and the amount of consideration can be reliably measured. The gain or loss is determined as the difference between the net disposal proceeds and the carrying amount of the investment and is recognized in the period in which the disposal takes place.

Other income is recognized in accordance with the relevant provisions of the applicable Indian Accounting Standards.

(h) Property, Plant and Equipment:

Property, Plant and Equipment ("PPE") are stated at cost or deemed cost, as applicable, less accumulated depreciation and accumulated impairment losses, if any. The cost of PPE includes expenditure directly attributable to the acquisition, construction or installation of the asset and other costs incurred to bring the asset to its intended use.

Depreciation on PPE is provided on a systematic basis over their estimated useful lives, using the Straight-Line Method, from the date the asset is available for use. The estimated useful lives of PPE are determined based on the nature of the asset, its expected usage, technical and commercial factors and the applicable provisions of Schedule II to the Companies Act, 2013, as amended from time to time.

The depreciation method, useful lives and residual values of PPE are reviewed at the end of each financial year and changes, if any, are accounted for prospectively in accordance with the applicable Indian Accounting Standards.

Subsequent expenditure relating to PPE is capitalized only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost can be measured reliably. Repairs and maintenance expenses are recognized in the Statement of Profit and Loss as and when incurred.

An item of PPE is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any resulting gain or loss arising on derecognition is recognized in the Statement of Profit and Loss in the period in which the asset is derecognized.

(i) Foreign currency translation:

(i) Initial recognition:

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(ii) Conversion:

Foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction. Non-monetary items, which are measured at fair value or other similar valuation denominated in a foreign currency, are translated using the exchange rate at the date when such value was determined.

(iii) Exchange differences:

Exchange differences arising on the settlement of monetary items or on reporting monetary items of Company at rates different from those at which they were initially recorded during the year, or reportedin previous financial statements, are recognised as income or as expenses in the year in which they arise except those arising from investments in non-integral operations.

(j) Taxes:

Tax expense comprises of current and deferred tax.

Current income tax:

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid tothe taxation authorities in accordance with the Income-tax Act, 1961. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognised outside profit and loss is recognised outside profit and loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions takenin the tax returns with respect to situations in which applicable tax regulations are subject to interpretationand establishes provisions where appropriate. Tax liability under Minimum Alternate Tax ("MAT") is considered as current tax. MAT entitlement is considered as deferred tax.

Minimum Alternative Tax ("MAT") credit is recognised as an asset only when and to the extent there is convincing evidence that the Company will pay normal income tax during the specified period. Such asset isreviewed at each Balance Sheet date and the carrying amount of the MAT credit asset is written down to theextent there is no longer convincing evidence to the effect that the Company will pay normal income tax during the specified period.

Deferred Tax:

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

- In respect of taxable temporary differences associated with investments in subsidiaries when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

  Deferred tax assets are recognised for all deductible temporary differences and the carry forward of any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax losses canbe utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the timeof the transaction, affects neither the accounting profit nor taxable profit or loss

- In respect of deductible temporary differences associated with investments in subsidiaries deferredtax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

  The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent thatit is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

  Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

  Deferred tax relating to items recognised outside profit and loss is recognised outside profit and loss (either in OCI or in equity). Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

  Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(k) <u>Provisions, Contingent liabilities, Contingent assets and Commitments:</u>

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of apast event, it is probable that an outflow of resources embodying economic benefits will be required to settlethe obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to aprovision is presented in the statement of profit and loss.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate thatreflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or a present obligation that arises from past events but is not recognised because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is disclosed, where an inflow of economic benefits is probable.

(l) Earnings per share:

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable toequity shareholders and the weighted average number of shares outstanding during the period are adjustedfor the effects of all dilutive potential equity shares.

(m) Segment reporting:

The Company has only one segment of activity of dealing in IT products during the period; Hence, segment wise reporting as defined in Indian Accounting Standard-108 is not applicable.

(n) Inventory:

Inventories are valued at cost or net realizable value whichever is lower, computed on a FIFO basis, after providing for cost of obsolescence and other anticipate losses, wherever considered necessary. Finished goodsinclude costs of conversion and other costs incurred in bringing the inventories to their present location andcondition as certified by the management.

(o) Retirement and other employee benefits:

Employee benefits include provident fund and compensated absences.

Defined contribution plans:

Contributions payable to recognized provident funds, which are defined contribution schemes, are charged to the consolidated statement of profit and loss.

Short-term employee benefits:

Short-term employee benefits expected to be paid in exchange for the services rendered by employees are recognised during the year when the employees render the service. Compensated absences, which are expected to be utilised within the next 12 months, are treated as short-term employee benefits. The Company measures the expected cost of such absences as the additional amount that it expects to pay as a result of theunused entitlement that has accumulated at the reporting date.

(p) Cash and cash equivalents:

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand and short-term depositswith an original maturity of three months or less, which are subject to an insignificant risk of changes in value are unrestricted for withdrawal and usage.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of thegroup cash management.

(q) Trade Receivable:

Trade receivables are recognized at fair value, the outstanding balances of sundry debtors, advances etc. are verified by the management periodically and on the basis of such verification management determines whether the said outstanding balance are good, bad or doubtful and accordingly same are written off or provided for.

Receivables that are expected in one year or less, are classified as current assets, if not they are presented as non-current assets.

(r) Cash Flow Statement:

Cash flows are reported using the indirect method, whereby profit for the period is adjusted for the effects of transactions of a non-cash nature any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated.

For the purpose of presentation in the Statement of Cash Flows, cash and cash equivalents includes cash in hand and Balances with Banks.

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